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TPS

TPS EASTERN AFRICA LIMITED

INFORMATION MEMORANDUM

RIGHTS ISSUE AUGUST 2010



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TPS EASTERN AFRICA LIMITED

Incorporated in Kenya under the Companies Act, Chapter 486 of the Laws of Kenya
(Registration Number C. 9986)

INFORMATION MEMORANDUM

RIGHTS ISSUE

OF

24,701,774 NEW ORDINARY SHARES

AT A SUBSCRIPTION PRICE OF KES 48.00

IN THE RATIO OF

ONE (1) NEW ORDINARY SHARE

FOR EVERY

FIVE (5) ORDINARY SHARES HELD

Date of Information Memorandum: 21 July 2010

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TRANSACTION ADVISERS

Lead Transaction Advisers and Sponsoring Stockbrokers:	
Kestrel Capital (East Africa) Limited 5th Floor ICEA Building Kenyatta Avenue P.O. Box 40005-00100 Nairobi, Kenya	Standard Investment Bank Limited 16 th Floor, ICEA Building P.O. Box 13714-00800 Kenyatta Avenue Nairobi, Kenya
Legal Adviser: Kaplan & Stratton Advocates 9 th Floor, Williamson House 4 th Ngong Avenue P.O. Box 40111-00100 Nairobi, Kenya	Receiving Bank: Diamond Trust Bank Kenya Limited 8 th Floor, Nation Centre Kimathi Street P.O. Box 61711-00200 Nairobi, Kenya
Registrar/Receiving Agent: Image Registrars Limited 8th Floor, Transnational Plaza Mama Ngina Street P.O. Box 9287 - 00100 Nairobi, Kenya	Public Relations: Hill & Knowlton Riverside Green Offices 1 st Floor - Baobab Suite P.O. Box 34537-00100 Nairobi, Kenya
Underwriters:	
CfC Stanbic Bank Limited CfC Stanbic Centre, Westlands Road, Chiromo P.O. Box 72833-00200 Nairobi, Kenya	Diamond Trust Bank Kenya Limited 8 th Floor, Nation Centre Kimathi Street P.O. Box 61711-00200 Nairobi, Kenya
Reporting Accountants: PricewaterhouseCoopers Certified Public Accountants 7th Floor, Rahimtullah Tower, Upper Hill P.O. Box 43963 - 00100 Nairobi, Kenya	

DEFINITIONS

In this Information Memorandum, the PAL and Forms R, A and E, unless otherwise stated, the following expressions shall have the following meanings:

Accepted Rights	The Rights accepted by an Eligible Shareholder pursuant to duly completed and signed Entitlement and Acceptance Forms
Additional New Shares	Additional New Shares that may be applied for by an Eligible Shareholder, purchaser of Rights or Renouncee in excess of his Entitlement
Allocation Policy	The policy of allocating untaken rights set out in paragraph 15 of Section VI of this Information Memorandum
AKFED	Aga Khan Fund for Economic Development S.A.
Application Money	The Subscription Price per New Share payable by Eligible Shareholders in accordance with the relevant Entitlement and Acceptance Forms plus, in the case of an Eligible Shareholder with a CDS Account, KES.30 per Entitlement and Acceptance Forms
Authorised Agent	Those institutions authorised by the Company to receive PALs as listed in Annexure IV of this Information Memorandum
Bonus Issue	The issue of up to 17,644,124 New Shares by the Company by way of bonus to the shareholders of the Company
CBK	Central Bank of Kenya
CDC	CDC Group Plc.
CDS	The Central Depository System operated by the Central Depository and Settlement Corporation Limited
CDSC	The Central Depository and Settlement Corporation Limited
CDS Account	The securities account opened with the CDSC for the purpose of recording the deposit and dealing with immobilized securities
Closing Date	3.00 p.m. on 31 st August 2010, being the last day for receipt of acceptances and payments in respect of New and Additional Shares
CMA	Capital Markets Authority
Capital Markets Act	Capital Markets Act (Chapter 485A) of the Laws of Kenya and the regulations passed thereunder

Company or TPSEA	TPS Eastern Africa Limited, incorporated in Kenya, registration number C. 9986
Company Secretary	The person named in Section IV of this Information Memorandum as the company secretary
Companies Act	The Companies Act (Chapter 486) of the Laws of Kenya
Directors or Board	The persons named in Section XI of this Information Memorandum as directors of the Company
EFT	Electronic Fund Transfer
Eligible Shareholder	A shareholder registered as a holder of Existing Shares as of the Record Date
Entitlement	The entitlement to New Shares of an Existing Shareholder (or purchaser of or Renouncee of rights) pursuant to the Rights Issue at the Entitlement Ratio and the Subscription Price
Entitlement Ratio	One (1) New Share for every five (5) Existing Shares
Entitlement and Acceptance Form(s)	Where the context requires, the PAL and/or Form E and/or Form R and/or Form A and other related forms
Existing Shares	The ordinary shares of par value KES 1.00 in the Company held by an Eligible Shareholder as of the Record Date
Form A	Form for Appointment of Attorney
Form E	Form of Entitlement for Purchaser of Rights
Form R	Form of Renunciation for Private Transfers
GDP	Gross Domestic Product
Guarantee	The Irrevocable Bank Guarantee for Additional New Shares in the form set out in Annexure VI of this Information Memorandum
Group	TPS Eastern Africa Limited and its subsidiaries as identified in Section IV of this Information Memorandum
IFC	International Finance Corporation
IPS(K)	Industrial Promotion Services (Kenya) Limited
Jubilee	The Jubilee Insurance Company Limited - (Kenya)
KES	Kenya Shillings

ÀLenderÓ	A licensed financial institution or commercial bank
ÀNew SharesÓ	The 24,701,774 New Ordinary Shares in the capital of the Company to be issued to shareholders pursuant to the Rights Issue as indicated on the PAL, Form R or Form E
ÀNSEÓ	Nairobi Stock Exchange
ÀNSSFTÓ	National Social Security Fund (Tanzania)
ÀOfferÓ	The offer to subscribe for New Shares pursuant to and in accordance with this Information Memorandum
ÀOrdinary ShareÓ	The ordinary shares of KES 1.00 each in the Company
ÀPALÓor ÀProvisional Allotment LetterÓ	The renounceable (nil paid) provisional allotment letter issued to Eligible Shareholders in respect of the New Shares indicating an Eligible Shareholder's entitlement in the form or substantially in the form set out in Annexure V of this Information Memorandum
ÀPDMLÓ	PDM (Holdings) Limited
ÀQIIÓ	Qualified Institutional Investor
ÀRecord DateÓ	5.00 pm on 29 th July 2010
ÀRegistrarÓ	The share registrar whose name and address appears in Section IV of this Information Memorandum
ÀRenounceeÓ	Any person of at least 18 years of age as at the date of the renunciation in whose favour Rights have been renounced in accordance with this Information Memorandum and PAL
ÀRightsÓ	The right to subscribe for New Shares under the terms of the Rights Issue
ÀRights IssueÓ	The issue of up to 24,701,774 New Shares by the Company by way of Rights as described in this Information Memorandum and the PAL
ÀRTGSÓ	Real Time Gross Settlement
ÀSubscription PriceÓ	KES 48.00 per New Share
ÀSerena GroupÓ	Those hotels and tourism-related businesses carried on in East Africa and elsewhere in the world by entities operating under the trade mark ÀSerenaÕ

ÒTZSÓ	Tanzanian Shillings
ÒTPS(K)Ó	Tourism Promotion Services (Kenya) Limited (previously Tourism Promotion Services Limited) incorporated in Kenya, registration number C. 7997
ÒTPS(M)Ó	Tourism Promotion Services (Management) Limited, incorporated in Kenya
ÒTPS(Mg)Ó	Tourism Promotion Services (Mangapwani) Limited, incorporated in Zanzibar
ÒTPS(R)Ó	Tourism Promotion Services (Rwanda) Limited, incorporated in Rwanda
ÒTPS(SA) Pty.Ó	Tourism Promotion Services (South Africa) (Proprietary) Limited, incorporated in South Africa
ÒTPS(T)Ó	Tourism Promotion Services (Tanzania) Limited, incorporated in Tanzania
ÒTPS(Z)Ó	Tourism Promotion Services (Zanzibar) Limited, incorporated in Zanzibar
ÒUS\$Óor ÒUSDÓ	United States Dollar
ÒUntaken RightsÓ	The aggregate of New Shares not subscribed for howsoever that may occur

Except where the context otherwise requires:

- (a) words denoting singular include plural and vice versa;
- (b) words denoting any one gender include all genders;
- (c) words denoting persons include firms and corporations and vice versa; and
- (d) capitalised terms used in the PAL and accompanying forms will be construed and interpreted in accordance with this Information Memorandum.

MISSION STATEMENT

OUR MISSION

Our mission is to create buildings of outstanding ethnic design offering the highest standard of service and product and providing management and our staff with an environment which enables all of us to deliver operating standards beyond the level of our guests' expectations, resulting in satisfactory returns to our stakeholders

To ensure that our operations reap the benefits of the environment without depleting or desecrating it. A Corporate Environmental Mission Statement has been formulated to guide our developments and operations.

CORPORATE ENVIRONMENTAL MISSION STATEMENT

We are committed to developing projects which pay the highest regard to environmental concerns in design, planning, construction and operation.

We will be sensitive towards the monitoring of the interests of the local population including their traditions, culture and future development.

We will practice a responsible attitude towards energy conservation; reducing and recycling waste; control of sewage disposal, air-emissions and pollutants; reduced use of unfriendly products such as CFCs, pesticides and other toxic substances; reduce noise and visual pollution.

We will be sensitive to the conservation of environmentally protected or threatened areas, species and scenic aesthetics and to achieving landscape enhancement where possible, with indigenous plant material and reinforcement.

We must conserve rather than exploit nature.

SECTION I

INTRODUCTION

THIS DOCUMENT IS IMPORTANT AND REQUIRES YOUR IMMEDIATE ATTENTION

When considering what action you should take, it is strongly recommended that you consult your investment adviser, stockbroker, banker, accountant or other professional adviser.

If you have sold or transferred all your TPS Eastern Africa Limited Ordinary Shares please forward this Information Memorandum and the Provisional Allotment Letter to the purchaser or transferee, or to the stockbroker or agent through whom the sale or transfer was effected for transmission to the purchaser or transferee.

If you wish to take up or renounce your Rights, you must follow the procedure for acceptance and payment, or, renunciation as set out in Section VI of this Information Memorandum and the PAL. The latest time for acceptance and payment in full for the New Shares is 3.00 p.m. on 31st August 2010. The right to subscribe for New Shares under the Rights Issue is subject to the terms and conditions set out in this Information Memorandum and the PAL, and also to the Memorandum and Articles of Association of TPS Eastern Africa Limited.

This Information Memorandum and its attachments including the PAL comply with the requirements of the Capital Markets Act and the regulations passed thereunder, the Companies Act, the NSE Listing Manual 2002 and the Central Depositories Act 2000 and the rules made thereunder.

Copies of this Information Memorandum and the PAL, together with the documents required under Section 43 of the Companies Act, have been delivered to the Registrar of Companies in Nairobi for registration. By virtue of the provisions of Section 40(6) (a) of the Companies Act this Information Memorandum is not a prospectus complying fully with the requirements of Section 40 of the Companies Act. This Information Memorandum and the accompanying PAL are presented to you to enable you to make an informed decision on the Offer.

This Information Memorandum contains a statement from PricewaterhouseCoopers as the reporting accountants in connection with the Rights Issue, which constitutes a statement purporting to be made by an expert in terms of Section 42(1) of the Companies Act. PricewaterhouseCoopers have not withdrawn their consent to the issue of the said statement in the form and context in which it is included in this Information Memorandum.

The CMA has approved the issue of the New Shares. As a matter of policy, the CMA assumes no responsibility for the correctness of any statements or opinions made or reports contained in this Information Memorandum. Approval of the Rights Issue is not to be taken as an indication of the merits of the proposed Rights Issue or of the New Shares.

The NSE has given permission to list the New Shares on the Main Investment Market Segment of the official list of the NSE. It is expected that admission will become effective and that dealings in fully paid New Shares will commence at 9.00 a.m. on 4th October 2010. The NSE assumes no responsibility for the correctness of any of the statements made or opinions or reports expressed in this Information

Memorandum. Admission to the official list is not to be taken as an indication of the merits of the proposed Rights Issue or of the New Shares.

The Directors of TPS Eastern Africa Limited whose names appear in Section XI of this document, have taken all reasonable care to ensure that the facts stated and the opinions expressed in this document are true and accurate in all material respects and that there are no other material facts or omissions which would make any statement in this document, whether of fact or opinion, misleading. The Directors accept responsibility accordingly.

Enquiries concerning this Information Memorandum or the Provisional Allotment Letter may be made to the Company Secretary or the Transaction Advisers whose contact details are set out in this Information Memorandum.

SECTION II
LETTER FROM THE CHAIRMAN OF TPS EASTERN AFRICA LIMITED



TPS Eastern Africa Limited

Registered Office
4th Floor, Williamson House, 4th Ngong Avenue
P.O. Box 48690 - 00100, Nairobi, Kenya
Tel: (254-20) 2842000, 2710511
Fax: (254-20) 2718100/1

To all shareholders of TPS Eastern Africa Limited

Dear Shareholder

Rights issue by TPS Eastern Africa Limited (the Rights Issue)

On 30th March 2010, it was announced that TPS Eastern Africa Limited wishes to raise approximately KES 1,200,000,000 (Kenya Shillings one billion, two hundred million) inclusive of expenses, by way of a Rights Issue, subject to the approval of the shareholders, the CMA and the NSE. It was also announced that it is desirable to capitalise the sum of Seventeen Million Six Hundred and Forty Four Thousand One Hundred and Twenty Four Kenya Shillings (KES 17,644,124), being part of the sum standing to the credit of the Company's revenue reserve account, and that such sum be set free for distribution amongst the holders of Ordinary Shares in the capital of the Company at the close of business on 24th June 2010, on the basis, as nearly as possible, of one (1) New Ordinary Share for every six (6) Ordinary Shares held with the newly issued shares ranking *pari passu* in all respects with the Existing Shares in the capital of the Company (the Bonus Issue). At an Annual General Meeting held on 24th May 2010 the authorised share capital of the Company was increased for the purposes of the Rights Issue and the Bonus Issue and the Board was authorised to allot the New Shares in relation to the Rights Issue and the Bonus Issue. The CMA and the NSE have each given approval for the Rights Issue to proceed on the terms set out in this document.

The Rights Issue

In the Rights Issue, the Company is offering by way of rights 24,701,774 New Shares and you are being given the opportunity to subscribe for New Shares at a price of KES 48.00 per New Share, on the basis of one (1) New Share for every five (5) Ordinary Shares you hold at the close of business on 29th July 2010 and so in proportion for any other number of Ordinary Shares then held (taking into account the New Ordinary Shares allotted pursuant to the Bonus Issue). Fractions of New Shares will not be issued and Eligible Shareholders' entitlements will be revised downwards to the nearest whole number and such

fractional entitlement will not be allotted to the Eligible Shareholder. Once the basis for the entitlement is declared, the Company will not make any subsequent alterations to such entitlements. Each share shall be payable in full upon acceptance not later than 3.00 p.m. on 31st August 2010. The procedure for acceptance, payment or renunciation of the Rights is contained in Section VI of this Information Memorandum and the PAL.

The New Shares when fully paid, issued and allotted will rank *pari passu* (equally) in all respects with the Existing Shares. All rights attaching to the Existing Shares with regard to voting, dividends, liquidation proceeds and pre-emption in future capital increases are as set out in the extract of the Company's Articles of Association which is provided in Section X of this Information Memorandum. The New Shares will qualify for dividends with effect from the financial year ending 31st December 2010 and thereafter.

Reasons for the Rights Issue

The Rights Issue is being launched in order to raise additional funds for refurbishment of existing properties in the Serena portfolio, strengthening the Serena Hotels East African circuit, maintaining the levels of debt within the Group at a sustainable level and providing new funds for expansion of the Group's operations in the region.

TPSEA will acquire 100% ownership of Jaja Limited as a special purpose vehicle by Tourism Promotion Services (Kenya) Limited, to undertake development of three properties in Nanyuki, Nakuru and Elementaita. Serena's presence in this area will result in enhancing the safari circuit in Western Kenya in line with the Company's Strategy. Jaja Limited is a non-private company wholly and beneficially owned by TPS (K) together with Messrs. Francis Okello, Mahmud Jan Mohamed, Abdulmalek Virani, Ameer Kassim-Lakha, Mahmood Manji, Kabir Hyderally as nominee shareholders each holding 1 (one) share in favour of TPS (K). Pursuant to the regional expansion policy, the Company, through its subsidiary TPS (T), has also entered into a joint venture agreement to acquire 51% ownership of Upekee Lodges Limited which owns and operates two properties in southern Tanzania (Mivumo River Luxury Lodge and Selous Wildlife Camp). TPSEA will also utilise part of the funds raised by the Rights Issue to acquire, through TPS (T) the assets of two lodges located in northern Tanzania - Mountain Village (Arusha) and Mbuzi Mawe Tented Camp (Serengeti). The addition of the four properties in Tanzania will position TPS (T) ahead of its competitors in terms of circuit and product offer.

TPSEA will also inject part of the proceeds of the Rights Issue into TPS (R) as equity, to provide funds for Phase II of the Kigali Serena Hotel project. This will include the refurbishing of Kigali Serena's entrance and lobby area, repositioning of the lifts and creating of a new residents' lounge. The equity injected into TPS (R) will also be used for the development of a new lodge near the gorilla viewing site.

Part of the money raised from the Rights Issue will also be used for the refurbishment and expansion of the Nairobi Serena Hotel.

Use of proceeds

In summary, it is expected that the proceeds of the Rights Issue will be used, mainly, for the following expansion programmes:

- ☐ capitalisation of Jaja Limited;
- ☐ acquisition of 51% of Upekee Lodges Limited by TPS (T);
- ☐ acquisition of the assets of Mbuzi Mawe Tented Camp and Mountain Village Hotel by TPS (T);
- ☐ refurbishment of Kigali Serena Hotel; and
- ☐ expansion and refurbishment of Nairobi Serena Hotel.

The funds raised from the Rights Issue will be complemented by long-term borrowing and other sources of funds that the Board may deem appropriate.

With regard to the acquisition of 51% of Upekee Lodges Limited and acquisition of the assets of Mbuzi Mawe Tented Camp and Mountain Village Hotel by TPS (T), the valuation of the assets is not less than the consideration to be paid by TPS (T).

Financials

The audited financial statements of the Company for the year ended 31st December 2009 are contained in the Reporting Accountants Report contained in Annexure I of this Information Memorandum.

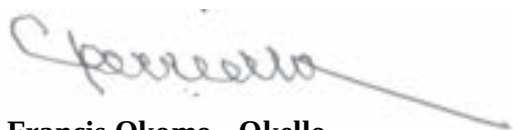
Important developments

Following heavy rains in the Mount Kenya and Laikipia regions and as a result of the on-going heavy deforestation in the Aberdares, Mount Kenya and Wamba/Suguta Valley water catchments, the Ewaso Nyiro River burst its banks on 4th March 2010 with exceptional violence causing heavy destruction in the Samburu area. Like most properties in the area, Samburu Serena Lodge suffered extensive damage. Despite the destruction, the in-house guests and staff suffered no injuries and were evacuated safely. Nonetheless, Samburu Serena Lodge is insured and the necessary claim procedures have been commenced with a view to obtaining compensation from the insurers with regard to the loss of assets and business. The Board and management are currently re-assessing the strategic business model with regard to a Serena presence in Samburu and will be evaluating possible options in the months ahead.

Recommendation

The Directors consider that the Rights Issue is in the best interests of the Company and recommend that shareholders exercise their Rights.

Yours faithfully

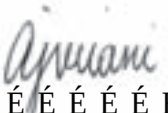


Francis Okomo - Okello
Chairman

SECTION III
DIRECTORS'S STATEMENT

We hereby declare that all the information stated in this Information Memorandum and the statements contained herein are correct and that neither the minutes of the meetings of the Board of directors, general meetings of shareholders, audit reports nor any other internal documents contain information which could distort the interpretation of the report.

Yours faithfully


É É É É É É É É É É ..
Abdulmalek Virani
Finance Director


É É É É É É É É É É .
Damaris Angulu
Company Secretary

SECTION IV
CORPORATE DIRECTORY

Registered office: 4 th Floor Williamson House 4th Ngong Avenue P.O. Box 48690 – 00100 Nairobi, Kenya	Company Secretary: Mrs. Damaris Angulu – CPS(K) c/o 4 th Floor Williamson House 4th Ngong Avenue, P.O. Box 48690 - 00100, Nairobi, Kenya
Auditors: PricewaterhouseCoopers Certified Public Accountants 7th Floor, Rahimtullah Tower, Upper Hill P.O. Box 43963 - 00100 Nairobi, Kenya	Accounting Date: 31 st December
Share Registrar: Image Registrars Limited 8th Floor, Trans National Plaza Mama Ngina Street P.O. Box 9287 - 00100 Nairobi, Kenya	Lawyers: <i>List available at the Company's registered office</i>

SUBSIDIARIES

<i>Name</i>	<i>Country of incorporation</i>	<i>Date of incorporation</i>	<i>% holding</i>
Tourism Promotion Services (Kenya) Limited	Kenya	28 th November, 1968	100
Tourism Promotion Services (Tanzania) Limited	Tanzania	22 nd May, 1989	100
Tourism Promotion Services (Zanzibar) Limited	Zanzibar	29 th October, 1985	100
Tourism Promotion Services (Mangapwani) Limited	Zanzibar	31 st December, 2003	100
Tourism Promotion Services (Management) Limited*	Kenya	25 th May, 1971	25
Tourism Promotion Services (South Africa) (Pty) Limited	South Africa	3 rd May, 2006	100

*TPS (Management) Limited is owned, respectively, by the Company, TPS(U) - 25%, TPS(Z) – 25% and TPS(T) – 25%

TPSEA owns 8% of Tourism Promotion Services (Rwanda) Limited.

SECTION V

KEY FEATURES OF THE RIGHTS ISSUE

THIS SECTION CONTAINS A SYNOPSIS OF THE RIGHTS ISSUE. YOU SHOULD READ THIS INFORMATION IN FULL BEFORE DECIDING TO PARTICIPATE IN THE RIGHTS ISSUE

1. RIGHTS ISSUE STATISTICS

Subscription Price	KES 48.00
Total number of New Shares offered	24,701,774
Ratio Entitlement	One (1) New Share for every five (5) Ordinary Shares held
Gross proceeds	KES.1,185,685,152
Estimated net proceeds	KES 1,142,745 ,415

2. REASONS FOR THE RIGHTS ISSUE

The Rights Issue is being launched in order to raise additional funds for refurbishment of existing properties in the Serena portfolio, strengthening the Serena Hotels East African circuit, maintaining the levels of debt within the Group at a sustainable level and providing new funds for expansion of the Group's operations in the region.

3. TIMETABLE OF PRINCIPAL EVENTS

Record Date (Register Closure Date)	5.00 p.m. on 29 th July 2010
Upload of Rights into CDS accounts and distribution of Information Memorandum, PAL, Form of Renunciation and Form of Power of Attorney to TPSEA shareholders	5 th August 2010
Issue Opens and commencement in dealings in the Rights (nil paid) on the NSE	9.00 a.m. on 12 th August 2010
Last date for immobilisation of provisional Rights	3.00 p.m. on 16 th August 2010
Last date for renunciation (by way of private transfers) and last date for splitting	3.00 p.m. on 19 th August 2010
Last date for dealing in the Rights (nil paid)	3.00 p.m. on 23 rd August 2010
Closing Date - Last date and time for acceptance and payment for New Shares and Additional New Shares	3.00 p.m. on 31 st August 2010
Public announcement of Rights Issue results	24 th September 2010
Last date and time for payment by RTGS for Additional	3.00 p.m. on 27 th September

New Shares to Receiving Bank for applications using Irrevocable Bank Guarantees	2010
Electronic crediting of CDS Accounts with New Shares and/or dispatch of share certificates for the New Shares and/or processing of refunds	1 st October 2010
Date of listing and commencement of trading of New Shares on the NSE	9.00 a.m. on 4 th October 2010

* The dates and times indicated above are indicative and are subject to change with the approval of the CMA. Any such amendments will be published in the press.

4. INTENTION OF MAJOR SHAREHOLDERS

AKFED and its related companies, i.e. Jubilee, IPS (K) and PDML whose cumulative shareholding comprises 60.74% of the shares in TPSEA, intend to take up their Rights.

5. UNDERWRITING

CFC Stanbic Bank Limited of registration number C.9520 and Diamond Trust Bank Kenya Limited of registration number C.15/67 (together the **Underwriters**) have agreed to (severally and not jointly) underwrite 30% of the Rights Issue for which valid applications will not have been received as at one Business Day after the Closing Date in accordance with the Underwriting Agreement dated 21st July 2010 (**Underwriting Agreement**). AKFED which holds 44.69% of the shares in TPSEA has a 17.32% direct shareholding in Diamond Trust Bank Kenya Limited. None of the directors of Diamond Trust Bank Kenya Limited currently hold directorship positions in TPSEA. CFC Stanbic Bank Limited and TPSEA are not related.

6. MINIMUM SUCCESS

The Rights Issue is not subject to a minimum subscription level.

7. BASIS OF THE SUBSCRIPTION PRICE

The Subscription Price has been determined from the trading history of the Company's shares at the NSE and the following factors:

- 7.1 recent performance of the index and turnover at the NSE;
- 7.2 recent announcements of the financial results of the Company, the recent Bonus and the proposed Rights Issue; and
- 7.3 the current macro-environment and the tourism industry environment.

The Subscription Price represents a discount of 15.8% to the closing market price of KES 57 per Ordinary Share on 29th June 2010.

Performance of TPSEA at the NSE from January 2010 to June 2010*

Last 6 months	Low	High	Number of shares traded	Weighted Average Price (KES)	Turnover (KES)
January-10	45.00	45.25	4,200	45.00	189,000
February-10	47.75	48.00	420,100	48.00	20,164,800
March-10	46.00	46.00	100	46.00	4,600
April-10	63.00	66.00	65,000	64.00	4,160,000
May-10	63.00	64.50	4,400	63.50	279,400
June-10	60.00	63.00	10,900	61.50	670,350

The Rights Issue was announced on 30 March 2010 and the trading data is as shown below on the trading day prior to the announcement

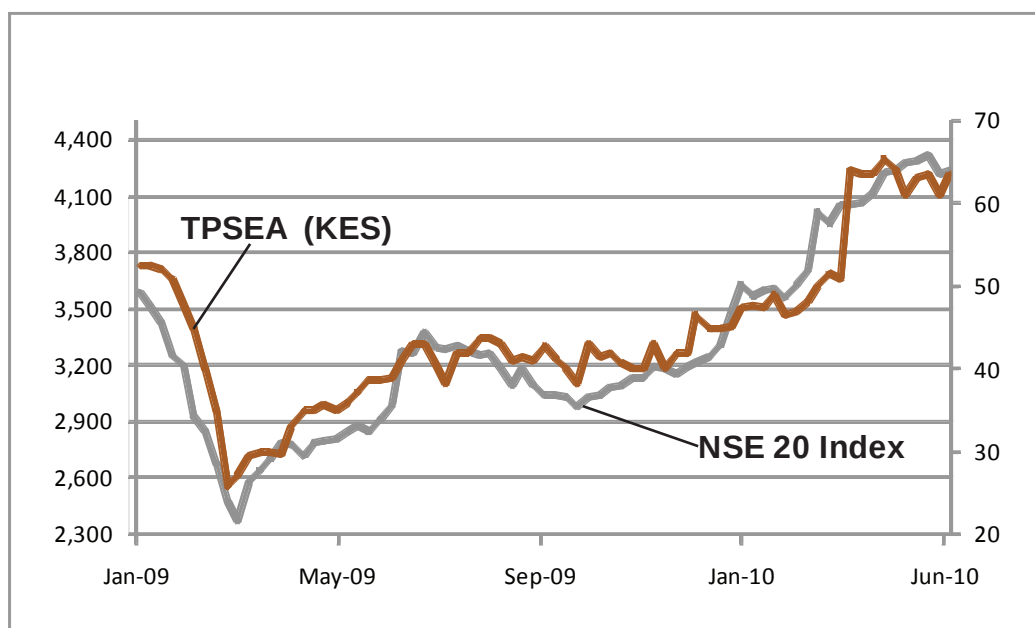
26 th March 2010	50.50	52.00	8,300	51.50	427,450
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**This represents the performance of TPSEA shares at the NSE on the first dealing day in each of the six months before the date of this Information Memorandum.*

Source: Nairobi Stock Exchange

8. TPSEA SHARE PRICE Vs NSE SHARE INDEX

The following chart illustrates the performance of the TPSEA share price against the NSE 20 Share Index



Source: Nairobi Stock Exchange

9. FINANCIAL DATA*

Rights Issue Ratio of the Offer	1 for 5
Offer Price per share	KES 48.00
Par Value of each share	KES 1.00
Total number of authorised shares of TPSEA	192,000,000
Total number of issued and fully paid up shares before Rights Issue	123,508,866
Authorised share capital of TPSEA	KES 192,000,000
Fully paid up share capital of TPSEA before Rights Issue	KES 123,508,866
EPS for the year ended 31 December 2009	KES 3.60
Post Bonus Issue (Adjusted) 2009 EPS	3.08
DPS for year ended 31 December 2009	KES 1.25
Net Asset Value per share for the year ended 31 December 2009	KES 38.39
Post Bonus Issue (Adjusted) 2009 Net Asset Value per share	KES 32.91
Post Bonus Issue (Adjusted) Implied historic P/E based on Offer Price and the diluted 2009 EPS	15.58
Market Capitalisation based on the closing price of KES. 57 at the Nairobi Stock Exchange on 29 th June 2010	KES 7,040,000,000
Number of new shares on offer under the Rights Issue	24,701,774
Expected gross proceeds of the offer	KES 1,185,685,152
Approximate net proceeds of the offer	KES 1,142,745,415
Total number of issued and fully paid up shares after the Rights Issue assuming full subscription	148,210,640
Fully paid up share capital of TPSEA post Rights Issue assuming full subscription	KES 148,210,640
Post Rights Issue (Adjusted) 2009 EPS assuming full subscription	KES 2.57

*Source: Company information

10. ACCEPTANCE AND APPLICATION PROCEDURES

Eligible Shareholders may take up all, some or none of their Rights. Eligible Shareholders, purchasers of Rights or Renouncees wishing to take up all or renounce all or part of their Rights are required to observe the procedures set out in Section VI of this Information Memorandum.

SECTION VI

FURTHER INFORMATION ABOUT THE RIGHTS ISSUE

1 Details of the Rights Issue

- 1.1 The Company proposes to raise KES 1,185,685,152 (inclusive of expenses) by way of a Rights Issue of 24,701,774 shares. Eligible Shareholders have been provisionally allotted New Shares by way of Rights at a price of KES 48.00 per share, payable in full on acceptance not later than 3.00 p.m. on 31st August 2010 on the following basis:

One (1) New Share for every five (5) Ordinary Shares

held on the Record Date, and so in proportion for any greater number of Ordinary Shares then held.

- 1.2 The allotment and issue of the New Shares will be made upon and subject to the terms and conditions set out in this document and in the Provisional Allotment Letter.
- 1.3 The number of New Shares that an Eligible Shareholder is entitled to (i.e. your Entitlement or your number of Rights) is shown on the PAL.
- 1.4 Eligible Shareholders may also, at their option, choose not to take any action at all and Untaken Rights will be allocated by the Directors in accordance with the Allocation Policy set out in paragraph 15 of this Section VI.

2 Reasons for the Rights Issue

The purpose of the Rights Issue is as set out in Section II of this Information Memorandum.

3 Status of the New Shares

The New Shares will, upon issue and being fully paid, rank *pari passu* (equally) in all respects with the existing TPS Eastern Africa Limited shares including the right to receive in full all dividends and other distributions declared, made or paid in respect of TPS Eastern Africa Limited Ordinary Shares for the financial year ending 31st December 2010 and thereafter.

4 Opening and closing dates

The Rights Issue will open at 9.00 a.m. on 12th August 2010 and close at 3.00 p.m. on 31st August 2010.

5 Entitlement and action to be taken

- 5.1 The number of New Shares to which an Eligible Shareholder is entitled (**Entitlement**) is shown on the Provisional Allotment Letter. Each Eligible shareholder will receive one copy of the Information Memorandum, duly completed PAL, Form R and Form A. Additional copies of any of these documents can be obtained from the Registrar or any of the Authorised Agents. Eligible Shareholders are required to check the accuracy of their Entitlement as indicated on their PAL

and in case of any inconsistencies, to contact any of the Authorised Agents or the Registrar. An Eligible Shareholder may:

- 5.1.1 take up the Entitlement in full;
- 5.1.2 renounce his Rights to a close relation;
- 5.1.3 sell all of the Entitlement on the NSE;
- 5.1.4 accept part of the Entitlement and sell the balance on the NSE;
- 5.1.5 accept part of the Entitlement and renounce the balance;
- 5.1.6 accept part of the Entitlement and allow the balance to lapse;
- 5.1.7 allow the Entitlement to lapse by doing nothing; or
- 5.1.8 any combination of the above.

5.2 The Provisional Allotment Letter also contains full details regarding acceptance and payment, splitting, renunciation and registration.

5.3 The following further documents are available for collection and due completion from Authorised Agents:

Form R	Form of Renunciation for Private Transfers to be used by Eligible Shareholders renouncing or transferring their Rights by way of private transfer and by Renouncees to take up their New Shares.
CDS Form 7	To be used in connection with a private transfer by Eligible Shareholders with CDS Accounts.
Form A	Form of Power of Attorney to be completed by Eligible Shareholders wishing to appoint a third party as their lawful attorney or agent to act on their behalf in connection with the Rights Issue.
Form E	Form of Entitlement for Purchasers of Rights to be used in the case of Rights purchased on the NSE by any person and issued in favour of such person.
CDS Form 5	To be used by investors utilizing loan facilities to subscribe for New Shares.

5.4 Eligible Shareholders with CDS Accounts will have their accounts credited with their Entitlement. In this regard, the Registrar will notify the Eligible Shareholders of their credited Entitlement through the PAL.

5.5 Eligible Shareholders without CDS Accounts will be notified of their Rights by the Registrar through the PAL. Eligible Shareholders who do not have CDS Accounts but wish to open such an

account, are requested to submit duly completed and signed CDS Account opening forms together with their PAL to any Authorised Agent to enable crediting of their Entitlement to the newly opened CDS Accounts.

- 5.6 The number of New Shares being offered to each Eligible Shareholder has been calculated by applying the Entitlement Ratio. This may result in fractional entitlements to New Shares. **In such an event, any entitlement to fractions of New Shares will be revised downwards to the nearest whole number and such fractional entitlement will not be allotted to the Eligible Shareholder.**
- 5.7 Fractions of New Shares that result from applying the Entitlement Ratio will form part of the Untaken Rights.
- 5.8 Investors who wish to become shareholders in the Company via this Rights Issue can purchase Rights being sold on the NSE by Eligible Shareholders. Such investors will be issued with a Form E from their Authorised Agent which requires to be duly completed, accepted and fully paid for as per paragraph 11 below. These investors can apply for Additional New Shares provided they take up their Entitlement in full.

6 Acceptance procedure

- 6.1 Acceptance of the Offer, once given is irrevocable. Eligible Shareholders who wish to take up their Entitlement in full are required to duly complete the section entitled **Full Acceptance of New Shares** as well as other relevant sections of the PAL. Eligible Shareholders, wishing to accept only part of their entitlement are required to duly complete the section of the PAL entitled **Partial Acceptance of New Shares** as well as other relevant sections of the PAL. Please note that partial acceptance will not be permitted for less than one hundred (100) New Shares.
- 6.2 Acceptance by an Eligible Shareholder, purchaser of Rights and Renouncee may only be communicated by submitting duly completed Entitlement and Acceptance Forms together with the Application Money for the number of New Shares applied for. Completion and submission of duly completed and signed Entitlement and Acceptance Forms cannot be withdrawn and constitutes a binding application for the number of New Shares (including any Additional Shares) on the terms set out in this Information Memorandum. The Entitlement and Acceptance Forms must be signed so as to be binding.
- 6.3 If any of the Entitlement and Acceptance Forms are not completed correctly, TPSEA may in its absolute discretion reject it or treat it as valid, and TPSEA's decision as to whether to accept or reject, or how to construe, amend or complete any Entitlement and Acceptance Forms shall be final.
- 6.4 The Entitlement and Acceptance Forms, once duly completed and signed, must be returned to the Receiving Bank either directly or through any Authorised Agent, together with the Application Money for the number of New Shares. Payment of the Application Money by all Eligible Shareholders must be made in accordance with paragraph 11 of this Section VI and must be received by the Receiving Bank or the relevant Authorised Agent not later than 3.00 pm on 31st August 2010.

- 6.5 New Shares in respect of which duly completed and signed Entitlement and Acceptance Forms together with the Application Money are not received by the Receiving Bank or an Authorised Agent by the dates and times stipulated in paragraph 6.4 above, will be deemed not to have been duly subscribed for and any rights in connection with the same will be deemed to have lapsed.

7 Application for Additional New Shares

- 7.1 Eligible Shareholders, purchasers of Rights and Renouncees (except in the case of those that wish to effect payment in the manner set out in paragraph 7.2 below) who have taken up all their Entitlement may apply for Additional New Shares by completing the section entitled **Application for Additional New Shares** as well as other relevant sections of the PAL, Form E or Form R and signing and returning the duly completed and signed PAL, Form E or Form R together with the Application Money. These should be received by the Receiving Bank or the relevant Authorised Agent not later than 3.00 pm on 31st August 2010. Additional New Shares will be allocated as per the Allocation Policy.
- 7.2 Eligible Shareholders, purchasers of Rights and Renouncees applying for any Additional New Shares may, in lieu of payment by 3.00 p.m. on 31st August 2010, provide an Irrevocable Bank Guarantee in the form stipulated in Annexure VI to this Information Memorandum, for the full amount of the Additional New Shares. Upon notification by the Registrar, such Eligible Shareholders will be required to effect payment for the Additional New Shares to the Receiving Bank by 3.00 p.m. on 27th September 2010. Such payment may be made by EFT or RTGS. QIIs can use a letter of undertaking as issued by the Receiving Agent.
- 7.3 Additional New Shares applied for by Eligible Shareholders, Purchasers of Rights and Renouncees will be allocated by TPSEA in accordance with the Allocation Policy. Please note that payment in respect of any Additional New Shares applied for and not allocated will be refunded in accordance with paragraph 12 and will be free of interest. There will be no changes once the basis of allocation has been announced.
- 7.4 Risk of posting the forms lies with the Eligible Shareholder, purchaser of Rights and/or Renouncee, as the case may be, and no late acceptances, whether resulting from postal delays or otherwise, will be permitted.
- 7.5 The press announcement publishing the results of the Rights Issue will include the basis of allocation of the Additional New Shares applied for and issued (if at all) and will be published on or about 24th September 2010.
- 7.6 If any person applies for New Shares which might trigger the regulatory restrictions and obligations set out in paragraph 18 (*Regulatory Restrictions*) of this Section, the Directors reserve the right at their sole discretion not to allocate any New Shares to any such person unless all required regulatory approvals are duly obtained and attached to the PAL, Form E or Form R before 3.00 p.m. on 31st August 2010.

8 Dealings in Rights on the NSE

- 8.1 Dealings on the NSE in respect of the Rights to subscribe for the New Shares are expected to commence, nil paid, at 9.00 a.m. on 12th August 2010. A transfer of Rights, in nil paid form, without payment of the Subscription Price for the New Shares provisionally allotted, may be purchased through an Authorised Agent on the NSE. A Form E (Form of Entitlement for Purchaser of Rights) will be completed and issued by the Authorised Agent. This Entitlement can subsequently, partially or wholly, be sold on the NSE or partially or wholly be accepted or, a combination of sale and acceptance. Purchasers of Rights are entitled to take up Additional New Shares. To take up the purchased Rights and, where applicable, Additional New Shares, complete Form E, sign and make payment in accordance with paragraph 11 of this Section and ensure that delivery of the Form E and the payment is made on or before 31st August 2010 to an Authorised Agent.
- 8.2 Costs associated with the dealing of Rights are for the account of the seller and buyers of such Rights and not for the Company.

9 Renunciation of Rights

- 9.1 The Rights are renounceable. Accordingly, Eligible Shareholders may elect to (a) give up their Rights in full or in part or (b) transfer their Rights in full or in part or (c) sell their Rights in full or in part, all in accordance with the procedures set out below.
- 9.2 Renunciation by way of Trading in the Rights
- 9.2.1 The Rights constitute a security in the form of an option and are tradable on the NSE for a value, but only by Eligible Shareholders with CDS Accounts. The Rights shall be listed on the NSE under the Main Investment Market Segment of the NSE.
- 9.2.2 Eligible Shareholders will be notified of their Rights through the PAL.
- 9.2.3 In addition, Eligible Shareholders with CDS accounts will have such accounts credited with their Rights.
- 9.2.4 Only Eligible Shareholders with CDS accounts will be permitted to trade in Rights. In such an event, Eligible Shareholders who wish to renounce some or all of their Rights in this way may instruct any Authorised Agent to dispose of any or all of such Rights and must duly complete the section entitled **Immobilisation for trading in the Rights** as well as other relevant sections of the PAL.
- 9.2.5 Eligible Shareholders without CDS Accounts who wish to trade in Rights in this way must first open CDS accounts and immobilise such Rights prior to trading and must duly complete the section entitled **Immobilisation for trading in the Rights** as well as other relevant sections of the PAL. CDS Account opening forms may be obtained from any Authorised Agent.
- 9.2.6 Rights may be traded on the NSE from 9.00 a.m. on 12th August 2010 to 3.00 p.m. on 23rd August 2010.

9.2.7 Please note that trading of Rights on the NSE will attract a brokerage commission plus other statutory costs payable by the seller and buyer of such Rights.

9.2.8 The CMA and NSE have approved the trading of Rights.

9.3 Renunciation by way of Private Transfer

9.3.1 Eligible Shareholders wishing to transfer their Rights to a particular Renouncee may do so by way of private transfer, subject to: (a) Section 31 of the Capital Markets Act, (b) Part VIII (Section 57 to 61) of the Capital Markets (Licensing Requirements) (General) (Amendment) Regulations 2002 and (c) Rule 31 of the Central Depository Rules 2004 and other applicable revised/new regulations under the Capital Markets Act. Section 57 of the Capital Markets (Licensing Requirements) (General) (Amendment) Regulations, 2002 allows for a transfer, inter alia, of Rights by an Eligible Shareholder to a close relation in the form of a gift. In such a case, any Authorised Agent, being a stockbroker, is required to assess, endorse and submit to the NSE a written application for such a transfer with the required information and supporting documents stating the reason for the proposed private transfer. A close relation means a relationship supported by documentary evidence of a spouse, parent, sibling, child, father-in-law, son-in-law, daughter-in-law, mother-in-law, brother-in-law, grandchild or spouse of a grandchild.

9.3.2 In order to effect a private transfer, an Eligible Shareholder must duly complete a CDS Form 7 (in the case of Eligible Shareholders with CDS Accounts) as well as Form R. Both of these forms are available from Authorised Agents. By executing the relevant form, an Eligible Shareholder is deemed to renounce, subject to approval from the NSE and CMA as applicable and subject to paragraph 9.3.1, or transfer the relevant Rights.

9.3.3 Eligible Shareholders who have CDS Accounts may only transfer Rights in favour of a Renouncee with a CDS Account.

9.3.4 The last date and time for renunciation by way of private transfer is 3.00 p.m. on 19th August 2010.

9.3.5 Eligible Shareholders are advised to contact any Authorised Agent for the purposes of effecting the renunciation by way of a private transfer.

9.3.6 If an Eligible Shareholder accepts some of his Rights and renounces the remainder by way of private transfer in the manner specified in paragraph 9.3 (Renunciation by way of Private Transfer), such Eligible Shareholder shall be required to submit the Entitlement and Acceptance Forms to the Receiving Bank or the relevant Authorised Agent not later than 3.00 p.m. on 19th August 2010 both duly completed and signed and accompanied with the Application Money in connection with the Accepted Rights.

9.4 Renunciation by declining

Eligible Shareholders who wish to decline their Rights need not do anything. Any Rights not taken up by such Eligible Shareholders will form part of the Untaken Rights.

10 **Restriction on Renunciation of Rights**

- 10.1 Paragraph 18 of this Section sets out certain regulatory restrictions and obligations that may be relevant to any Eligible Shareholder, purchaser of Rights or Renouncee.
- 10.2 Please note that any renunciation by way of trading of Rights at the NSE or by way of private transfer of Rights in accordance with paragraph 9.2 (Renunciation by way of Trading in Rights) and 9.3 (Renunciation by way of Private Transfer) of this Section is only permitted if such renunciation does not trigger the said regulatory restrictions and obligations.

11 **Application Money**

- 11.1 Only banker's cheques or cheques issued by an Authorised Agent may be used for payment for New Shares in respect of payments of less than KES 1,000,000. Personal and company cheques are not permitted under any circumstances. All cheques must be in Kenya Shillings and drawn on a licensed commercial bank that is a member of the Central Bank of Kenya Clearing House, and should be made payable to TPSEA Rights Issue PAL/ Form R/ Form E Number [Insert number] and be crossed A/C Payee Only. Each cheque received by the Receiving Bank will be deposited immediately for collection.
- 11.2 Payment in respect of New Shares for less than KES 1,000,000 can be made by RTGS or EFT. Payment for New Shares in excess of KES 1,000,000 must be effected by RTGS to the Receiving Bank provided that the Eligible Shareholder, purchaser of Rights or Renouncee completes the relevant section of the Entitlement and Acceptance Forms. EFT and RTGS payment should be made to Diamond Trust Bank Kenya Limited, Bank Code : 63, Nation Centre Branch (Branch Code: 001), SWIFT Code: DTKEKENA, Account No: 0111352001, Account Name: TPSEA Eastern Africa Ltd Rights Issue. Reference : PAL/ Form R/ Form E Number.
- 11.3 No interest will be payable by TPSEA on money received.
- 11.4 Eligible Shareholders, purchasers of Rights and Renouncees with CDS Accounts are required to pay the Subscription Price per New Share in accordance with the Entitlement and Acceptance Forms plus KES 30 in accordance with the Central Depositories (Regulation of Central Depositories) (Amendment) Rules, 2008.

12 **Refunds**

No interest will be paid on any Application Monies to any Eligible Shareholders, purchasers of Rights or Renouncees. Interest, if any, earned on Application Monies is payable to the CMA Investor Compensation Fund in accordance with the CMA regulations. Refunds in respect of unsuccessful applications (if any) shall be in the form of refund cheques or by way of EFT or RTGS (where an Eligible Shareholder, purchaser of Rights or Renouncee has provided accurate

RTGS or EFT details including the name of the relevant bank, bank code, branch, branch code and account number. The preferred method of refund is RTGS or EFT where a bank account is available since refunds will reach the recipient quicker, more efficiently and effectively if the information provided is correct. TPSEA will begin sending refunds to Eligible Shareholders, purchasers of Rights and Renouncees from 1st October 2010. Eligible Shareholders, purchasers of Rights and Renouncees are required to choose their preferred option of refund: (a) by EFT or RTGS (b) ordinary post at the risk of the Eligible Shareholder, purchaser of Rights or Renouncee or (c) collected by the Eligible Shareholder, purchaser of Rights or Renouncees from the relevant Authorised Agent (as designated on the PAL for that purpose) against proof of identity. Neither TPSEA nor any Authorised Agent will be responsible for any refund not received. Where a Lender has advanced money to an investor to subscribe for New Shares, refunds will be made to or for the account of such Lender as the case may be.

13 Listing and trading of New Shares

- 13.1 Successful Eligible Shareholders, purchasers of Rights and Renouncees with CDS Accounts who comply with the procedures for acceptance as set out in this Information Memorandum will receive their New Shares in electronic form by having their CDS Accounts credited with the number of New Shares allotted. It is the responsibility of Eligible Shareholders, purchasers of Rights and Renouncees to ensure that their CDS Account details as set out in the Entitlement and Acceptance Forms are correct.
- 13.2 Successful Eligible Shareholders or purchasers of Rights without a CDS Account who comply with the procedures for acceptance, as set out in this Information Memorandum, will receive their New Shares in certificate form to be delivered through the Registrar. Trading of the New Shares may only take place if the Eligible Shareholder has a CDS Account.
- 13.3 It is anticipated that the fully paid New Shares will be admitted on the Main Investment Market Segment of the NSE on 4th October 2010, with dealings in the New Shares commencing at 9.00 a.m. on the same date.

14 Procedure in respect of Rights not taken up

- 14.1 Eligible Shareholders who do not wish to take up their Entitlement do not need to take any action. If payment in full (whether by the original allottee or any person in whose favour the Rights have been renounced) is not received by 3.00 p.m. on 31st August 2010 in accordance with the procedure for acceptance and payment, the Entitlement will be deemed to have been declined and will lapse.

15 Untaken Rights and Allocation Policy

- 15.1 All Eligible Shareholders, purchasers of Rights and Renouncees who apply for their New Shares in full shall receive the full number of New Shares indicated on the PAL, Form E or Form R. New Shares not taken up shall form the Untaken Rights. The Untaken Rights may be allocated as Additional New Shares to Eligible Shareholders who duly submit applications for Additional New Shares in accordance with paragraph 7 of this Section.

- 15.2 The Untaken Rights may be allocated and allotted by the Board on an equitable basis and on such terms as the Board may deem fit, and if not allotted, will lapse.

16 Loan Facilities

- 16.1 Eligible Shareholders, purchasers of Rights and Renouncees may approach a Lender, at their own risk, for loan facilities to facilitate participation and payment of the full amount due in respect of the Rights Issue.
- 16.2 Please note that the extension of loan facilities by any Lender is a decision to be made by such Lender at its sole and absolute discretion.
- 16.3 Lenders extending finance to an Eligible Shareholder, purchaser of Rights or Renouncees must submit payment for the full amount due and attach the duly completed and signed Entitlement and Acceptance Forms, together with a letter signed by authorised representatives of the Lender addressed to the Registrar, requesting the share certificates for the applicable shares to be submitted to such Lender, to reach the Authorised Agent by 3.00 p.m. on 31st August 2010.
- 16.4 In the case of Eligible Shareholders, purchasers of Rights or Renouncees with CDS accounts where Acceptance of the Entitlement or purchase of the Rights is financed by a Lender who wishes to take the New Shares as security:
- 16.4.1 the Lender shall write to the CDSC making it clear that it requires the New Shares to be pledged as security until such time as CDSC is instructed in writing to the contrary by such Lender, through an Authorised Agent, to lift such pledge; and
- 16.4.2 upon completion of **CDS Form 5** (available from an Authorised Agent) prescribed by CDSC, all pledges will be effected through entries in the Central Depository System maintained by CDSC. The pledging of such shares will, at all times, be subject to Rule 63 of the Central Depositories (Regulation of Central Depositories) Rules, 2004. For every financed application to the CDSC, the Lender or the purchaser of the Rights is required to pay KES 1,000 via banker's cheque or stockbroker's cheque payable to CDSC - [*insert serial no. of CDS Form 5*].

17 Foreign Investors

- 17.1 The Capital Markets (Foreign Investors) Regulations, 2002 (as amended) (the **Foreign Investor Regulations**) provides that a foreign investor (**Foreign Investor**) is any person who is not a local investor. A local investor is defined to mean: (a) an individual being a natural person who is a citizen of an East African Community Partner State or (b) a body corporate being a company incorporated under the Companies Act of Kenya or such other similar statute of an East African Community Partner State in which the citizens or Government of an East African Community Partner State have beneficial interest in 100% of its ordinary shares or any other body corporate established or incorporated in an East African Community Partner State under the provisions of any written law. An East African Community Partner State means a State that is a member of the East African Community Protocol.

- 17.2 Foreign Investors wishing to apply for New Shares must satisfy themselves as to the full observance of the laws of the relevant territory, governmental and other consents to ensure that all requisite formalities are adhered to, and pay any issue, transfer or other taxes due in such territory. Before applying for and purchasing New Shares, Foreign Investors are advised to consult their own professional advisers as to whether they require any governmental or other approvals or need to observe any applicable legal or regulatory requirements.
- 17.3 The Foreign Investor Regulations require not less than 25% (as amended by Legal Notice No 29 of 2008) of the ordinary shares in listed companies to be reserved for local investors.
- 17.4 This Information Memorandum and accompanying PAL do not, and are not intended to constitute an offer of the New Shares in any place outside Kenya. In that regard, this Information Memorandum and the accompanying PAL may not be used for or in connection with, any offer to, or solicitation by, anyone in any jurisdiction or in any circumstances where such offer or solicitation is not authorised or is unlawful. The distribution of this Information Memorandum and the accompanying PAL outside Kenya may be restricted by the laws of such other countries and persons who come into possession of this Information Memorandum and the accompanying PAL should seek advice on and observe those restrictions. Any failure to comply with such restrictions may constitute a violation of the applicable securities laws in such country. Any such recipient must not treat this Information Memorandum and the accompanying PAL as constituting an offer to him, unless, in the relevant jurisdiction, such invitation or offer could be made lawfully to him without contravention of any unfulfilled registration or legal requirements.
- 17.5 In particular, the Rights Issue has not been and will not be registered under the United States of America Securities Act 1933 or the securities law of any State in the United States of America and is not being made available in the United States of America or to persons resident in the United States of America.
- 17.6 Eligible Shareholders with a registered address in Kenya holding Existing Shares on behalf of persons who are resident in a jurisdiction outside Kenya are responsible for ensuring that taking up of the New Shares under the Rights Issue does not breach securities laws in that other jurisdiction. The return of duly completed Entitlement and Acceptance Forms in accordance with this Information Memorandum will be deemed as a representation that there has been no breach of such laws.

18 Regulatory Restrictions

- 18.1 Eligible Shareholders, purchasers of Rights and Renouncees are requested to note that TPS Eastern Africa Limited is subject to the provisions of the Capital Markets legislation. Notably, for purposes of the Rights Issue, is the provision summarised in paragraph 18.2 below. Eligible Shareholders, purchasers of Rights and Renouncees are required to seek professional advice in connection with these matters. Kindly note that the Directors may take the said provision into account when determining the allocation and allotment of any Untaken Rights to applicants for Additional Shares.

- 18.2 The Capital Markets (Take-Overs and Mergers) Regulations, 2002 oblige the observance of certain procedures if any person takes up Rights which would result in that person acquiring effective control of a listed company.

19 Tax Implications

- 19.1 Eligible Shareholders, purchasers of Rights and Renouncees interested in participating in the Rights Issue should consult their tax advisers for any possible tax implications connected with the Rights Issue. Therefore, TPS Eastern Africa Limited and its Directors consider it unnecessary to provide detailed advice in respect of taxation consequences in connection with the Rights Issue save for what is expressly set out in this Information Memorandum.
- 19.2 Neither TPSEA nor any of its Directors nor any of TPSEA's officers or advisers accept liability for any taxation implications on Eligible Shareholders in connection with the Rights Issue.
- 19.3 Currently, local Investors are subject to withholding tax on dividends at the rate of 5%. Foreign Investors are subject to a withholding tax on dividends at the rate of 10%.

20 Expenses of the Rights Issue

- 20.1 The table below sets out the estimated costs relating to the Rights Issue.

Costs*	Amount KES
Transaction advisers & Sponsoring Stockbrokers	6,000,000
Legal fees	1,600,000
Accountants' fees	1,500,000
Receiving bank	2,000,000
Registrar fees	1,640,200
PR and advertising fees	1,200,000
NSE Approval fees	500,000
CMA approval fees	3,000,000
Placing commission**	9,837,037
Underwriting commission	7,200,000
Interest on proceeds payable to the Investor Compensation Fund***	5,000,000
Contingency fund	850,000
Printing Costs	2,612,500
TOTAL	42,939,737

* These figures are inclusive of VAT (where applicable), are indicative and are subject to change.

** Placing commission of 1.5% is payable to members of the NSE (subject where necessary to a minimum of KES.100 per application) appointed as Authorised Agents and 1% is payable to the Receiving Bank, who have been appointed as an Authorised Agent, and is computed on the value of each successful application accepted in respect of the Entitlement and Acceptance Forms completed and signed by Eligible Shareholders, purchasers of Rights or Renouncees, bearing the stamp of a single Authorised Agent. No

commission will be payable in respect of PALs delivered directly to the Company Secretary.

*** This figure is dependent on the average inter-bank lending rate to be applied on the proceeds of the Rights Issue and prevalent during the period of time between last date of receiving payments for new and additional shares and the date of sending refunds.

21 Governing Law

The Rights Issue documents and any contract resulting from the acceptance of an application to purchase the New Shares shall be governed and construed in accordance with the Laws of Kenya. It shall be a term of each such contract that the parties thereto, and all other interested parties submit to the exclusive jurisdiction of the Courts of Kenya.

SECTION VII

OVERVIEW OF THE ECONOMIC SITUATION IN KENYA AND TANZANIA

1. KENYA

This section is sourced from the March 2010 edition of the Monthly Economic Review by the Central Bank of Kenya and updated for current information where applicable.

1.1 Macro-overview of real GDP growth in Kenya

Kenya is the regional hub for trade and finance in East Africa. Economic growth stagnated in the third quarter of 2009 at 0.0 percent, with the level of output of goods and services remaining equal to that experienced in the same quarter of 2008. This was as a result of various shocks including the persistent drought which adversely affected the agricultural and power sectors and, the rising fuel prices which suppressed the transport and manufacturing sectors. Other shocks included the global economic crisis and the lag effects of the post-election crisis experienced in 2008, all of which affected growth during the quarter. Growth rates during the first and second quarters of 2009 were equivalent to 4.0 and 2.1 percent, respectively. The GDP growth for the fourth quarter of 2009 and first quarter of 2010 was 3.3 percent and 4.4 percent, respectively.

1.1.1 Inflation

The overall 12-month inflation stood at 4.0 percent in March 2010. This was after revised coverage in terms of area and commodities and the reconstitution of the CPI basket of goods and services from findings of the Kenya Integrated Household Budget Survey of 2005/06, thus updating the consumer preferences which have changed over the years. The annual average inflation rate, on the other hand stood at 7.0 percent in March 2010. The inflation figure for June 2010 was 3.2 percent.

1.1.2 Government of Kenya Fiscal Operations

Government budgetary operations in the third quarter of the fiscal year 2009/10 resulted in a deficit of KES 96.2 billion (3.8 percent of GDP on commitment basis) compared with a deficit of KES 32.7 billion (1.4 percent of GDP) in a similar period of 2008/09. The budget deficit during the period was well within the target of 4.7 percent of GDP on a commitment basis.

1.1.3 Public Debt

Public and publicly-guaranteed debt increased by 10.7 percent in the third quarter of the fiscal year 2009/10 to stand at KES 1,166 billion in March 2010 from KES 1,053.7 billion in June 2009. The external debt to GDP ratio decreased from 22.4 percent in June 2009 to 21.0 percent in March 2010, while the domestic debt to GDP ratio increased from 21.7 percent to 25.5 percent during the period.

1.1.4 Money Supply

Money supply, M3, grew by 22.3 percent in the year to March 2010 compared with 11.7 percent in a corresponding period in 2009, and was above the projected 18.2 percent growth for March 2010.

1.1.5 Interest Rates

The Monetary Policy Committee in their meeting of 12th March 2010 lowered the Central Bank Rate (CBR) to 6.75 percent to signal a reduction in short term interest rates. The Central Bank noted that the reduction in the CBR should stimulate credit expansion with a low threat to inflation. The rate had previously been lowered in November 2009 to 7.0 percent from the previous position of 7.75 percent in October 2009. As at June 2010, other short-term and long-term interest rates had declined significantly since January 2010.

1.1.6 Exchange Rates

The Kenya Shilling posted mixed performance against major world currencies, weakening against both the US Dollar and the Japanese Yen but strengthening against the Sterling Pound and the Euro in March 2010. Against the US Dollar, the Kenyan Shilling exchanged at KES. 76.95 in March 2010 compared with KES. 76.69 in February 2010.

1.1.7 Balance of Payments

Kenya's balance of payments position improved from a deficit of USD 706 million in the year ending February 2009 to a surplus of USD 469 million in the year ending February 2010. The improvement reflected a surplus in the capital and financial account which offset the current account deficit.

1.1.8 Foreign Exchange Reserves

The banking system's total foreign exchange holdings increased from USD 4,335 million in February 2009 to USD 5,254 million in February 2010. The increase was in the gross official foreign exchange reserves held by the Central Bank which rose from USD 2,745 million, (3.2 months of import cover in February 2009), to USD 3,723 million (or 3.9 months of import cover in February 2010).

2. TANZANIA

This section is sourced from the March 2010 edition of the Monthly Economic Review by the Bank of Tanzania and updated where applicable.

2.1 Macro-overview of real GDP growth in Tanzania

Although real GDP growth fell to around 5% in 2009 owing to a slowdown in the mining, manufacturing and construction sectors, a recovery is underway. The economy depends heavily on agriculture, which accounts for more than 40% of GDP, provides 85% of exports and employs 80% of the workforce.

2.1.1 Inflation

The annual inflation rate decreased to 9.6 percent in February 2010 from 10.9 percent recorded in the preceding month, mainly due to a decrease in food prices. Meanwhile, the 12-month average annual inflation increased to 11.7 percent in February 2010 from 11.0 percent recorded in the corresponding period of 2009.

2.1.2 Bank of Tanzania Fiscal Operations

In February 2010, fiscal operations registered an overall deficit (adjusted to cash) amounting to TZS 1.1 billion, which was financed mainly from domestic sources to the tune of TZS 13.9 billion, and the balance was obtained from foreign sources. Total expenditure for February amounted to TZS 18.5 billion against a target of TZS 24.6 billion and the budget deficit was exclusively financed through foreign sources.

2.1.3 Revenue Performance

Total revenue collections during February 2010 amounted to TZS 13.9 billion, below the target of TZS 14.7 billion. Tax collections reached TZS 12.8 billion, and were below the target of TZS 13.3 billion and accounted for 92.1 percent of the total revenue collections. Non-tax revenue amounted to TZS 1.1 billion, below the target of TZS 1.4 billion and accounted for 7.9 percent of the total revenue collections.

2.1.4 Money Supply

The growth of extended broad money supply (M3) rose to 19.0 percent in February 2010, from 18.4 percent recorded in February 2009, but was slightly lower than 20.8 percent recorded in the preceding month.

2.1.5 Interest Rates

The overall weighted average yields of Treasury bills decreased to 6.4 percent in the period October 2009 to February 2010, from 11.4% in a comparable period in the previous year. However, the yields are still lower when compared with 12.53 percent and 10.99 percent recorded in January 2009 and December 2008, respectively. In January 2010 the bank auctioned 5 year Treasury bonds, whose yield increased to 13.77 percent from 13.45 percent realized in September 2009 when it was last auctioned.

2.1.6 Exchange Rates

The value of the Tanzanian Shilling against the US Dollar depreciated to an average of TZS 1,327.13 in the period October 2009 to February 2010, from an average of TZS 1,277.60 in a comparable period in the previous year.

SECTION VIII

OVERVIEW OF THE TOURISM INDUSTRY IN KENYA AND TANZANIA

1. INTRODUCTION

East Africa is widely considered to be the premier destination in the world for wildlife game viewing and the Safari experience. Kenya's Maasai Mara and the adjoining Serengeti eco-system in Tanzania offer visitors the chance to see an astounding variety of animal species. The spectacular migration of wildebeest between the Serengeti and the Mara attracts thousands of visitors each year. There are 55 national parks and game reserves in Kenya (*Source: Kenya Wildlife Service*) and another 17 in Tanzania (*Source: Tanzania Tourist Board (TTB)*). In addition, the region has a magnificent tropical coastline that attracts tourists in search of a classic beach holiday as well as permitting a unique beach and safari experience. Spectacular scenery, from coastal to savannah, from arid desert to lush mountain highlands, provides a wealth of additional opportunities and attractions for tourism. With a warm and temperate climate and a welcoming and hardworking population, East Africa possesses an enduring attraction for the discerning visitor who recognises value-for-money rates.

In broad terms, the market is divided into three categories: coastal, safari and business/corporate. In Kenya these segments are covered by the Coast (including Mombasa), the Southern Safari Circuit of Tsavo, Amboseli and Maasai Mara, the Northern Safari Circuit taking in Mount Kenya, Samburu and northern Kenya, and the corporate/business segment centred around Nairobi. In Tanzania the segments are Coastal (including Zanzibar), a relatively less-developed Southern Safari Circuit (Ruaha and Selous) and the famous Northern Safari Circuit encompassing the Serengeti, Ngorongoro Crater, Lake Manyara and Arusha (including Mount Kilimanjaro).

Traditionally, tourist arrivals have been from the key markets of North America, the United Kingdom and Western Europe (particularly Germany and Italy). In recent years, the tourism market has become more diversified with new business being sourced from intra-Africa destinations, domestic demand from within Kenya and Tanzania and also from the emergent markets of Eastern and Central Europe, Japan and other Far Eastern destinations such as China.

Tourism is one of the most important contributors to foreign exchange earnings in the region, following agricultural and horticultural commodities. The industry is also a major employer and a key user of foreign and internal investment. As such, it is a central pillar of the economies of the East African countries and an area of vital interest to their Governments.

In recent years the East African tourism industry has proved resilient in the face of many factors outside its control that have negatively impacted demand. These have included civil unrest and clashes, climate change resulting in droughts and floods and foreign-government imposed travel advisories that followed the September 11th 2001 attacks in the USA, which resulted in some airlines suspending flights to the region.

There is no question that 2009 was a hectic year for the hospitality and tourism industry in the world and East Africa at large (Tanzania, Kenya, Uganda, Rwanda and Burundi). Events, issues and concerns ranging from the global financial slowdown to erratic fuel prices and the emergence of the H1N1 virus (swine flu) all worked against the industry.

The industry within the region has demonstrated to observers that it has the necessary buoyancy and resilience to overcome such challenges and bounce back. The United Nations World Tourism Organisation (UNWTO) has elected Kenya, together with other African countries, to the Executive Council. This is a specialised agency of the United Nations dealing with tourism policy issues and development of the sector at the global level. It gives Kenya an opportunity in setting the pace and shaping tourism policies and strategies at the global level.

2. THE EAC COMMON MARKET PROTOCOL

The Protocol on the Establishment of the East African Community Common market (the Protocol) was signed by the East African Community Partner States on 20th November 2009.

The Protocol provides the foundations for the development of a common market. Each of the Partner States is required to endeavour to integrate and harmonise their national policies in the hopes of eliminating the barriers to regional trade, removing restrictions that are placed on cross-border movement of persons, labour, services and capital within the region. The Common Market Protocol identifies financial services, tourism, education, communication, transport, distribution and business services sectors as some of the sectors to be liberalised.

On 26th February 2010 the Sectoral Council on Tourism and Wildlife Management adopted the draft Protocol on Tourism and Wildlife Management in Arusha, Tanzania. The main objective of the Protocol on Tourism and Wildlife Management is to provide for the establishment of mechanisms and institutions for the co-ordination, promotion and facilitation of the development of responsible tourism and sustainable wildlife management within the Community.

The core objectives of the Protocol are to:

- ❖ maximise benefits from sustainable tourism and wildlife for the people of the Community;
- ❖ develop a collective and co-ordinated approach to the promotion and marketing of East Africa as a single tourist destination;
- ❖ harmonise policies in wildlife and tourism sectors;
- ❖ support and promote development of strategies, plans and programmes for sustainable use of wildlife and tourism resources;
- ❖ establish a framework to ensure equitable distribution of benefits from the tourism and wildlife sectors;
- ❖ establish a common code of conduct and professional standards for private and public operators;
- ❖ standardise classification of tourism facilities and services within the Community;
- ❖ enhance cross border efforts in the protection and monitoring of wildlife and wildlife areas against encroachment, poaching and other illegal activities;
- ❖ collaborate in establishing viable wildlife populations and species diversity;

- ❖ promote and facilitate research, monitoring and information management and sharing in tourism and wildlife sectors;
- ❖ develop and support programmes for capacity building; and
- ❖ mobilise financial and technical resources from other regional and international organisations.

In their collaborative efforts to promote tourism in the area, member countries of the EAC have agreed to introduce a single tourist visa, as the need for different visas from different embassies is seen to be a stumbling block and deterrence for many visitors wanting to travel to the region. Ministers forming the Sectoral Council on Tourism and Wildlife Management of the EAC have directed the bloc's secretariat to expedite action on the implementation of the single tourist visa. Test runs for this project are expected to take place from February to September 2010 and involve nationals from South Africa, United Kingdom, USA, Germany, France, Canada, Australia, Japan, Italy, Netherlands, Belgium, and the Scandinavian countries.

The implications on the tourism sector of the Protocol and the introduction of the single tourist visa allows those in the industry to sell tourism across the region, allowing tourists to travel through a series of endless borders to sample the unique attractions that East Africa has to offer. Packages integrating the EAC Partner States can be developed that would include holidays to destinations that may not receive as many tourists as other countries within the community thereby creating more awareness within the region, which in turn will generate more revenue in tourism sales in the respective countries. The countries of the EAC have also initiated the idea of re-evaluating and rating of hotels and restaurants using a new set of standards developed for the region. The implementation of this approved uniform standards and classification criteria for the EAC marks a critical milestone in the integration of the region as one tourist destination. This ensures that those on a single tourist visa visiting the different countries will not be subject to hotels of a sub-par standard as compared to hotels in other countries within the community.

3. KENYA

The establishment of the Kenya Tourist Board (KTBB) has led to a renewed engagement by the Government in fostering the revival and future development of the tourism industry in the country. The establishment of the Tourist Police Unit is intended to address security issues. Closer economic and political ties through the East African Community and the East African Customs Union combined with stronger economic activity and GDP growth in Kenya point the way to a better future for the tourism industry.

The numbers show that, international tourism to Kenya in Kenya Shilling terms increased over three and a half fold, the revenue collected growing from KES 17.8 billion in 2002 to KES 65.4 billion in 2007. In terms of the number of international tourists arriving in Kenya, the numbers more than doubled from 1,001,302 (in 2002) to 2,004,086 (in 2007) For the last decade or so, the largest percentage of foreign nationals arriving in Kenya have come from the U.K., followed by the U.S., Germany, Italy and France, in that order, with these five countries accounting for roughly 40-50% of all international arrivals (*Source: KTB Tourism Overview 2009*).

According to the KTB, of the total international arrivals recorded in 2008, 42.49% came to Kenya on holiday. This is reassuring, as it illustrates the resilience of the tourism industry in Kenya in the wake of the election turmoil that surrounded the first quarter of 2008, and the subsequent bad press that Kenya got as a tourist destination during 2008.

It is universally acknowledged that the Kenyan tourism industry suffered greatly during 2008, firstly, due to the tightening of leisure travel abroad in the wake of the global credit crunch, coupled with the Kenya election fall out in 2008. It is interesting to note that the number of international arrivals after falling to monthly lows of 37,000 in February 2008 rose to over 79,000 in February 2009 and by September 2009, the number of tourist arrivals stood at 687,664 (up 38.6% from the same period in 2008). Tourism in 2009 earned KES. 62.5 billion, up from KES. 52.71 billion in 2008. These earnings are, however, still lower than the 2007 performance, the country's best year, when the sector earned KES. 65 billion (*Source: KTB Tourism Overview 2009*).

4. TANZANIA

Tourism in Tanzania plays a vital role in the country's economic development. It is one of the major sources of foreign exchange. The sector directly accounts for about 16% of the GDP and nearly 25% of total export earnings. Tanzania earned US\$1.35 billion from tourism in 2009, up from a projected US\$ 1.2 billion in 2008, making the sector the leading foreign exchange earner (*Source: Tanzania National Website*). Tanzania's main markets are Britain, Germany, US, Italy, France, Russia, Spain and the Scandinavian countries.

The majority of overseas visitors spend their time in the national parks on safari. The coastal strip, apart from the area around Dar-es-Salaam and Zanzibar, is less developed for tourism than Kenya. The introduction of daily KLM flights to Kilimanjaro airport and additional charters to Zanzibar from Europe, has meant that Tanzania has reduced its reliance on Nairobi and Mombasa as entry points. The Kenya/Tanzania holiday combination, however, will remain at healthy levels as clients recognise the unique features of the national parks, game reserves and resorts in both countries.

The Government has also recognised the need to promote the country and the recent establishment of the Tanzania Tourist Board (TTB) is a positive move forward. Destination Tanzania is now represented at all major tourism trade fairs through the TTB.

Government policy to control new developments of lodges and camps within the Serengeti National Park and the Ngorongoro Conservation area in order to limit environmental damage has resulted in Tanzania's safari market commanding a rate premium over Kenya. During the peak season (February and July to October), demand for accommodation exceeds supply and major overseas tour operators have been marketing the off-peak months, thus improving the ability of the Tanzania Serena units to further improve yield.

In 2009 Tanzania's performance plunged to as low as 50% according to the National Bureau of Statistics figure. Tanzania's tourism sector was hard hit by the global economic recession which reduced arrivals to a trickle.

At the height of the holiday period in 2009 (December 2009), Zanzibar's tourism sector faced a heavy loss after a power outage, caused by a broken connector, plunged the islands into darkness at a time when Zanzibar was already facing reduced income due to the global economic downturn which had cut arrivals by 12%. (Source: *Tanzania National Bureau of Statistics*). In February 2010, the Zanzibar government outlined measures to end the incessant power blackouts on the island. Such measures include the replacement of the defective undersea electric inter-connectivity system that feeds Zanzibar with about 20MW of power daily and the installation of three stand-by generators on the island. This will undoubtedly have a positive impact on the tourism industry in Zanzibar.

SECTION IX

INFORMATION ON TPS EASTERN AFRICA LTD AND ITS SUBSIDIARIES

1. HISTORY AND DEVELOPMENT OF THE BUSINESS

1.1 Background

AKFED, which holds 44.69% of the shares in TPS Eastern Africa Limited, is a company that, among other things, promotes tourism by building and managing hotels in selected areas of the developing world which contributes to economic growth in an economically viable and environmentally sensitive manner. Projects must not only be economically sound, but also have a long-term development potential for the country and the region. Under the leadership of AKFED the Serena Group, set up in 1970, owns and operates hotels, lodges and resorts in Kenya, Tanzania and Zanzibar (through the Company and its subsidiaries), in Uganda (with the re-development of the former Nile Hotel, Kampala), in Mozambique, Rwanda, Pakistan, Afghanistan and Tajikistan.

The Serena Group, trading under the well-known brand **Serena** offers customers a superior product with the highest industry-standards of accommodation, service and amenities. All its hotels, lodges and resorts are characterised by unique designs that blend local designs and materials with the standards expected of high quality international hospitality facilities. Their properties are located in some of the most exquisite and prime locations in East Africa which are strategically selected to offer exciting circuits for their clients. The Group's overall strategy in East Africa has been to develop a network of hotels and lodges that cover the principal tourist and urban centres in the region and which provide the facilities that appeal to quality-conscious customers who visit the region for leisure and business. Central to this strategy is a continuous investment in training and service delivery by employees, as well as the regular expenditure on properties necessary to maintain their physical condition and to improve the range of facilities they offer.

1.1.1 Kenya

The Serena Group first began operations in hotels and tourism in Kenya under the **Serena** name in the early 1970s. AKFED sponsored the initial project in collaboration with the Government of Kenya, which participated through the Kenya Tourism Development Corporation (KTDC). The Kenyan business was owned by Tourism Promotion Services Limited (TPSL).

The first units to open were Amboseli Serena Safari Lodge and Mara Serena Safari Lodge in 1973, while Mombasa Serena Beach Hotel began operations in 1975 and Nairobi Serena Hotel was opened in 1976. Samburu Serena Safari Lodge became a wholly owned unit in 1995, following several years of management and partial ownership.

In 1997, KTDC sold their 33.3% of the shares of TPSL as part of the Kenya Government's privatisation programme. 23.3% of the shares of TPSL were sold to the public by way of an offer for sale and TPSL was listed on the NSE.

After the 1997 flotation, TPSL expanded and prospered in often difficult market circumstances by adhering to its quality-driven strategy in all areas. This included expansion and improvement on both the existing hotels and lodges and on the range of facilities offered to customers. TPSL also acquired additional properties which fitted in with the stringent standards and objectives of

the Serena Group and which were consistent with the strategy of covering the whole of the Kenyan safari circuit. In 1998 TPSL took over management of the 42-room Mountain Lodge, situated in Mount Kenya National Park, and Kilaguni Lodge in Tsavo West National Park. In 2005 Sweetwaters Tented Camp near Mount Kenya was added to the portfolio under a management arrangement. In 2006 TPSL was de-listed from the NSE and in its stead TPS Eastern Africa Limited was listed on the NSE. TPSL was further renamed Tourism Promotion Services (Kenya) Limited.

1.1.2 Tanzania

During the 1990s, AKFED promoted the Serena brand in Tanzania through the development of hotels and lodges in Zanzibar and on the Northern Safari Circuit of the Serengeti, Lake Manyara and Ngorongoro Crater. Investment partners for this project included IFC, CDC and The National Social Security Fund (Tanzania) (NSSF).

The five star Serena properties in the Serengeti, Lake Manyara and at Ngorongoro Crater, are now the market leaders. TPS (T) entered into a management agreement in 2000 for Mountain Village, Arusha which is the hub for the Northern Safari Circuit, and entered into a management agreement in 2005 for the refurbished and upgraded Mbuzi Mawe tented camp in the Serengeti. At the Coast, the Zanzibar Serena Inn was first opened in 1998 as one of the most prestigious hotels in Stone Town. Mangapwani Beach Resort restaurant in Zanzibar started business in 2003. The Company is currently in the process of purchasing 51% of the issued shares in Upekee Lodges Limited, a company which owns Mivumo River Lodge and Selous Wildlife Lodges, and acquiring the assets of Mountain Village and Mbuzi Mawe Tented Camp.

1.2 THE HOTELS AND LODGES

The Group's portfolio currently comprises of 18 luxury properties in Kenya, Tanzania and Zanzibar. Each property is enhanced by its unique surroundings. Indigenous and imaginative design and local materials are integrated with the most modern amenities and are complemented by exceptional standards of service.

The names, locations and respective capacities of the units owned or operated by the Group are as follows:

<u>Unit</u>	<u>Rooms</u>
<u>Kenya</u>	
Nairobi Serena Hotel	183
Mombasa Serena Beach Hotel	165
Amboseli Serena Safari Lodge	96
Mara Serena Safari Lodge	73
Samburu Serena Safari Lodge	62
Kilaguni Serena Safari Lodge	56
Serena Mountain Lodge*	42
Sweetwaters Tented Camp*	30
Ol Pejeta House*	6
<i>Total rooms in Kenya</i>	713

Tanzania/Zanzibar

Serengeti Serena Safari Lodge	66
Kirawira Tented Camp & W. Serengeti	25
Ngorongoro Serena Safari Lodge	75
Lake Manyara Serena Safari Lodge	67
Serena Mountain Village, Arusha*	46
Zanzibar Serena Inn	51
Mbuzi Mawe Tented Camp*	16
Selous Wildlife Lodge*	12
Mivumo River Lodge*	12
<i>Total rooms in Tanzania</i>	370

Total rooms in Kenya & Tanzania 1,183

*Properties managed by Serena.

1.3 SHAREHOLDERS' PROFILE

1.3.1 Distribution of shareholders

	Number of Shareholders	Number of Shares	% Shareholding
Less than 500 shares	2,598	763,082	0.72
500-5,000 shares	6,216	6,909,348	6.53
5,001-10,000 shares	208	1,486,661	1.40
10,001-100,000 shares	250	7,153,452	6.76
100,001-1,000,000 shares	37	8,148,628	7.70
Over 1,000,000 shares	8	81,403,571	76.89
TOTAL	9,317	105,864,742	100.00

1.3.2 Shareholder categories

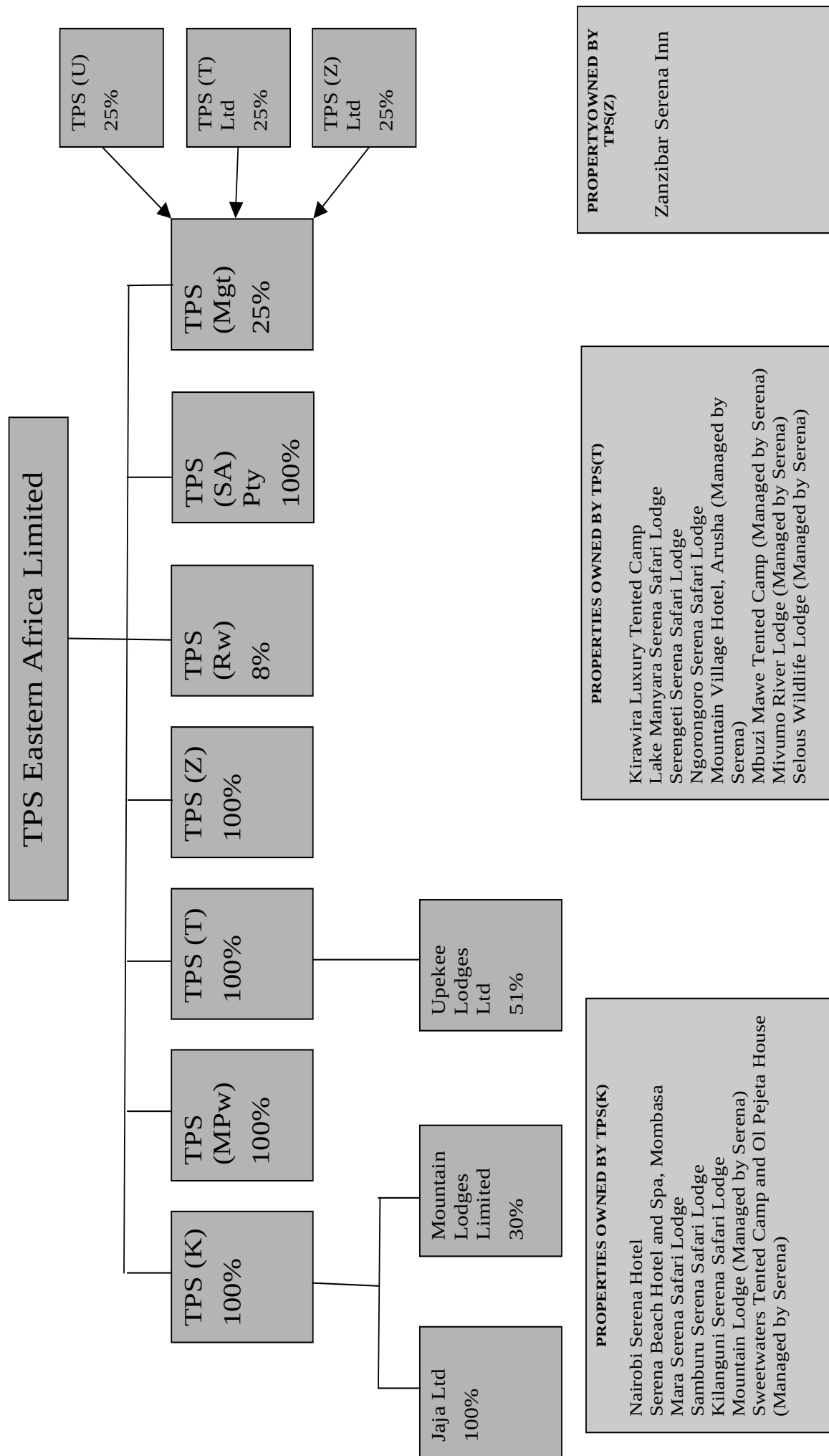
	Number of Shareholders	Number of Shares	% Shareholding
Foreign Investors	128	60,400,134	57.05
Local Institutions	696	30,999,594	29.28
Local Individuals	8,493	14,465,014	13.67
TOTAL	9,317	105,864,742	100.00

1.3.3 Ten largest shareholders

The ten largest shareholders as at 30th April 2010 are as follows:

<i>Name of Shareholder</i>	<i>% shareholding</i>
Aga Khan Fund For Economic Development S.A. - (Swiss)	44.69
Barclays (K) Nominees Limited (A/C 9198 DGCs,FBO, IFC, COR	9.09
The Jubilee Insurance Company Limited - (Kenya)	6.40
Industrial Promotion Services (K) Limited - (Kenya)	5.19
PDM (Holdings) Limited	4.46
Craysell Investment Limited	1.94
Barclays (K) Nominees Limited (A/C 9389)	2.04
Premchand Kanji Shah	1.55
National Social Security Fund (Tanzania)	1.31
Kenya Commercial Bank Nominees Limited	0.66
Others	22.43
Total	100.00

1.4 ORGANOGRAM OF TPSEA'S SUBSIDIARIES AND PROPERTIES



1.5 LONG-TERM DEBTS OF TPSEA AND ITS SUBSIDIARIES AS OF FEBRUARY 2010

1.5.1 TPS (Tanzania)

Full Title (including interest rate and maturity date)	Amount authorised by debt instrument	Amount issued to date	Amount redeemed	Amount outstanding	Issue Price	Date & payment of interest	Date & terms of redemption
Secured senior loan with National Bank of Commerce (NBC). Interest= 11% + 1.25% guarantee fee. Maturity= September 2011	TZS. 15,500,000,000	TZS. 15,500,000,000	n/a	TZS. 6,517,478,361	n/a	11% per annum	n/a
Secured senior loan with NBC. Interest= 11%. Maturity= January 2013	TZS. 4,000,000,000	TZS. 4,000,000,000	n/a	TZS. 3,380,951,681	n/a	11% per annum	n/a
Secured Loan with Barclays Bank of Tanzania. Interest= 4.77%. Maturity= August 2013	USD. 4,000,000	USD. 4,000,000	n/a	TZS. 3,731,593,994	n/a	4.77% per annum	n/a

1.5.2 TPS (Kenya)

Full Title (including interest rate and maturity date)	Amount authorised by the debt instrument	Amount issued to date	Amount redeemed	Amount outstanding	Issue price	Date of payment of interest	Date & terms of redemption
Kenya Shillings 1,000,000,000 (one billion) Tranché General Note Programme. Interest shall be specified in each Pricing Supplement (first tranche was 12% per annum). Maturity 2014-2016	KES 1,000,000,000	KES 400,000,000 (from the first and second tranche)	KES 400,000,000 (from the first and second tranche)	KES 600,000,000 (from the remaining tranches)	Notes issued on a fully paid basis at par	Interest shall be paid twice yearly on dates indicated in each Pricing Supplement. Interest shall be paid starting from the Issue and Payment Date and ending on the Maturity Date.	Early redemption is permitted in accordance with the Terms and Conditions. The period after which each tranche may be redeemed is specified in each Pricing Supplement.

Secured Loan with Barclays Bank Kenya Limited. Interest= 12.50% per annum. Maturity= 30th September 2013	KES 441,750,000	KES 441,750,000	n/a	KES 309,200,000	n/a	12.50% per annum	n/a
Secured Loan with Barclays Bank of Kenya Limited. Interest= 12.50% per annum. Maturity= 30th November 2013	KES 24,000,000	KES 24,000,000	n/a	KES 16,800,000	n/a	12.50% per annum	n/a
Secured Loan with Barclays Bank of Kenya Limited. Interest= 12.50% per annum. Maturity= 30th September 2013	KES 71,000,000	KES 71,000,000	n/a	KES 67,450,000	n/a	12.50% per annum	n/a

1.5.3 TPS(Zanzibar)

Full title (including interest rate and maturity date)	Amount authorised by the debt instrument	Amount issued to date	Amount redeemed	Amount outstanding	Issue price	Date of payment of interest	Date & terms of redemption
Loan from Diamond Trust Bank (Tanzania) Limited. Interest= 12.5% per annum. Maturity= 2014	TZS. 850,000,000	TZS. 850,000,000	n/a	TZS. 807,500,000	n/a	12.5% per annum	n/a

1.5.4 TPSEA Current Assets and Liabilities

	2009	2008	2007	2006	2005
	KES 000s	KES 000s	KES 000s	KES 000s	KES 000s
Current Assets	1,522,281	1,249,920	1,396,706	990,534	910,858
Current Liabilities	988,035	1,017,357	1,327,959	657,005	735,586
Current Ratio	1.54	1.23	1.05	1.51	1.24

1.6 GLOBAL CREDIT RATING

TPSEA received a favourable Global Credit Rating (GCR) in 2010 (expiring in June 2011) by the Global Credit Rating Company. It received a rating of A- for the long term security class and A2 for the short term security class. The complete GCR report is included as Annexure III of this Information Memorandum.

1.7 HUMAN RESOURCES

The Group's employees are spread amongst the hotels and lodges as follows:

Kenya	1,480
Tanzania	620
Zanzibar	151
Total	2,251

High standards of performance are encouraged by rewarding staff in the upper quartile of the Company with very competitive salaries and benefits. Staff benefits include better-than-industry-average service charge payments and beverage sale bonuses.

Staff development and motivation is encouraged through a policy of internal promotions wherever possible. Staff turnover in the Company is low going by industry standards.

The Group has a strong policy of recruiting and training local staff, which is demonstrated by the fact that within East Africa, the Group doesn't have any expatriate staff members. The policy of promotion from within has created loyalty and stability. Staff training and exposure programmes are conducted in partnership with local and international institutions such as Leading Hotels of the World's Leading Quality Assurance. All employees undergo a comprehensive in-house training and induction program and ongoing training courses in their specific tasks from qualified trainers.

A code of ethics covers issues such as personal behavior, personal financial management, theft, petty crime and discrimination.

The Group aspires to be 'the best employer' offering employees challenging, exciting and financially rewarding careers. An open, fair and consultative management style is encouraged.

All Serena employees are provided with medical facilities at units which operate an in-house clinic. In addition employees are provided with facilities for external consultation and in-patient treatment at designated hospitals in East Africa.

1.8 ACHIEVEMENTS

Below is a list of awards and accolades that Serena has been honoured with over the last 3 years:

1.8.1 2009

(a) Virgin Holidays WTM Awards

- Best Africa Hotel, Silver Award: Serena Beach Hotel & Spa

(b) East Africa's Most Respected Company Awards

- 2nd Most Respected Company in Uganda: Kampala Serena Hotel, a member of the Leading Hotels of the World
- 3rd Most Respected Company in Rwanda: Kigali Serena Hotel

(c) Condé Nast Traveller Annual 100 Best Hotels

- 9th position in Africa: Kirawira Luxury Tented Camp, member of the Small Luxury Hotel of the World
- 28th position in Africa: Samburu Serena Safari Lodge
- 34th position in Africa: Mara Serena Safari Lodge
- 43rd position Africa: Serena Mountain Lodge
- 45th position in Africa: Ngorongoro Serena Safari Lodge
- 47th position Africa: Serengeti Serena Safari Lodge
- 49th position in Africa: Amboseli Serena Safari Lodge

(d) Saga Awards 2009

- Good Food 2 Rosettes Award: Sweetwaters Tented Camp

(e) Twende & TNM Quest for the Best Awards

- Best City Hotel in Kenya: Nairobi Serena Hotel, member of the *Leading Hotels of the World*
- Best City Hotel in Uganda: Kampala Serena Hotel, a member of the *Leading Hotels of the World*

- Best Country Hotel in Tanzania: Serena Mountain Village, Arusha
- Best Tented Camp in Tanzania: Kirawira Luxury Tented Camp, a member of the *Small Luxury Hotels of the World*

(f) World Travel Awards

- Africa's Leading Green Hotel: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*
- Kenya's Leading Hotel: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*
- Tanzania's Leading Safari Lodge: Ngorongoro Serena Safari Lodge

(g) SGS International Certification for Food Safety and Hygiene

- Kigali Serena Hotel
- Nairobi Serena Hotel

1.8.2 2008

(a) Skai International Ecotourism Award, Corporate Establishments Category

- TPS Serena Hotels

(b) East Africa's Most Respected company in Rwanda

- 3rd Most Respected Company in Rwanda, Kigali Serena Hotel

(c) Twende & TN EQuest for the Best Awards

- Best Business Hotel in Kenya: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*
- Best Business Hotel in Uganda: Kampala Serena Hotel, a member of the *Leading Hotels of the World*
- Best City Hotel in Kenya: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*
- Best City Hotel in Uganda: Kampala Serena Hotel, a member of the *Leading Hotels of the World*
- Best Country Hotel in Tanzania: Serena Mountain Village, Arusha

(d) Tourism for Tomorrow Awards

- TPS Serena Hotels, finalist in the Global Business Category

(e) African Investor Award

- Kampala Serena Hotel, a member of the Leading Hotels of the World

(f) World Travel Award

The following properties were recognized at the prestigious 13th Annual World Travel Awards Ceremony held in Germany:

- Africa's Leading Hotel Brand: Serena Hotels
- Africa's Leading Green Hotel: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*
- Mozambique's Leading Hotel: Polana Serena Hotel
- Tanzania's Leading Hotel: Ngorongoro Serena Safari Lodge
- Tanzania's Leading Resort: Zanzibar Serena Inn, a member of the *Small Luxury Hotels of the World*
- Tanzania's Leading Safari Lodge: Lake Manyara Serena

(g) Travel & Leisure World's Best Awards

- Kirawira Luxury Tented Camp, a member of the *Small Luxury Hotels of the World*
- Sweetwaters Tented Camp
- Amboseli Serena Safari Lodge
- Lake Manyara Serena Safari Lodge
- Serengeti Serena Safari Lodge

1.8.3 2007

(a) East Africa's Most Respected Company of the year (Tourism Category)

- TPS Serena Hotels

(b) Super Brand East Africa Certification

- TPS Serena Hotels

(c) The Travel News DQuest for the Best

- Best City Hotel in Kenya: Nairobi Serena Hotel, member of the *Leading Hotels of the World*
- Best City Hotel in Uganda: Kampala Serena Hotel, a member of the *Leading Hotels of the World*

(d) Travel & Leisure DWorld Best Awards

- Mara Serena Safari Lodge
- Sweetwaters Tented Camp
- Kirawira Tented Camp, a member of the *Small Luxury Hotels of the World*
- Ngorongoro Serena Safari Lodge

(e) National Environment Management Authority- Best Industry in stopping climate change through tree planting

- Awarded to Serena Mountain Lodge

1.8.4 2006

(a) East Africa DMost Respected Company year (Tourism Category)

- TPS Serena Hotels

Gold Award- Overall Investor of the Year (From the Uganda Investment Authority)

- Kampala Serena Hotel

(b) Travel & Leisure DWorld Best Awards

- Mara Serena Safari Lodge
- Samburu Serena
- Ngorongoro Serena Safari Lodge
- Sweetwaters tented Camp

(c) The Travel News DQuest for the Best

- Best City Hotel in Kenya: Nairobi Serena Hotel, a member of the *Leading Hotels of the World*

(d) Gold List of The World's Best Places to Stay CONDE NAST Traveller

- Mara Serena Safari Lodge
- Samburu Serena,
- Ngorongoro Serena Safari Lodge
- Sweetwaters Tented Camp

1.9 FUTURE PROSPECTS

As a result of developments over the past few years and particularly, the recent integration of the Tanzanian hotels and lodges with the existing operations of TPSEA in Kenya, the Group is now one of the largest hotel businesses positioned in all strategic locations in the East African region.

The Group's units are now geographically diverse enough to limit the effects of a temporary decline in a particular area of the East African market on the Group's overall operations. The Group's concentration on the quality end of the market for hotel and lodge accommodation, coupled with a cautious approach to expansion has ensured a continuous demand for its products.

As an integrated single business unit spanning Kenya, Tanzania and Zanzibar, the Group is benefiting from cost and management synergies in areas such as treasury management, cost management, deployment of human resources as well as enjoying co-ordinated and streamlined marketing and sales services for all the units. The Group has also benefited from the provision of management, reservations and other back-office services for the Serena Group properties in Uganda and Mozambique and other third parties who recognise the need for high quality and efficient management services. This latter activity continues to generate additional income for the Group.

Management is considering acquiring additional properties in the Rift Valley (Nakuru) and Western Kenya and will explore the possibility of exploiting opportunities in the Southern Safari Circuit in Tanzania. Meeting the demand from the growing domestic markets in the region continues to be a priority, as will continuing to build on the existing corporate/business customer base. Conferencing, incentive events and special activities covering niche areas will be exploited further.

Discussions are underway to realise further integration, through a share swap, to acquire shares in TPS (Uganda), at an appropriate future date.

Following the Rights Issue, the Board also intends to seek a listing for the Ordinary Shares of the Company on the DarEs-Salaam Stock Exchange and on the Uganda Securities Exchange.

SECTION X

GENERAL CORPORATE INFORMATION

1 Incorporation and share capital

1.1 Incorporation

The Company was incorporated on 26th May 1971 under the Companies Act, as Tourism Promotion Services (Kenya) Limited and as a private limited company, and changed its name to TPS Holdings Limited on 3rd December 1996. On 8th September 2005, the Company changed its name to TPS Eastern Africa Limited and on 2nd December 2005, the Company was converted into a public company.

1.2 Alterations to share capital

The alterations to the Company's share capital during five (5) years immediately preceding the date of this Information Memorandum is set out below:-

- 1.2.1 By a resolution dated 15th December 2004, the authorised share capital of the Company was increased from KES. 15,575 to KES 81,781,703 by the creation of 81,766,128 new Ordinary Shares of KES 1.00 each.
- 1.2.2 By a resolution dated 29th April 2005, the authorised share capital of the Company was increased from KES. 81,781,703 to KES 100,000,000 by the creation of 18,218,297 new Ordinary Shares of KES 1.00 each.
- 1.2.3 By a resolution dated 8th June 2007, the authorised share capital of the Company was increased from KES 100,000,000 to 106,000,000 by the creation of 6,000,000 new Ordinary Shares of KES 1.00 each.
- 1.2.4 By a resolution dated 24th May 2010, the authorised share capital of the Company was increased from KES. 106,000,000 to KES 192,000,000 by the creation of 86,000,000, new Ordinary Shares of KES 1.00 each in order to provide shares for allotment in the Bonus Issue and Rights Issue.

1.3 Issues of Ordinary Shares by the Company:

- 1.3.1 On 15th December 2004, the Company allotted 31,379,051 Ordinary Shares of KES 1.00 each to the existing shareholders (AKFED, IFC, CDC, PDML, Jubilee and IPS(K)) by way of a bonus issue in the ratio of 2,299 new Ordinary Shares for every 1 Ordinary Share then held.
- 1.3.2 On 15th December 2004, the Company allotted 12,851,192 Ordinary Shares of KES 1.00 each to AKFED, CDC, IFC and NSSFT in consideration for the transfer of 4,224,800 ordinary shares of TZS 1,000.00 each amounting to 100% of the issued share capital of TPS(T).

- 1.3.3 On 15th December 2004, the Company allotted 4,682,008 Ordinary Shares of KES. 1.00 each to AKFED, CDC and IFC in consideration for the transfer of 1,315,000 ordinary shares of TZS 1,000.00 each amounting to 100% of the issued share capital of TPS(Z).
- 1.3.4 On 15th December 2004, the Company allotted 1,508,407 Ordinary Shares of KES. 1.00 each to AKFED in consideration for the transfer of 590,800 ordinary shares of TZS 1,000.00 each amounting to 100% of the issued share capital of TPS(Mg).
- 1.3.5 On 17th December 2004, the Company allotted 27,247,396 Ordinary Shares of KES. 1.00 each to AKFED, CDC and IFC for cash amounts of certain subordinated loans made by such shareholders to TPS(T) and TPS(Z).
- 1.3.6 On 8th June 2007, the Company allotted 17,644,124 ordinary Shares of KES. 1.00 each to the existing shareholders by way of a bonus issue in the ratio of 1 new Ordinary Share for every 5 ordinary shares then held.
- 1.3.7 On 24th May 2010, the Company allotted 17,644,124 ordinary Shares of KES. 1.00 each to the existing shareholders by way of a bonus issue in the ration of 1 Ordinary new Share for every 6 ordinary shares then held.
- 1.4 The share capital of the Company is not divided into different classes of shares and all of the Ordinary Shares carry equal rights and the New Shares, when issued, will rank equally in all respects with the existing Ordinary Shares.
- 1.5 No share or loan capital of the Company has been issued, or agreed to be issued, within the three years preceding the date of this Information Memorandum or is now proposed to be issued, fully or partly paid, for a consideration other than cash.

2 Articles of Association

The present Articles of Association which were adopted by the Company pursuant to a resolution passed on 2nd December 2005 contain provisions, *inter alia*, to the following effect:

2.1 Increase and Alterations of Capital

- 2.1.1 The Company may from time to time, by ordinary resolution, increase its share capital by such sum to be divided into shares of such amounts as the resolution shall prescribe.
- 2.1.2 The Company may, from time to time, by ordinary resolution:
- a) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;
 - b) sub-divide its shares or any of them into shares of smaller amount than is fixed by the Memorandum of Association (subject, nevertheless, to the provisions of section 63(1)(d) of the Companies Act);

- c) cancel any shares which, at the date of the passing of the resolution, have not been issued or agreed to be taken by any person and diminish the amount of its share capital by the amount of the shares so cancelled.

2.1.3 The Company may from time to time, by special resolution, reduce its share capital, any capital redemption reserve fund or any share premium account in any manner and with and subject to any incident authorised and consent required by law.

2.2 ***Variation of Rights***

2.2.1 Whenever the share capital of the Company is divided into different classes of shares, the special rights attached to any class may, subject to the provisions of the Companies Act, be varied or abrogated, either with the consent in writing of the holders of three-fourths of the issued shares of the class, or with the sanction of a special resolution passed at a separate general meeting of such holders. The necessary quorum at such separate general meeting shall be two persons holding or representing by proxy one-third of the issued shares of the class. Any holder of shares in the class present in person or by proxy may demand a poll and on such poll shall have one vote for every share of the class held.

2.2.2 The special rights attached to any class of shares having preferential rights shall not, unless otherwise expressly provided by the terms of the issue thereof, be deemed to be varied by the creation or issue of further shares ranking as regards participation in the profits or assets of the Company in some or all respects *pari passu* therewith but in no respect in priority thereto.

2.3 ***General Meetings***

2.3.1 No business shall be transacted at any general meeting unless a quorum is present at the commencement of business. Twenty-five members present in person or by proxy shall be a quorum and in the case of a corporation who is a member, a duly appointed representative shall be deemed to be a member personally present. If, within thirty minutes of the time appointed for the meeting, a quorum is not present, the meeting, if convened on the requisition of members, shall be dissolved. In any other case it shall be adjourned for one week, at the same time and place, and if at an adjourned meeting a quorum is not present within thirty minutes, any three members who are personally present shall be a quorum and may transact the business for which the meeting was called.

2.3.2 An annual general meeting of the Company shall be held every year and not more than fifteen months shall elapse between any two successive annual general meetings. Extraordinary general meetings may be convened by the directors whenever they think fit and may also be convened by shareholders in accordance with the provisions of the Companies Act.

2.4 **Voting**

- 2.4.1 At any general meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by either:
- a) the chairman (being a person entitled to vote); or
 - b) at least five members present in person or by proxy; or
 - c) a member or members present in person or by proxy and representing at least one-tenth of the total voting rights of all the members having the right to vote at the meeting; or
 - d) a member or members present in person or by proxy holding shares in the Company conferring a right to vote at the meeting being shares on which an aggregate sum has been paid up equal to not less than one-tenth of the total sum paid up on all the shares conferring that right.
 - e) A demand for a poll may be withdrawn. Unless a poll is demanded (and not withdrawn), the chairman's declaration that a resolution has been carried, or carried unanimously or by a particular majority, or lost, and an entry to that effect in the minute book shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded for or against such resolution.
 - f) A poll which is duly demanded shall be taken in such manner as the chairman of the meeting directs and the result of the poll shall be deemed to be the resolution of the meeting at which the poll was demanded. The chairman may, and if so requested, shall, appoint scrutinisers and may adjourn the meeting to some place and time fixed by him for the purpose of declaring the result of the poll.
- 2.4.2 Subject to any special rights or restrictions attached to any class of shares, on a show of hands every member present in person shall have one vote. On a poll every member shall have one vote for each share of which he is the holder.
- 2.4.3 An instrument appointing a proxy and the power of attorney, if any, under which it was signed, must be left at the Company's office or such other place as is specified for that purpose in the notice convening the meeting at least forty-eight hours before the time for holding the meeting or adjourned meeting (or in the case of a poll, the time appointed for taking the poll) at which it is to be used. In default of this Article, the instrument shall not be treated as valid.
- 2.4.4 An instrument appointing a proxy may be in the usual common form or in such other form as the directors may accept and shall be deemed to include the right to demand or join in demanding a poll. An instrument shall be valid for any adjournment of the meeting to which it relates unless the contrary is stated therein and need not be witnessed.

2.5 ***Dividends, Reserves and Distribution of Assets***

- 2.5.1 The Company may, in a general meeting, declare dividends but no dividend may be paid otherwise than out of profits or exceed the amount recommended by the directors.
- 2.5.2 The directors may pay interim dividends.
- 2.5.3 No dividend or other moneys payable on or in respect of a share shall bear interest against the Company.
- 2.5.4 The directors may set aside out of the profits of the Company and carry to reserve such sums as they think proper which, at their discretion, shall be applicable for any purpose to which the profits of the Company may be properly applied and pending such application, may either be employed in the business of the Company or be invested. The directors may divide the reserve into such special funds as they think fit, and may consolidate into one fund any special funds or any parts of any special funds into which the reserve may have been divided. The directors may also carry forward any profits that they may think it is not prudent to divide without placing them to reserve.
- 2.5.5 If the Company shall be wound up all surplus assets remaining in the liquidation are to be paid to the shareholders in the manner determined by the liquidator with the authority of a special resolution.

3 **Material Litigation**

Please see Annexure II of this Information Memorandum which contains a list of material litigation where the value of the claims against and counter-claims by the Company exceeds Kenya Shillings Five Million (KES 5,000,000).

4 **Miscellaneous**

4.1 ***Direct Equity Interests of Directors***

As at 31st December 2009, the direct beneficial equity interests of the Directors in TPS Eastern Africa Limited were as follows:

Name	No. of Ordinary Shares held	Shareholding (%)
Francis Okomo-Okello	1,041	0.00098
Mahmood Manji	1,041	0.00098
Ameer Kassim-Lakha	1,041	0.00098
Abdulmalek Jeevan Virani	1,041	0.00098

4.2 ***Directors' Interest in transactions***

No director of TPS Eastern Africa Limited is or has been interested in any transactions which are or were significant in relation to the business of TPS Eastern Africa Limited and which were

effected during or since the financial year ended 31st December 2009, up and until the last practical date prior to the finalisation of this Information Memorandum, and which remain in any respect outstanding or unperformed.

4.3 ***Bankruptcy***

No bankruptcy, receivership or similar proceedings have been taken against the Company or any of its Directors.

4.4 ***Consents***

Kestrel Capital (East Africa) Limited, Standard Investment Bank Limited, PricewaterhouseCoopers and Kaplan & Stratton Advocates have given and not withdrawn their written consent to the publication of this Information Memorandum containing their reports and opinions in the form and context in which they respectively appear.

4.5 ***Documents delivered to the Registrar of Companies***

A copy of this Information Memorandum has been delivered to the Registrar of Companies for registration and has attached thereto, the written consents referred to in paragraph 4.4 above.

4.6 ***Material changes***

Save as referred to in this Information Memorandum, there have been no material changes in the financial or trading position of TPS Eastern Africa Limited from 31st December 2009 to the date of this Information Memorandum.

5 ***Documents available for inspection***

Copies of the following documents will be available for inspection, free of charge, at the Company's offices at 4th Floor, Williamson House, P.O. Box 48690, Nairobi, 00100, Kenya between 9.00 a.m. and 5.00 p.m. Monday to Friday (except public holidays) from the date of this Information Memorandum until 31st August 2010:

- 5.1 the Information Memorandum;
- 5.2 the sample PAL and sample Forms R, A and E ;
- 5.3 the memorandum and articles of association of TPS Eastern Africa Limited;
- 5.4 the audited annual financial statements of TPS Eastern Africa Limited for each of the five financial years ended 31st December 2009;
- 5.5 directors' resolutions dated 29th March 2010 recommending an increase in the authorised share capital of the Company, the Bonus Issue and the Rights Issue;
- 5.6 shareholders' resolutions dated 24th May 2010 approving the increase of the authorised share capital, the Bonus Issue and the Rights Issue;
- 5.7 a copy of the Capital Markets Authority's approval of the Rights Issue; and
- 5.8 the approval of the Nairobi Stock Exchange in connection with the listing of new TPS Eastern Africa Limited shares.
- 5.9 the unaudited financial statements of TPS Eastern Africa Ltd for the three month period ending 31st March 2010.

SECTION XI

CORPORATE GOVERNANCE

TPS Eastern Africa Limited complies with the provisions of the CMA Guidelines on Corporate Governance Practices for publicly listed companies in Kenya.

The Board comprises of 11 members (10 substantive directors and 1 alternate director), 9 of whom are non-executive directors and two (2) executive, and meets at least four times a year. Details of directors are as follows:

Name	Occupation	Address	Nationality
Francis Okomo-Okello	Chairman	P.O. Box 30500-00100, Nairobi, Kenya	Kenyan
Mahmud Janmohamed	Group managing director	P.O. Box 48690-00100, Nairobi, Kenya	Kenyan
Abdulmalek J. Virani	Group finance director	P.O. Box 48690-00100, Nairobi, Kenya	Kenyan
Jean-Louis Vinciguerra	Non-executive director	1 D3 Avenue de la Paix, Geneva, Switzerland	French
Dr. Ramadhani Dau	Non-executive director	P.O. Box 1322, Dar-es- Salaam, Tanzania	Tanzanian
Kung'u Gatabaki	Non-executive director	P.O. Box 55414-00100, Nairobi, Kenya	Kenyan
Mahmood Manji	Non-executive director	P.O. Box 74445, Nairobi, Kenya	Kenyan
Ameer R. Kassim-Lakha	Non-executive director	P.O. Box 40130-00100, Nairobi, Kenya	Kenyan
Kate Bandawe	Alternate Director to Dr Ramadhani Dau	P.O. Box 1322, Dar-es- Salaam, Tanzania	Tanzanian
Kabir Hyderally	Non-executive director	P.O. Box 30376-00100, Nairobi, Kenya	Pakistani
Jack Kisa	Non-executive director	P.O. Box 24204-00502, Nairobi, Kenya	Kenyan
Wolfgang Bertelsmeier	Non-executive director	2737 Devonshire Place, N.W. Washington D.C 2008, U.S.A.	German

1.1 PROFILE OF TPSEA DIRECTORS AND COMPANY SECRETARY

1.1.1 Francis Okomo-Okello

Aged 60, Mr. Okello is a qualified lawyer. He holds an LLB degree from the University of Dar-es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs and a Fellow of the Kenya Institute of Bankers (FKIB). He is the Chairman of Barclays Bank of Kenya Limited, a director of the Nation Media Group Limited, among other companies. He is currently the Executive Director in charge of legal and corporate affairs at the Industrial Promotion Services Group.

1.1.2 Mahmud Janmohamed

Aged 57, Mr Janmohamed has vast experience in the hotel industry in East Africa and has worked for the Serena Group in different capacities rising to his current position of Chief Executive for the hotels and tourism business of the Serena Group. He was founder chairman of the Kenya Tourism Federation, is a trustee of the East African Wildlife Society and a director of the Centre for Corporate Governance, Mountain Lodges Limited and the Executive Director of TPS companies operating in East Africa. He is an associate member of the Hotel Catering Management Association (UK), and a member of the Cornell Hotel Society (USA).

1.1.3 Abdulmalek Jeevan Virani

Aged 59, Mr Virani holds a Bachelor of Commerce Degree. He is a Chartered Accountant and a member of the Institute of Certified Public Accountants of Kenya. He has worked for the Serena Group for 31 years rising to his current position of Group Finance Director. He served on the Tax and Law Committee of ICPA(K). He has extensive training in leadership and management techniques. He is an executive director of the TPS group of companies in East Africa and is a Member of the Institute of Directors Kenya.

1.1.4 Ameer Kassim-Lakha

Aged 76, Mr. Kassim-Lakha is a Chartered Accountant and O.P.M. (Harvard). He is a member of the Advisory Board of Dispute Resolution Centre and a Trustee of the KCA University.

1.1.5 Ramadhani Dau

Aged 51, Dr. Dau holds a PhD in marketing from the Victoria University of Wellington, New Zealand, an MBA from the American University of Cairo and a Bachelor of Commerce Degree, marketing option, from the University of Dar-es-Salaam. He is a director of Jubilee Holdings Limited and Jubilee Insurance Company of Tanzania Limited, among others. He is currently the Director General of NSSF, Tanzania.

1.1.6 **Kungu Gatabaki**

Aged 63, Mr. Gatabaki holds an Honours Science Degree in Economics and a Diploma in Project Planning and Management from Bradford University, UK. He serves on various Boards including chairman of Karume Investments, Micro-Africa and Director of African Reinsurance Corporation (SA).

1.1.7 **Mahmood Pyarali Manji**

Aged 56, Mr. Manji, is the chairman of Air Uganda and PDM (Holdings) Limited. He is a fellow of the Kenya Institute of Bankers and the former chairman of the Diamond Trust Banks in East Africa. Mr Manji is a member of the Institute of Chartered Accountants in England and Wales and the International Who's Who of Professionals.

1.1.8 **Jack Jacob Kisa**

Aged 72, Mr. Kisa holds a B.Sc. (Economics) (London) Degree and M.P.A. (Harvard) Degree. He served as Principal Economist in Kenya's Ministry of Finance and Planning in the 1970s. In 1974, Mr. Kisa was appointed as the Director of the United Nations World Employment Programme for Africa, in which capacity he served until 1977. In 1978, he was appointed Senior Economist at the World Bank Headquarters in Washington D.C. During the period 1986 to 1991, Mr. Kisa served as Economic Advisor to the Southern African Development Community on secondment from the World Bank.

1.1.9 **Jean- Louis Vinciguerra**

Aged 66, Mr. Vinciguerra is a graduate of the Institute of Political Studies and completed the Programme for Management Development from Harvard Business School. He currently works with the Aga Khan Fund for Economic Development as a Senior Financial Advisor.

1.1.10 **Kabir Hyderally**

Aged 62, Mr. Hyderally holds a Bachelor of Commerce Degree and is a Fellow of the Institute of Chartered Accountants. He is currently the General Manager, Finance, at the Jubilee Insurance Company of Kenya Limited.

1.1.11 **Wolfgang Bertelsmeier**

Aged 63, Mr. Bertelsmeier holds a diploma d'Études Françaises from Université de Poitiers (France) and a degree in Business Administration from Frankfurt University (Germany). After working at Deutsche Bank and DEG, he started his career in the World Bank in 1976 and joined IFC in 1990. Mr Bertelsmeier has held board positions of various IFC portfolio companies in the financial, industrial and infrastructure sectors in Africa, Asia and Latin America. He retired as the IFC Representative, Europe, based in Paris, France, in June 2009.

1.1.12 **Damaris Angulu (Group Company Secretary)**

Aged 41, Mrs. Angulu holds an MBA (Strategic Management) and a Bachelor of Laws Degree from the University of Nairobi and a Diploma from the Kenya School of Law. She is a Certified Public Secretary and an Advocate of the High Court of Kenya. Mrs. Angulu is a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya (ICPSK). She is also a member of the Disciplinary Committee of the ICPS (K).

1.2 **BOARD COMMITTEES**

Board committees which have been constituted and are functional include the Audit and Finance Committee and the Nomination and Remuneration Committee.

1.2.1 *Audit Committee:*

The committee works closely with the internal audit department and plays a critical role in reviewing financial information and ensuring that the system of internal controls is effectively administered. It considers significant audit findings identified by the Company's internal and external auditors and is authorised by the board to directly seek information from the Company employees and to seek professional advice whenever necessary. The committee consists of Kung'u Gatabaki (Chairman), Ameer R. Kassim-Lakha, Jean-Louis Vinciguerra, Mahmood Manji and Wolfgang Bertelsmeier.

1.2.2 *Nomination and Remuneration Committee:*

This committee advises the board on organisational structure, human resource policy and capacity enhancement, reviews the salaries, benefit packages and service contracts of the executive directors and senior management and ensures that these are competitively structured and linked to performance. The committee also proposes new nominees to the board, assesses the effectiveness of individual directors, the committees and the Board as a whole and makes recommendations to the board on how to enhance the overall effectiveness of the board.

The committee members are Jack Kisa (Chairman), Mahmood P. Manji, Dr Ramadhani Dau and Kabir Hyderally.

1.3 **SENIOR MANAGEMENT TEAM**

1.3.1 **Mahmud Janmohamed ĆGroup Managing Director**

Aged 57, Mr Janmohamed has vast experience in the hotel industry in East Africa and has worked for the Serena Group in different capacities rising to his current position of Chief Executive for the hotels and tourism business of the Serena Group. He was founder Chairman of the Kenya Tourism Federation, is a trustee of the East African Wildlife Society and a Director of the Centre for Corporate Governance, Mountain Lodges Limited and executive Director of TPS companies operating in East Africa. He is

an associate member of the Hotel Catering Management Association (UK), and a member of the Cornell Hotel Society (USA).

1.3.2 Abdulmalek Jeevan Virani ħGroup Finance Director

Aged 59, Mr Virani holds a Bachelor of Commerce Degree. He is a Chartered Accountant and a member of the Institute of Certified Public Accountants of Kenya. He has worked for the Serena Group for 31 years rising to his current position of Group Finance Director. He served on the Tax and Law Committee of ICPA(K). He has extensive training in leadership and management techniques and is an executive director of the TPS group of companies in East Africa. He is also a Member of the Institute of Directors Kenya.

1.3.3 Mr. Patrick Mwirigi ħRegional Chief Internal Auditor

Aged 39, Mr. Mwirigi is a Certified Public Accountant of Kenya - CPA (K), holds an MBA and a Bachelor of Commerce (Accounting) degree from the University of Nairobi. He has also completed a Postgraduate Diploma in Corporate Governance at the KCA University. He joined the Serena Group as a Senior Internal Auditor (Kenya) in 2001 and was appointed the Regional Chief Internal Auditor in June 2005. He previously worked with PricewaterhouseCoopers as Senior Auditor and Sight Savers International as Regional Finance Manager.

1.3.4 Damaris Angulu - Group Company Secretary

Aged 41, Mrs. Angulu holds an MBA (Strategic Management) and a Bachelor of Laws Degree from the University of Nairobi and a Diploma from the Kenya School of Law. She is a Certified Public Secretary and an Advocate of the High Court of Kenya. Mrs. Angulu is a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya (ICPSK). She is also a member of the Disciplinary Committee of the ICPS (K).

1.3.5 Salim Janmohamed - General Manager, TPS (Tanzania and Zanzibar)

Aged 47, Mr. Janmohamed holds a Bachelor of Commerce and is qualified as a Certified Public Accountant CPA (K) he is also a Fellow of The Chartered Association of Certified Accountants (UK). He has been with the Group since 1994.

1.3.6 Michael Opondo - Regional Sales and Marketing Director

Aged 42, Mr. Opondo joined TPS in February 2008 as Regional Sales and Marketing Director, bringing with him many years of leadership experience with blue-chip marketing organisations internationally. He has over fifteen years experience with management of brands in over forty countries across Africa and many more in Europe and North America in senior marketing positions with organisations such as Ogilvy & Mather, The Coca-Cola Company, The Kenya Tourist Board and the Government of

Kenya as the Vision 2030 tourism sector team leader, in the development of Kenya's 2030 economic blueprint plan. Michael holds a Bachelor of Arts degree in Economics from Grinnell College in Iowa, U.S.A.

1.3.7 Catherine Waruhiu - Regional Human Resources Manager

Aged 51, Mrs Waruhiu holds a BA in Sociology and Government from the University of Nairobi. She joined the Group in 1991 from the manufacturing sector. She was responsible of the HR function at the Nairobi Serena Hotel prior to her promotion to head the Group's HR function.

1.3.8 Charles Ogada- Group Financial Controller

Aged 50, Mr Ogada joined Serena Hotels in 1988 as a Management Accountant. He was promoted to Group Accountant in 1990 and is currently the Group Financial Controller, East Africa. He holds a BSc in Accounting from Central State University, Wilberforce, Ohio, an MBA (Accounting) from Morgan State University, Baltimore, Maryland, a Certificate in Business Strategy from Wharton Business School, University of Pennsylvania and a Certificate in Corporate Governance from the Kenya Institute of Directors.

1.3.9 Surinder S. Sandhu- Director Projects and Regional Chief Engineer

Aged 61, Mr. Sandhu joined the Group from Block Hotels in 1980 as the Group Engineer. He was promoted to Regional Chief Engineer in 1990, and in 2008 was promoted to Director of Projects and Regional Chief Engineer.

1.3.10 Mark W. Gathuri - General Manager, Nairobi Serena Hotel

Aged 53, Mr. Gathuri holds a Diploma in Hotel Management from Kenya's Utalii College and an Advanced Diploma from Munich, Germany. He has undergone numerous Management/ Leadership Training courses. He has been an employee of the Group since 1982 where he has risen through the ranks to his current position.

1.3.11 Charles Muia - General Manager, Mombasa Serena Beach Hotel & Spa

Aged 44, Mr. Muia holds a Diploma in Hotel Management from Kenya's Utalii College, he is also a member of the Hotel & Catering Institutional Management Association.

1.3.12 Kathurima Mburugu - Lodge Manager, Serena Mountain Lodge

Aged 39, Mr. Mburugu holds a diploma in Hotel Management and an Associate Degree in Food and Beverage Management from Ecole les Roches in Switzerland. He has been an employee of the Group since 2005.

1.3.13 Franklin Nyakundi - Lodge Manager, Samburu Serena Safari Lodge

Aged 27, Mr. Nyakundi holds a diploma in Hotel Management from Kenya's Utalii College. He has been an employee of the Group since 2006.

1.3.14 Herman Mwasaghua -Lodge Manager, Amboseli Serena Safari Lodge

Aged 40, Mr. Mwasaghua holds a Diploma in Hotel Management. He has been an employee of the Group since September 1997.

1.3.15 Wilfred Shirima - General Manager, Ngorongoro Serena

Aged 35, Mr. Shirima holds a Diploma in Hotel Management from Kenya's Utalii College and an Advanced Diploma in Sales and Marketing Management from the U.K. He has been an employee of the Group since September 1999.

1.3.16 Paul Chaulo - General Manager, Serengeti Serena Safari Lodge

Aged 34, Mr. Chaulo holds a diploma in Hotel Management from Kenya's Utalii College. He has been an employee of the Group since 2003.

1.3.17 Gerald Macharia - General Manager, Mountain Village, Arusha

Aged 42, Mr. Macharia holds a Diploma in Hotel Management. He has been an employee of the Group since October 1988.

1.3.18 Henrietta Mwangola - Lodge Manager, Kilaguni Serena Safari Lodge

Aged 33, Ms. Mwangola holds a Diploma in Hotel Management and a Bachelor of Business Administration (Hospitality) Degree both from Hotel Management School Les Roches in Switzerland. She has been an employee of the Group since 2006 and previously worked with Naivasha Sopa Lodge and Mara Safari Club.

1.3.19 Daniel K. Sambai - General Manager, Zanzibar Serena Inn

Aged 32, Mr. Sambai holds a Diploma in Hotel Management from Kenya's Utalii College and a Diploma from the Institute for the Management of Information Systems (IMIS), United Kingdom. He has been an employee of the Group since 2003.

1.3.20 Felix Ogembo DLodge Manager, Lake Manyara Serena Lodge

Aged 31, Mr. Ogembo holds a Diploma in Hotel Management from Kenya's Utalii College. He has been an employee with the Group since 2005.

1.3.21 Stanley Kongoley - Lodge Manager, Mara Serena Safari Lodge

Aged 47, Mr. Kongoley holds a Diploma in Hotel Management from Kenya's Utalii College. He has attended various courses in Food and Beverage Management and HR Management. He has been an employee of the Group since 1998.

1.3.22 James Odenyo - Camp Manager, Sweetwaters Tented Camp & Ol Pejeta House

Aged 32, Mr. Odenyo holds a Diploma in Hotel Management from Kenya's Utalii College. He has been an employee of the Group since 2003.

1.3.23 Mustafa S. Mbinga - Camp Manager, Mbuzi Mawe Tented Camp

Aged 39, Mr. Mbinga holds a Diploma in Education from Mkwawa Teachers College (Tanzania) and a Certificate in Front Office Operations from Kenya's Utalii College. He has been an employee of the Group since 2000.

SECTION XII

RISK CONSIDERATIONS

Whilst TPS Eastern Africa Limited has undoubted credibility in terms of market presence, financial strength and a leading position in the tourism sector in East Africa, it is exposed to risks which, like any other tourism business in East Africa, could have a material adverse effect on its operations and hence its financial performance.

Risk management in TPSEA is carried out by the treasury department under the guidance of management. The treasury department identifies, evaluates and hedges financial risks. The Board of Directors provides guidance on principles for overall risk management covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investment of excess liquidity. The Company has managed downturns in the business during past disasters such as the El Nino, the bombing of the USA embassy, Kikambala bombing and the post-election crisis in 2008 in a manner that minimised negative impact on the Company's performance.

A holding of the New Shares carries with it the usual risks inherent in owning shares in listed companies, among which is that the value of the shares may fall or rise depending on the conditions within the market. By comparison with the securities markets in most developed countries, the NSE is relatively small, is less liquid and could be more volatile as a result of the majority of market capitalisation and trading volume being concentrated in a limited number of companies.

The Company will ensure that it does all it reasonably can, to eliminate the risks inherent in a business of the kind carried on by the Group, and to mitigate the consequences of any adverse developments. However, as with most businesses, there are a wide range of factors that are outside the control of individuals, directors and managers.

Some of the potential threats that could affect the Group's business are as follows:

General

- Political change, diplomatic developments, social and religious instability may adversely affect the economy and the stock exchange. Given that TPSEA has subsidiaries spread out regionally, if there is a disruption in one country, the Company's bottom line will be cushioned by the subsidiaries located in other countries.
- Adverse developments significantly affecting the economies of the East African countries where the Company operates, such as major unexpected currency fluctuations, withdrawal or suspension of bilateral and multilateral aid, significant price inflation, imposition of currency controls or measures to curtail foreign investment. The treasury department takes the necessary measures to protect the Company against such risks.
- World recession negatively impacting the tourism and travel industries. The Company's Board of Directors seeks cautious advice from relevant advisers on reserving part of the Company's resources and accumulating reserves for such situations.

Industry specific

- Fluctuations in patterns of demand for the tourist products that the Group offers arising from competition within East Africa and from a reduction of East Africa's share of the tourism market from international competitors, such as South Africa. The Company is considering further diversification in the future to safeguard against the impact of such fluctuations.
- Air transport disruptions owing to threats of acts of terror and foreign government advisories affecting travel to East Africa. The Company has taken measures to encourage more local and regional tourists and business travellers to visit its hotels and lodges. These efforts have been successful and the number of local and regional visitors has steadily increased over the years.
- Climate change, natural disasters and acts of God such as the recent interruption of air travel resulting from the Iceland volcanic activity and the flooding in Samburu that led to the destruction of the Samburu Serena Lodge. The Company ensures that it has adequate insurance policies in place to sufficiently protect the Company against losses incurred as a result of such risks. In the case of the Samburu Serena Lodge, the Company is planning to reconstruct the lodge on higher ground to reduce the risk of being destroyed by a flood in the days to come.
- Atrocities by acts of terror whether carried out in East African countries or further afield, such as the events of 11th September 2001 and the 1998 bombings of the United States of America embassies in Nairobi and Dar-es-Salaam. The Company is diversifying its presence globally by opening local offices around the globe to promote the Company's businesses and create further awareness of the Serena brand. The Company is also considering reviewing its insurance policies to cover losses arising from acts of terrorism.
- Changes in taxation on earnings/revenues and changes in interest rates on borrowings. The treasury department takes the necessary measures to safeguard against such risks.
- Changes in government policies and the regulatory regime such as changes in tourism and wildlife management, which might adversely affect the Group's ability to function or to provide access to the natural wildlife resources of the region. The Company's business is diversified and is not dependent solely on wildlife tourism. The Company caters to those visitors interested in sea and lake resorts and its city hotels cater for the corporate and conference markets. The Company has also invested in adequate health and spa facilities.
- Currency risk - the tourism industry and the Company in particular earn foreign currency. These foreign currencies may depreciate against the local currency. The Company aims to minimise volatility arising from fluctuations in exchange rates by adopting mechanisms such as holding cash balances in foreign currencies to hedge against any foreign currency denominated amounts payable. The Company also manages foreign exchange risk by converting its foreign currency collections into local currency on an ongoing basis to cater for its operational requirements. As a result, the Company does not hold large amounts of foreign currency deposits. In addition, the Company receives its collections in foreign currency and therefore any future foreign currency

commercial transactions are settled in the same currency to avoid the effect of swinging currency exchange rates.

- Reputational risk - the Company has a reputational risk in maintaining standards of excellence in a highly competitive industry. The Company actively carries out refurbishments on its hotels and lodges to maintain the highest standards of quality and service.
- Credit risk - this is managed on a group basis. Credit risk arises from cash equivalents and deposits with banks, as well as trade and other receivables. Neither the Group nor the Company has any significant concentrations of credit risk. The group credit controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.
- The Company may also be impacted by personnel, financial, technology, or other standard operating procedural problems which would negatively impact the Company. While these types of risk are inherent in most large organizations, the Company has a number of in-house systems designed to monitor operational performance. Amongst other Company-wide systems, personnel, including senior management, are regularly reviewed against the Company's performance standards. The Company has a financial information system with internal controls designed to assist the financial management team in monitoring and evaluating current as well as projected financial performance. The Company maintains a rigorous maintenance programme for all assets used in its lodges and hotels.

SECTION XIII
LEGAL OPINION BY LEGAL ADVISER

YOUR REFERENCE:

OUR REFERENCE:

DATE:

MSA/SWK/TP/1/12

21 July 2010

The Directors
TPS Eastern Africa Limited
4th Floor, Williamson House
4th Ngong Avenue
P.O Box 48690 - 00100
NAIROBI

Dear Sirs

OPINION CONCERNING THE RIGHTS ISSUE OF 24,701,774 NEW ORDINARY SHARES OF TPS EASTERN AFRICA LIMITED

We act as the legal advisors to TPS Eastern Africa (the “**Company**”) in relation to the Rights Issue, the terms and conditions of which are contained in the Information Memorandum issued by the Company and dated 21st July 2010 (the “**Information Memorandum**”).

Kaplan & Stratton Advocates are Advocates of the High Court of Kenya, practicing and qualified as such to practice in Kenya, and to advise on the Laws of Kenya.

Unless otherwise stated, or the context otherwise requires, the words and terms used in this opinion bear the same meaning as those defined in the Information Memorandum.

This opinion is based on our examination of certified copies of the following Company documents:

- (a) the Certificate of Incorporation of the Company, the Certificates of Change of Name and the Memorandum and Articles of Association;
- (b) a resolution of the shareholders of the Company in an Annual General Meeting dated 24th May 2010, *inter alia*, approving the increase of the authorised share capital of the Company to KES. 192,000,000, the Bonus Issue and the Rights Issue;
- (c) a letter dated 20th July 2010 from the Capital Markets Authority approving the Rights Issue in the manner prescribed under the Information Memorandum and a letter dated 21st July 2010 from the Nairobi Stock Exchange approving the listing of the New Shares;
- (d) the Information Memorandum and the Provisional Letter of Allotment as approved by the Capital Markets Authority; and

- (e) such other records and documents as we have considered necessary and appropriate for the purposes of this opinion.

For the purposes of this opinion, we have assumed that:

- (i) all information supplied to us by the Company and its officers is true, accurate and up to date;
- (ii) all copies of and signatures on the documents supplied to us are authentic;
- (iii) all agreements and other relevant documents have been duly authorised, executed and delivered by the parties to those documents other than the Company; and
- (iv) with respect to matters of fact, we have relied on the representations of the Company and its officers and advisors.

Subject to the reservation that this opinion is based only on Kenyan Law and does not relate to any other jurisdiction, and based on the information supplied to us as above and upon due enquiry we state as follows:

1 Status of the Company

- 1.1 The Company is a public liability company limited by shares, duly registered under the Companies Act under Certificate of Registration Number C.9986. The Company's registered offices are situated on 4th Ngong Avenue, 4th Floor Williamson House, Nairobi and its registered address is P.O. Box 48690 - 00100 Nairobi.
- 1.2 The authorised share capital of the Company is Kenya Shillings KES 192,000,000 divided into 192,000,000 Ordinary Shares of KES. 1.00 each, of which 123,508,866 are issued and fully paid up for.
- 1.3 The Company is listed on the Nairobi Stock Exchange, with power to execute, deliver and exercise its rights and perform its obligations pursuant to the Rights Issue, and such execution, delivery and performance have been duly authorised by the requisite corporate action.
- 1.4 All rights and obligations of the Company contemplated by the Rights Issue constitute valid and binding rights and obligations and are enforceable according to their terms.
- 1.5 The transactions contemplated by the Rights Issue and the performance by the Company of its obligations thereunder will not violate any laws in Kenya.
- 1.6 The Company continues to maintain its statutory books at its registered office, save for the Register of Members which is maintained by Image Registrars Limited of 8th Floor, Transnational Plaza, Mama Ngina Street, Nairobi and of P.O Box 9287 – 00100 Nairobi.

- 1.7 The contracts between the Company and third parties have been entered into in the ordinary course of the business carried on by the Company.

2 Licences

- 2.1 All the requisite authorisations, consents, approvals, licences, filings, exemptions or registrations required by any government, public body or authorities in Kenya, in connection with the Rights Issue, have been obtained in proper form and are in full force and effect.
- 2.2 All licences and consents required to perform the business of the Company have been duly obtained and the appropriate fees have been paid to the relevant authorities.

3 Ownership of Assets

The Company is the registered proprietor of several properties, details of which are contained in a schedule of properties located at the Company's registered office.

4 Material Litigation

- 4.1 To the best of our knowledge, information and belief and after due enquiry, save as otherwise provided in Annexure II of this Information Memorandum, there are no claims against and counterclaims by the Company whose value exceeds Kenya Shillings Five Million (KES 5,000,000), prosecution or other criminal legal action against the Company.
- 4.2 Similarly, none of the Directors of the Company, are to our knowledge, information and belief after due enquiry, involved in any material litigation, prosecution or other civil or criminal legal action.

5 Share Capital

The authorised and issued share capital of the Company as stated in the Information Memorandum is in conformity with the applicable laws and has received all the necessary approvals and authorisations.

6 Underwriting

- 6.1 The signing of the Underwriting Agreement by CFC Stanbic Bank Limited and Diamond Trust Bank Limited constitutes valid, legally binding and enforceable obligations on each of the Underwriters.
- 6.2 The performance, by the Underwriters, of the obligations arising under the Underwriting Agreement does not violate, conflict with or constitute a breach of any of the provisions of any of the Underwriters' Memorandum and Articles of Association.

- 6.3 The execution and performance of the Underwriting Agreement by the Underwriters does not contravene any law, regulation, decree or order in Kenya. More generally, no provision of the Underwriting Agreement contravenes the rules of public policy of Kenya.
- 6.4 The Underwriters and TPSEA have validly elected to have the Law of Kenya govern the Underwriting Agreement.
- 6.5 The Underwriters and TPSEA have validly submitted any dispute arising out of the validity, interpretation or performance of the Underwriting Agreement to arbitration in accordance with the Arbitration Act (No. 4 of 1995) or other Act or Acts for the time being in force in Kenya.

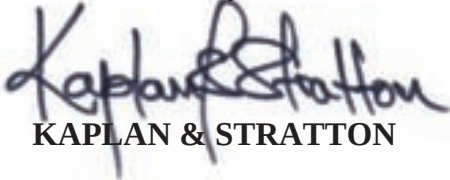
7 Compliance

- 7.1 Whilst the Information Memorandum is not a prospectus complying fully with the requirements of Section 40 of the Companies Act, the Information Memorandum has been duly dated and signed in the manner required by Section 43(4) of the Companies Act.
- 7.2 A copy of the Information Memorandum is to be delivered to the Registrar of Companies at Nairobi for registration as provided under Section 42(1) of the Companies Act, duly signed by every person named in the Information Memorandum as a Director of the Company, or by his agent, duly authorised in writing and in accordance with Section 43(3) of the Companies Act, a statement to such effect appears in the Introduction section (Section I) of the Information Memorandum.
- 7.3 The Information Memorandum includes statements made by PricewaterhouseCoopers as the Reporting Accountants, and by ourselves as the Legal Advisers, both of whom are experts for the purposes of Section 42(1) of the Companies Act. Accordingly, PricewaterhouseCoopers and ourselves have given and have not, prior to the date of the Information Memorandum, withdrawn our consent to the issue of the Information Memorandum containing the statements by us in the form and context in which they are included.
- 7.4 The shares to be issued in the Rights Issue will rank in *pari passu* in all respects with the Existing Ordinary Shares in the issued share capital of the Company, including the right to receive, in full, all dividends and other distributions declared, made or paid in respect of such shares, for the financial year ending 31st December 2010 and thereafter.
- 7.5 An application has been duly made to the Capital Markets Authority and permission duly granted by the same with regard to the Rights Issue as required by the Capital Markets(Securities) (Public Offers, Listing and Disclosure) Regulations 2002 and the Fourth Schedule thereto.

- 7.6 An application has been made to the Nairobi Stock Exchange, and permission duly granted, for the listing of the shares allotted pursuant to the Right Issue.
- 7.7 Over and above the information required by the Companies Act, the Information Memorandum incorporates such information as investors would reasonably require and expect to find therein for the purpose of enabling them make an informed assessment of:
- (a) the rights attaching to the New Ordinary Shares to be issued pursuant to the Rights Issue; and
 - (b) the financial status, assets and liabilities, profits and losses and prospects of the Company.

Subject to the above we are of the opinion that there are no other material facts with regard to the legal status of the Company and the Rights Issue and that the Rights Issue is in conformity with all applicable laws and has received all necessary authorisations.

Yours faithfully



KAPLAN & STRATTON

ANNEXURE I

REPORTING ACCOUNTANTS REPORT

Private & Confidential

The Directors
TPS Eastern Africa Limited
George Williamson House
4th Ngong Avenue
NAIROBI

8 July 2010

Subject: Reporting Accountants report

Dear Sirs

We are pleased to submit our Accountants Report prepared using the principles outlined in Section 19 of the Third Schedule of the Companies Act 486, and Part C of the Third Schedule of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002 (hereafter referred to as "the Regulations").

Introduction

The financial information set out in this report is compiled with reference to the audited consolidated financial statements of TPS Eastern Africa Limited ("the group") for each of the five financial years to 31 December 2009.

We have been auditors of the group, and have reported on the annual financial statements of the group without qualification, throughout the five-year period covered by this report.

Responsibility of the directors

As directors of the group, you are responsible for the Information Memorandum to be issued on or about 27 July 2010 and for all information contained therein, and for the financial statements and financial information to which this Accountant's Report relates and from which it has been prepared.

Our responsibility

You required us to prepare and produce an Accountants Report to be included in the Information Memorandum for the purposes of a rights issue.

Our responsibility is detailed in our letter of engagement dated 29 April 2010. The objective of the engagement was to enable us to state whether, on the basis of our review procedures which do not provide all the evidence that would be required in an audit, anything has come to our attention that causes us to believe that the financial statements were not prepared, in all material respects, in accordance with International Financial Reporting Standards.

The Directors

8 July 2010

Criteria and procedures used

The financial information set out in this report has been compiled in accordance with International Standard on Related Services 4410 – Engagements to Compile Financial Statements (“ISRS 4410”), from the audited financial statements of the group for the years ended 31 December 2005, 2006, 2007, 2008 and 2009 (together, “the financial statements”). As required by ISRS 4410, we have made enquiries of management about the operations of the group and its accounting principles and practices, and have applied that knowledge in compiling the financial statements.

We conducted our review in accordance with the International Standard on Review Engagements 2400 – Engagements to Review Financial Statements (“ISRE 2400”). The objective of the review engagement is to enable us to state whether, on the basis of procedures which do not provide all the evidence that would be required in an audit, anything has come to our attention that causes us to believe that the financial statements are not prepared, in all material respects, in accordance with International Financial Reporting Standards. This Standard requires that we plan and perform the review with an attitude of professional scepticism, and to obtain sufficient evidence primarily through enquiry and analytical procedures to be able to draw conclusions. Adjustments arising from the review engagement were considered in preparing the Accountants Report.

To enable us prepare an Accountants Report, we carried out procedures to satisfy ourselves that the information presented in the financial statements was presented on the basis envisaged in Section 19 of the Third Schedule of the Companies Act 486, and Part C of the Third Schedule of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002. To this end we carried out the following procedures:

- reviewed the financial statements of the group for each of the five years ended 31 December 2005, 2006, 2007 and 2008 and 2009 for compliance with International Financial Reporting Standards (IFRS) and consistency of application of accounting policies;
- made enquiries from the group’s management with respect to certain matters;
- reviewed other evidence relevant to the group’s financial statements;
- reviewed the Information Memorandum for consistency of financial information presented with our Accountant’s Report; and
- confirmed that the ratios specified in the Third schedule, Part C, paragraph G.11 of the Capital Markets (Securities)(Public Offers, Listing and Disclosures) Regulations, 2002, for the financial years ended 31 December 2005, 2006, 2007, 2008, 2009 and for the proforma financial information, have been calculated in accordance with the requirements of the above mentioned regulations.

The Directors

8 July 2010

The information required by the Third Schedule of the Regulations to be disclosed in the Information Memorandum is set out in Appendix I of this report. The appendix forms an integral part of this report. The information has been compiled in accordance with International Standard on Related Services 4410, Engagements to Compile Financial Statements ("ISRE 4410"), from the consolidated financial statements of the group for the years ended 31 December 2005, 2006, 2007, 2008 and 2009. As required by ISRE 4410, we have made enquiries of management about the operations of the group and its accounting principles and practices, and have applied that knowledge in compiling the financial statements. We have also applied knowledge obtained from carrying out review procedures on the financial statements, the scope and results of which are reported in Appendix 1.

In compiling the information in Appendix 1, we have effected a number of adjustments to the information presented in the audited financial statements; details of those amendments are summarised in Appendix 2.

PricewaterhouseCoopers (PwC) was the auditor of the group for the five years ended 31 December 2009. PwC is hereafter referred to as "the company auditor". All of the financial statements from which the financial information in Appendix I was compiled received an unqualified audit opinion.

Financial information

We have presented the consolidated financial statements of the group for the five years ended 31 December 2009, including notes to the financial statements.

We identified the following matters during the course of our review:

1. *Presentation of financial information*

A number of International Financial Reporting Standards have been amended or introduced in the period under review. The details of the changes and the periods where restatements have been effected to previous audited information are outlined in the table below:

The Directors

8 July 2010

Standard	Years restated	Effect details
IAS 1 – Presentation of financial statements (effective 1 January 2009)	2005 to 2007	Changes to the titles of financial statements and presentation of owner and non-owner changes in equity in two statements, a statement of comprehensive income and a statement of changes in equity respectively, with no impact on earnings per share.
IFRS 7 – Financial Instruments, Disclosure (effective 1 January 2007)	2005 to 2006	New disclosures to improve the information about financial instruments. Additional disclosure of qualitative and quantitative information about exposure to risks arising from financial instruments, including specified minimum disclosures about credit risk, liquidity risk and market risk, including sensitivity analysis to market risk. Enhanced disclosures about fair value measurement and liquidity risk. In particular, the disclosure of fair value measurements by level of fair value measurement hierarchy.
IAS 24 – Related Party Disclosures	2005	The identification of related parties and some related party disclosures.
IFRS 8 – Operating Segments (effective 1 January 2009)	2005 to 2007	The new standard requires a 'management approach', under which segment information is presented on the same basis as that used for internal reporting purposes. In addition, the segments are reported in a manner that is more consistent with the internal reporting provided to the chief operating decision-maker.

The Directors

8 July 2010

Conclusions

A review carried out in accordance with ISRE 2400 is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion. However based on our review, nothing has come to our attention that causes us to believe that the audited financial statements of the group for the five years ended 31 December 2009 set out in Appendix 1 to this report, do not give a true and fair view in accordance with International Financial Reporting Standards. Based on our audit of the financial statements of TPS Eastern Africa Limited for the year ended 31 December 2009, and not supplemented by any additional audit procedures, we confirm that other than as disclosed in the audited financial statements for the year then ended, we are not aware of any material circumstances not mentioned in the Information Memorandum regarding the additional listing, represented to us by the directors or otherwise known to us as auditors, which would influence the evaluation by investors of the assets, liabilities, financial position and prospects of the company.

We also confirm that the ratios included in Appendix 3, specified in the Third schedule, Part C, paragraph G.11 of the Capital Markets (Securities)(Public Offers, Listing and Disclosures) Regulations, 2002, for the financial years ended 31 December 2005, 2006, 2007, 2008, 2009 and for the proforma financial information, have been calculated in accordance with the requirements of the above mentioned regulations.

Consent

We consent to the inclusion of this report in the TPS Eastern Africa Limited Information Memorandum to be issued on or about 27 July 2010 in the form and context in which it appears.



PricewaterhouseCoopers
Certified Public Accountants
Nairobi, Kenya

TPS Eastern Africa Limited

Appendix 1: Financial information for TPS Eastern Africa Limited

For the five years ended 31 December 2009

Consolidated profit and loss account for the five years ended 31 December 2009

	Notes	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Sales						
Inventory expensed	5	4,077,657	3,243,203	3,667,660	3,264,006	3,059,477
Other operating income		(781,859)	(684,628)	(763,446)	(672,972)	(654,203)
Employee benefits expense	7	320,255	263,611	242,694	238,428	195,994
Other operating expenses	6	(1,100,769)	(791,351)	(757,437)	(677,221)	(637,910)
		(1,656,538)	(1,339,582)	(1,414,138)	(1,264,098)	(1,250,564)
Profit before depreciation, interest and income tax expense		858,746	691,253	975,333	888,143	712,794
Depreciation on property, plant and equipment	18	(214,165)	(216,002)	(216,912)	(205,973)	(193,141)
Operating profit		644,581	475,251	758,421	682,170	519,653
Finance costs	8	(124,292)	(144,840)	(145,883)	(187,519)	(382,253)
Share of result of associate	22	(287)	(397)	4,842	3,954	2,900
Profit before tax		520,002	330,014	617,380	498,605	140,300
Income tax expense	9	(139,327)	(107,297)	(200,905)	(165,945)	(117,355)
Net profit after tax		380,675	222,717	416,475	332,660	22,945

Consolidated profit and loss account for the five years ended 31 December 2009 (continued)

	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Attributable to:					
Equity holders of the company	380,675	222,717	414,367	309,244	(21,731)
Minority interest	-	-	2,108	23,416	44,676
	<u>380,675</u>	<u>222,717</u>	<u>416,475</u>	<u>332,660</u>	<u>22,945</u>

Earnings per share for profit attributable to the equity holders of the Company

- basic and diluted (Shs per share)	10	2.10	3.91	2.92	(0.23)
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TPS Eastern Africa Limited
Appendix 1: Financial information for TPS Eastern Africa Limited
For the five years ended 31 December 2009

Consolidated statement of comprehensive income for the five years ended 31 December 2009					
	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Profit for the year	380,675	222,717	416,475	332,660	22,945
Other comprehensive income:					
Items net of tax					
Movement in currency translation reserve	56,910	(25,590)	29,601	(66,097)	(85,170)
Movement in revaluation reserves – net of tax	8,211	7,718	(16,766)	569,533	-
Total comprehensive income for the year	445,796	204,845	429,310	836,096	(62,225)
Attributable to:					
Equity holders of the Company	445,796	204,845	427,202	683,463	(106,901)
Minority Interest	-	-	2,108	152,633	44,676
Total comprehensive income for the	445,796	204,845	429,310	836,096	(62,225)

Consolidated balance sheets for the five years ended 31 December 2009

	Notes	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Capital and reserves attributable to the Company's equity holders						
Share capital	12	105,865	105,865	105,865	88,221	77,682
Share premium	12	1,906,676	1,906,676	1,906,676	1,906,676	1,306,696
Revaluation reserve	13	661,704	678,816	698,001	715,682	309,067
Translation reserve		(114,995)	(171,905)	(146,315)	(175,916)	(99,104)
Retained earnings		1,372,809	1,099,142	981,853	716,546	473,162
Proposed dividends		132,331	132,331	132,331	110,276	31,020
		4,064,390	3,750,925	3,678,411	3,361,485	2,098,523
Minority interest		-	-	-	42,507	289,517
		4,064,390	3,750,925	3,678,411	3,403,992	2,388,040
Non-current liabilities						
Borrowings	14	1,206,809	1,052,754	1,079,358	1,433,539	1,564,292
Deferred income tax liability	15	627,788	590,947	573,590	526,500	229,265
Provisions for liabilities and charges	16	109,174	95,013	121,701	117,493	106,332
		1,943,771	1,738,714	1,774,649	2,077,532	1,899,889
		6,008,161	5,489,639	5,453,060	5,481,524	4,287,929

Consolidated balance sheets for the five years ended 31 December 2009 (continued)

	Notes	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
REPRESENTED BY						
Non-current assets						
Property, plant and equipment	18	4,249,482	4,015,288	4,103,430	3,873,561	3,080,657
Prepaid operating lease rentals	19	12,413	12,573	12,733	12,893	13,053
Available-for-sale financial asset	17	55,051	55,051	31,418	-	-
Investment in associates	22	29,630	29,917	30,314	25,472	21,518
Intangible assets	20	1,077,869	1,077,869	1,077,869	1,039,255	733,218
Deferred income tax asset	15	49,470	66,378	128,549	196,814	264,211
		5,473,915	5,257,076	5,384,313	5,147,995	4,112,657
Current assets						
Inventories - cost		266,901	243,533	203,329	180,192	175,933
Receivables and prepayments	23	902,996	874,121	1,032,379	630,784	616,271
Cash and balances	24	352,384	132,266	160,998	179,558	118,654
		1,522,281	1,249,920	1,396,706	990,534	910,858
Current liabilities						
Payables and accrued expenses	25	611,298	779,684	891,670	611,226	476,438
Current income tax		49,999	953	42,396	17,834	8,608
Borrowings	14	326,738	236,720	393,893	27,945	250,540
		988,035	1,017,357	1,327,959	657,005	735,586
Net current assets						
		534,246	232,563	68,747	333,529	175,272
		6,008,161	5,489,639	5,453,060	5,481,524	4,287,929

Consolidated statement of changes in equity for the five years ended 31 December 2009

	Notes	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation reserves Shs'000	Minority Interest Sh'000	Total Shs'000
Year ended 31 December 2005									
At 1 January 2005		77,682	1,306,696	312,081	508,965	27,298	-	254,769	2,487,491
Total comprehensive income for the period									
Loss for the year		-	-	-	(21,731)	-	-	44,676	22,945
Other comprehensive income:									
Transfer of excess depreciation to retained earnings		-	-	(4,305)	4,305	-	-	-	-
Deferred tax on transfer	15	-	-	1,291	(1,291)	-	-	-	-
Currency Translation Differences		-	-	-	13,934	-	(99,104)	-	(85,170)
Total other comprehensive income		-	-	(3,014)	16,948	-	(99,104)		(85,170)
Total comprehensive income for the period		-	-	(3,014)	(4,783)	-	(99,104)	44,676	(62,225)
Transactions with owners, recorded directly in equity									
Dividends:									
-final for 2004		-	-	-	-	(27,298)	-	(9,928)	(37,226)
-proposed for 2005	11	-	-	-	(31,020)	31,020	-	-	-
At 31 December 2005		77,682	1,306,696	309,067	473,162	31,020	(99,104)	289,517	2,388,040

Consolidated statement of changes in equity for the five years ended 31 December 2009 (continued)

	Notes	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation reserves Shs'000	Minority Interest Sh'000	Total Shs'000
Year ended 31 December 2006									
At 1 January 2006		77,682	1,306,696	309,067	473,162	31,020	(99,104)	289,517	2,388,040
Total comprehensive income for the period									
Profit for the year		-	-	-	309,244	-	-	23,416	332,660
Other comprehensive income:									
Revaluation during the year		-	-	606,643	-	-	-	184,596	791,239
Transfer of excess depreciation to retained earnings		-	-	(25,765)	25,765	-	-	-	-
Deferred tax on revaluation		-	-	(181,993)	-	-	-	(55,379)	(237,372)
Deferred tax on transfer	15	-	-	7,730	(7,730)	-	-	-	-
Deferred tax on transfer of pre-acquisition reserves		-	-	-	15,666	-	-	-	15,666
Currency Translation Differences		-	-	-	10,714	-	(76,812)	-	(66,097)
Total other comprehensive income		-	-	406,615	44,416	-	(76,812)	129,217	503,436
Total comprehensive income for the period				406,615	353,660	-	(76,812)	152,633	836,096
Transactions with owners, recorded directly in equity									
Issue of shares for swap in TPSL	12	10,539	599,980	-	-	-	-	(376,179)	234,340
Dividends:									
-final for 2005		-	-	-	-	(31,020)	-	(23,464)	(54,484)
-final for 2006	11	-	-	-	(110,276)	110,276	-	-	-
At 31 December 2006		88,221	1,906,676	715,682	716,546	110,276	(175,916)	42,507	3,403,992

Consolidated statement of changes in equity for the five years ended 31 December 2009 (continued)

	Notes	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation reserves Shs'000	Minority Interest Sh'000	Total Shs'000
Year ended 31 December 2007									
At 1 January 2007		88,221	1,906,676	715,682	716,546	110,276	(175,916)	42,507	3,403,992
Total comprehensive income for the period									
Profit for the year		-	-	-	414,367	-	-	2,108	416,475
Other comprehensive income:									
Transfer of excess depreciation to retained earnings		-	-	(25,258)	25,258	-	-	-	-
Deferred tax on transfer	15	-	-	7,577	(7,577)	-	-	-	-
Deferred tax on transfer of pre-acquisition reserves		-	-	-	7,884	-	-	-	7,884
Currency Translation Differences		-	-	-	(24,650)	-	29,601	-	4,951
Total other comprehensive income		-	-	(17,681)	915	-	29,601	-	12,835
Total comprehensive income for the period		-	-	(17,681)	415,282	-	29,601	2,108	429,310
Transactions with owners, recorded directly in equity									
Contributions by and distributions to owners									
Bonus Issue	12	17,644	-	-	(17,644)	-	-	-	-
Minority purchased		-	-	-	-	-	-	(44,615)	(44,615)
Dividends:									
-final for 2006		-	-	-	-	(110,276)	-	-	(110,276)
-proposed for 2007	11	-	-	-	(132,331)	132,331	-	-	-
Total contributions by and distributions to owners		17,644	-	-	(149,975)	22,055	-	(44,615)	(154,891)
At 31 December 2007		105,865	1,906,676	698,001	981,853	132,331	(146,315)	-	3,678,411

Consolidated statement of changes in equity for the five years ended 31 December 2009 (continued)

Year ended 31 December 2008

	Notes	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation reserves Shs'000	Minority Interest Sh'000	Total Shs'000
At 1 January 2008		105,865	1,906,676	698,001	981,853	132,331	(146,315)	-	3,678,411
Total comprehensive income for the period									
Profit for the year		-	-	-	222,717	-	-	-	222,717
Other comprehensive income:									
Transfer of excess depreciation to retained earnings		-	-	-	-	-	-	-	-
Deferred tax on revaluation		-	-	(27,407)	27,407	-	-	-	-
Deferred tax on transfer	15	-	-	8,222	(8,222)	-	-	-	-
Deferred tax on transfer of revaluation reserves		-	-	-	7,718	-	-	-	7,718
Currency Translation Differences		-	-	-	-	-	(25,590)	-	(25,590)
Total other comprehensive income		-	-	(19,185)	26,903	-	(25,590)	-	(17,872)
Total comprehensive income for the period		-	-	(19,185)	249,620	-	(25,590)	-	204,845
Transactions with owners, recorded directly in equity									
Distributions to owners									
Dividends:									
- final for 2007 paid		-	-	-	-	(132,331)	-	-	(132,331)
- proposed for 2008	11	-	-	-	(132,331)	132,331	-	-	-
At 31 December 2008		105,865	1,906,676	678,816	1,099,142	132,331	(171,905)	-	3,750,925

Consolidated statement of changes in equity for the five years ended 31 December 2009 (continued)

Year ended 31 December 2009	Notes	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation reserves Shs'000	Minority Interest Sh'000	Total Shs'000
At start of year		105,865	1,906,676	678,816	1,099,142	132,331	(171,905)	-	3,750,925
Total comprehensive income for the period									
Profit for the year		-	-	-	380,675	-	-	-	380,675
Other comprehensive income:									
Transfer of excess depreciation to retained earnings		-	-	(24,446)	24,446	-	-	-	-
Deferred income tax on transfer	15	-	-	7,334	(7,334)	-	-	-	-
Deferred income tax on release of revaluation reserves		-	-	-	8,211	-	-	-	8,211
Currency translation differences		-	-	-	-	-	56,910	-	56,910
Total other comprehensive income		-	-	(17,112)	25,323	-	56,910	-	65,121
Total comprehensive income for the period		-	-	(17,112)	405,998	-	56,910	-	445,796
Transactions with owners, recorded directly in equity									
Contributions by and distributions to owners									
Dividends:									
-final for 2008		-	-	-	(132,331)	(132,331)	-	-	(132,331)
-proposed for 2009	11	-	-	-	(132,331)	132,331	-	-	-
At 31 December 2009		105,865	1,906,676	661,704	1,372,809	132,331	(114,995)	-	4,064,390

Consolidated statements of cash flow for the five years ended 31 December 2009

	Notes	2009	2008	2007	2006	2005
		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Operating activities						
Cash generated from operations	26	603,777	668,958	834,438	1,022,443	427,360
Interest paid		(118,735)	(120,068)	(145,883)	(161,715)	(180,819)
Income tax paid		(24,678)	(80,167)	(52,232)	(38,183)	(115,842)
Net cash generated from operating activities		460,364	468,723	636,323	822,545	130,699
Investing activities						
Purchase of property, plant and equipment	18	(359,197)	(160,057)	(439,960)	(375,201)	(258,854)
Proceeds from disposal of property, plant and equipment		463	2,048	3,700	5,876	6,280
Cash outflow on acquisition		-	-	(83,229)	(71,697)	-
Investment on available-for-sale financial asset	17	-	(23,633)	(31,418)	-	-
Short-term bank deposits		(188,408)	19,705	12,428	(29,395)	(14,330)
Net cash used in investing activities		(547,142)	(161,937)	(538,479)	(470,417)	(266,904)
Financing activities						
Proceeds from long-term borrowings		319,879	273,865	376,607	409,945	1,881,000
Repayments on long-term borrowings		(104,125)	(382,051)	(507,078)	(558,599)	(1,529,160)
(Repayment)/proceeds of commercial paper		-	-	-	(94,523)	94,523
Dividends paid to Company's shareholders		(132,331)	(132,331)	(110,276)	(31,020)	(27,298)
Dividends paid to minority interest		-	-	-	(23,464)	(9,928)

TPS Eastern Africa Limited
Financial Statements
For the five years ended 31 December 2009

Consolidated statements of cash flow for the five years ended 31 December 2009 (continued)

	Notes	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Net cash generated from / (used) in financing activities		83,423	(240,517)	(240,747)	(297,661)	409,137
Net (decrease) / increase in cash and cash equivalents		(3,355)	66,269	(142,903)	54,467	272,932
Movement in cash and cash equivalents						
At start of year		45,806	(20,758)	122,082	64,829	(246,947)
(Decrease)/ increase in cash		(3,355)	66,269	(142,903)	54,467	272,932
Effects of exchange rate changes on cash and cash equivalents		6,746	295	63	2,786	38,844
At end of year	24	49,197	45,806	(20,758)	122,082	64,829

Notes

1 General information

TPS Eastern Africa Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The address of its registered office is:

Williamson House
4th Ngong Avenue
PO Box 48690
00100 NAIROBI
KENYA.

The Company's shares are listed on the Nairobi Stock Exchange.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousands, except where otherwise indicated.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 4.

Changes in accounting policy and disclosures

(i) New and amended standards adopted by the group

IFRS 8, 'Operating segments' –effective 1 January 2009. - IFRS 8 replaces IAS 14, 'Segment reporting'. The new standard requires a 'management approach', under which segment information is presented on the same basis as that used for internal reporting purposes. In addition, the segments are reported in a manner that is more consistent with the internal reporting provided to the chief operating decision-maker.

IAS 1 (revised). 'Presentation of financial statements' – effective 1 January 2009. The revised standard prohibits the presentation of items of income and expenses (that is, 'non-owner changes in equity') in the statement of changes in equity, requiring 'non-owner changes in equity' to be presented separately from owner changes in equity in a statement of comprehensive income. As a result the Group presents in the consolidated statement of changes in equity all owner changes in equity, whereas all non-owner changes in equity are presented in the consolidated statement of comprehensive income. Comparative information has been re-presented so that it also is in conformity with the revised standard. Since the change in accounting policy only impacts presentation aspects, there is no impact on earnings per share.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

IFRS 7 'Financial Instruments – Disclosures' (amendment) – effective 1 January 2009. The amendment requires enhanced disclosures about fair value measurement and liquidity risk. In particular, the amendment requires disclosure of fair value measurements by level of a fair value measurement hierarchy. The adoption of the amendment results in additional disclosures but does not have an impact on the measurement basis adopted by the group.

(ii) Interpretations effective in 2009 but not relevant

In 2009, the following new interpretations became effective for the first time but have not had an impact on the company's financial statements:

IFRS 2 (amendment), 'Share-based payment': - It clarifies that vesting conditions are service conditions and performance conditions only. All cancellations, whether by the entity or by other parties, should receive the same accounting treatment

IAS 23 (amendment), 'Borrowing costs' (effective from 1 January 2009). The amendment requires an entity to capitalise borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset (one that takes a substantial period of time to get ready for use or sale) as part of the cost of that asset.

(iii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the group

Two new standards (IFRS 3 – Business combinations and IAS 27 – Consolidated and separate financial statements) and numerous amendments to existing standards and new interpretations have been published and will be effective for the company's accounting periods beginning on or after 1 January 2010, but the company has not early adopted any of them.

The Directors have assessed the relevance of these amendments and interpretations with respect to the Group's operations and concluded that they will not have a significant impact on the Group's financial statements for 2010

Notes (continued)

2 Summary of significant accounting policies (continued)

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date the control ceases.

The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any minority interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the income statement.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Associates

Associates are all entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for by the equity method of accounting and are initially recognised at cost. The Group's investment in associates includes goodwill (net of any accumulated impairment loss) identified on acquisition.

The Group's share of its associates' post-acquisition profits or losses is recognised in the income statement, and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.

Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group.

Notes (continued)

2 Summary of significant accounting policies (continued)

(c) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional and presentation currency.

(ii) Transactions and balances in group entities

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account.

(iii) Consolidation of group entities

The results and financial position of all the group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (i) assets and liabilities for each balance sheet presented are translated at the closing rate at the date of that balance sheet;
- (ii) income and expenses for each profit and loss account are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income expenses are translated at the dates of the transactions); and
- (iii) all resulting exchange differences are recognised as a separate component of equity (translation reserve).

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the profit and loss account as part of the gain or loss on sale.

(d) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Managing Director who makes strategic decisions.

Notes (continued)

2 Summary of significant accounting policies (continued)

(e) Revenue recognition

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of value-added tax (VAT), rebates and discounts and after eliminating sales within the Group. Revenue is recognised as follows:

- (i) Sales of goods are recognised in the period in which the group delivers products to the customer, the customer has accepted the products and collectibility of the related receivables is reasonably assured.
- (ii) Sales of services are recognised in the period in which the services are rendered, by reference to completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.
- (iii) Interest income is recognised using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

(f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings are subsequently shown at fair value, based on periodic, but at least every five year, valuations by external independent valuers, less subsequent depreciation for buildings. All other property, plant and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the profit and loss account during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

Freehold land is not depreciated. Depreciation on other assets is calculated using the straight line method to write down their cost or revalued amounts to their residual values over their estimated useful lives, as follows:

Notes (continued)

2 Summary of significant accounting policies (continued)

(f) Property, plant and equipment (continued)

Buildings	Over the period of the lease
Computers	3 - 4 years
Motor vehicles	4 years
Furniture and fittings	8 years
Lift installations	10 years
Laundry equipment	10 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are included in the profit and loss account. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

(g) Intangible assets

Goodwill

Goodwill represents the excess of the cost of an acquisition over the fair value of the Group's share of the net identifiable assets of the acquired subsidiary or associate at the date of acquisition. Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill on acquisitions of associates is included in investments in associates. Goodwill is tested annually for impairment and carried at cost less accumulated impairment losses. Gains and losses on disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to operating segments for the purpose of impairment testing.

(h) Financial assets

The Group classifies its financial assets under loans and receivables and available-for-sale financial assets. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition and re-evaluates such designation periodically.

(i) Loans and receivables

Loans and receivables are initially recorded at fair value (plus transaction costs) and subsequently carried at amortised cost using the effective interest method. They are included in current assets, Loans and receivables are included in receivables and prepayments in the balance sheet.

Notes (continued)

2 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(ii) Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are not classified as loans and receivables. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the balance sheet date.

The Group assesses at each balance sheet date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity securities classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is considered in determining whether the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the income statement. Impairment losses recognised in the profit and loss account on equity instruments are not reversed through the profit and loss account

(i) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in, first-out (FIFO) method and computed as the cost of purchase plus any incidental costs incurred in bringing inventory items to their present location. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses. Inventories mainly comprise hotel consumables, food and beverage items.

(k) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the Group will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The change in the provision is recognised in the profit and loss account.

(l) Payables

Payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

(m) Share capital

Ordinary shares are classified as equity.

Notes (continued)

2 Summary of significant accounting policies (continued)

(n) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the balance sheet.

(o) Employee benefits

(i) Retirement benefit obligations

For unionised employees, the group has an unfunded obligation to pay terminal gratuities under its Collective Bargaining Agreement with the union. Employees who resign after serving for periods of between five years and ten years, receive eighteen days salary and house allowance for each completed year of service at the rate of pay applicable at the date of resigning. Those who resign after serving for more than ten years receive twenty four days salary and house allowance for each completed year of service. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. Any increase or decrease in the provision other than benefits paid is taken to the profit and loss account.

The group operates a defined contribution post-employment benefit scheme for all its permanent employees after their first year of employment. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the group and the employees. The group and all its permanent employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The group's contributions to both these defined contribution schemes are charged to the profit and loss account in the year in which they fall due. The group has no further obligation once the contributions have been paid.

(ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

Notes (continued)

2 Summary of significant accounting policies (continued)

(p) Income tax

Income tax expense is the aggregate of the charge to the profit and loss account in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the relevant tax legislation.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

(q) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the balance sheet date.

(r) Dividends

Dividends distribution to the Company's shareholders is recognised as a liability in the period in which they are declared. Dividends are declared upon approval at the annual general meeting. Proposed dividends are shown as part of retained earnings until declared.

(s) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Notes (continued)

3 Financial risk management

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the treasury department under the guidance of management. Treasury department identifies, evaluates and hedges financial risks. The Board of Directors provides guidance on principles for overall risk management covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investment of excess liquidity.

Market risk

(i) Foreign exchange risk

The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities and net investments in foreign operations.

The Group aims to minimise volatility arising from fluctuations in exchange rates by adopting natural hedges such as holding cash balances in foreign currencies to hedge against any foreign currency denominated amounts payable.

The Group manages foreign exchange risk by converting its foreign currency collections into local currency on an ongoing basis to cater for its operational requirements. As a result, the Group does not hold large amounts of foreign currency deposits. In addition, the Group receives its collections in foreign currency and therefore any future foreign currency commercial transactions are settled in the same currency to avoid the effect of swinging currency exchange rates.

Notes (continued)

3 Financial risk management (continued)

Currency exposure arising from the net assets of foreign operations is managed primarily through borrowings denominated in the relevant foreign currencies.

At 31 December 2009, if the Shilling had weakened/strengthened by 5% against the US Dollar with all other variables held constant, consolidated post tax profit for the year would have been Shs 2,505,080 (2008: Shs 2,899,995, 2007: Shs 10,313,016, 2006: Shs 4,151,721, 2005: Shs 7,957,818) higher/lower, mainly as a result of US dollar receivables, payables and bank balances.

(ii) Price risk

The Group has invested in the unquoted shares of Tourism Promotion Services (Rwanda) Limited which have been classified under Available-for-sale financial assets. In the opinion of the directors, there is no material exposure to price risk.

(iii) Cash flow and fair value interest rate risk

The Group has borrowings at variable rates. The Group does not hedge itself against interest rate risk. No limits are placed on the ratio of variable rate borrowing to fixed rate borrowing. At 31 December 2009, an increase/decrease of 2% on interest rate would have resulted in an increase/decrease in consolidated post tax profit of Shs 3,146,987 (2008: 4,283,576, 2007: Shs 25,683,287, 2006: Shs 29,380,620, 2005: Shs 6,671,379).

Credit risk

Credit risk is managed on a group basis. Credit risk arises from cash equivalents and deposits with banks, as well as trade and other receivables. Neither the Group nor the Company has any significant concentrations of credit risk. The group credit controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

The amount that best represents the Group's maximum exposure to credit risk at 31 December 2009 and 2008 is made up as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Cash equivalents	339,869	122,290	160,998	179,558	118,654
Trade receivables	534,447	634,739	839,367	472,034	437,710
Receivables from related companies	222,704	116,109	82,806	84,818	86,453
Other receivables	105,267	72,178	71,640	51,470	47,649
	<u>1,202,287</u>	<u>945,316</u>	<u>1,154,811</u>	<u>787,880</u>	<u>690,466</u>

No collateral is held for any of the above assets. Receivables that are neither past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated.

Notes (continued)

3 Financial risk management (continued)

Related party and other receivables are neither past due nor impaired. The Group's bankers are reputable and sound financial institutions.

Trade receivables (as shown in the table above) are carried at fair value. These are estimated based on expected future cash flows and past credit history of customers. All the balances fall in level III of the fair value measurement hierarchy. There are no other financial assets carried at fair value.

None of the above assets are past due or impaired except for the following amounts in trade receivables (which are due within 30 days of the end of the month in which they are invoiced):

	2009 Shs'00	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Past due but not impaired:					
- by up to 30 days	301,327	159,675	47,756	118,047	199,794
- by 31 to 60 days	69,304	40,694	57,994	38,762	107,843
- by 61 to 90 days	29,247	45,203	36,783	12,837	56,125
- by over 90 days	70,441	74,920	32,107	43,480	35,475
Total past due but not impaired	470,319	320,492	174,640	213,126	399,237
Impaired and fully provided for	62,193	53,585	54,232	35,406	30,777

Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash securities, and the availability of funding from an adequate amount of committed credit facilities. Due to the dynamic nature of the underlying businesses, Treasury maintains flexibility in funding by maintaining availability under committed credit lines. Management monitors rolling forecasts of the Group's liquidity reserve on the basis of expected cash flows.

The table below analyses the Group's financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant. At the beginning of the year, the Group renegotiated short-term borrowings, for one of its Kenyan subsidiary, to a term loan of five years. The below position is after including the debt refinancing.

	Less than 1 year Shs'000	Between 1 and 2 years Shs'000	Between 2 and 5 years Shs'000	Over 5 years Shs'000
At 31 December 2009:				
- borrowings	326,738	339,754	867,055	-
- trade and other payables	611,298	-	-	-
- interest payable	62,080	64,553	164,740	-

Notes (continued)

3 Financial risk management (continued)

	Less than 1 year Shs'000	Between 1 and 2 Shs'000	Between 2 and 5 years Shs'000	Over 5 years Shs'000
At 31 December 2008:				
- borrowings	236,720	294,846	757,908	-
- trade and other payables	779,684	-	-	-
- interest payable	45,870	57,133	144,000	-
	Less than 1 year Shs'000	Between 1 and 2 Shs'000	Between 2 and 5 years Shs'000	Over 5 years Shs'000
At 31 December 2007:				
- borrowings	393,893	440,767	594,416	44,175
- trade and other payables	891,670	-	-	-
- interest payable	74,839	83,745	112,939	8,393
	Less than 1 year Shs'000	Between 1 and 2 Shs'000	Between 2 and 5 years Shs'000	Over 5 years Shs'000
At 31 December 2006:				
- borrowings	27,945	535,478	898,061	-
- trade and other payables	611,266	-	-	-
- interest payable	5,309	101,740	170,632	-
	Less than 1 year Shs'000	Between 1 and 2 years Shs'000	Between 2 and 5 years Shs'000	Over 5 years Shs'000
At 31 December 2005:				
- borrowings	250,540	1,207,452	356,840	-
- trade and other payables	476,438	-	-	-
- interest payable	47,602	229,378	67,799	-

Notes (continued)

3 Financial risk management (continued)

Capital risk management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

During 2009 the Group's strategy, which was unchanged from prior periods, was to maintain a gearing ratio between 25% and 40%. The gearing ratios at 31 December 2009, 2008, 2007, 2006 and 2005 were as follows

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Total borrowings	1,533,547	1,289,474	1,473,251	1,461,484	1,814,832
Less: cash and cash equivalents	(352,384)	(132,266)	(160,998)	(179,558)	(118,654)
Net debt	1,181,163	1,157,208	1,312,253	1,281,926	1,696,178
Total equity	4,064,390	3,750,925	3,678,411	3,403,992	2,388,040
Total capital	5,245,553	4,908,133	4,990,664	4,685,918	4,084,218
Gearing ratio	23%	24%	26%	27%	42%

Notes (continued)

4 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Fair value estimation

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. The Group uses its judgement to select a variety of methods and make assumptions that are mainly based on market conditions existing at the balance sheet date.

Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2(g). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations. These calculations require the use of estimates (Note 20).

Income taxes

The Group is subject to income taxes in various jurisdictions. Significant judgement is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(ii) Critical judgements in applying the entity's accounting policies

In the process of applying the Group's accounting policies, management has made judgements in determining impairment of assets and goodwill, and the carrying amount of gratuity provisions.

Notes (continued)

5 Segment information

Management has determined the operating segments based on the reports reviewed by the Managing Director that are used to make strategic decisions.

The Managing Director considers the business from both a geographic and product perspective. Management considers the performance in Kenya and Tanzania (which incorporates Zanzibar). Kenya is further segregated into hotels and lodges.

The reportable operating segments derive their revenue primarily from accommodation, food and beverage sales.

The Managing Director assesses the performance of the operating segments based on a measure of adjusted Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA). This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses and goodwill impairments when the impairment is the result of an isolated, non-recurring event. The measure also excludes the effects of unrealised gains/losses on financial instruments. Interest income and expenditure are not allocated to segments, as this type of activity is driven by the central treasury function, which manages the cash position of the group.

The segment information for the reportable segments for the year ended 31 December 2009 is as follows:

	Revenue	EBITDA	Depreciation and amortisation	Income tax expense	Total assets	Total liabilities	Goodwill
Kenya Hotels	1,694,900	452,276	(75,125)	(57,695)	1,767,390	-	230,152
Kenya Lodges	791,164	66,043	(43,005)	(47,552)	908,201	-	110,008
Tanzania Units	1,302,733	283,187	(88,429)	(28,810)	2,319,527	1,337,152	733,218
TOTAL	3,788,797	801,506	(206,559)	(134,057)	4,995,118	1,337,152	1,073,378
Unallocated items	288,860	57,240	(7,606)	(5,270)	2,001,078	1,594,654	4,491
TOTAL	4,077,657	858,746	(214,165)	(139,327)	6,996,196	2,931,806	1,077,869

Notes (continued)

5 Segment information (continued)

The segment information for the year ended 31 December 2008 is as follows:

	Revenue	EBITDA	Depreciation and amortisation	Income tax expense	Total assets	Total liabilities	Goodwill
Kenya Hotels	1,298,825	302,370	(84,233)	(20,510)	1,744,700	-	230,152
Kenya Lodges	601,019	(19,486)	(49,097)	(16,786)	833,933	-	110,008
Tanzania Units	1,343,359	423,804	(82,514)	(69,178)	2,024,279	1,060,522	733,218
TOTAL	3,243,203	706,688	(215,844)	(106,474)	4,602,912	1,060,522	1,073,378
Unallocated items	-	(15,435)	(158)	(823)	1,904,084	1,695,549	4,491
TOTAL	3,243,203	691,253	(216,002)	(107,297)	6,506,996	2,756,071	1,077,869

The segment information for the year ended 31 December 2007 is as follows:

	Revenue	EBITDA	Depreciation and amortisation	Income tax expense	Total assets	Total liabilities	Goodwill
Kenya Hotels	1,408,886	354,656	(84,913)	(67,910)	1,758,133	-	230,152
Kenya Lodges	953,710	214,424	(54,697)	(55,972)	858,491	-	110,008
Tanzania Units	1,305,064	414,635	(77,302)	(77,023)	2,050,385	1,195,740	733,218
TOTAL	3,667,660	983,715	(216,912)	(200,905)	4,667,009	1,195,740	1,073,378
Unallocated items	-	(8,382)	-	-	2,114,010	1,906,868	4,491
TOTAL	3,667,660	975,333	(216,912)	(200,905)	6,781,019	3,102,608	1,077,869

Notes (continued)

5 Segment information (continued)

The segment information for the year ended 31 December 2006 is as follows:

	Revenue	EBITDA	Depreciation and amortisation	Income tax expense	Total assets	Total liabilities	Goodwill
Kenya Hotels	1,234,632	290,036	(80,432)	(58,805)	1,001,812	-	204,366
Kenya Lodges	858,771	202,610	(51,295)	(48,467)	423,572	-	97,683
Tanzania Units	1,170,603	404,687	(74,246)	(58,673)	2,246,953	1,910,783	733,218
TOTAL	3,264,006	897,333	(205,973)	(165,945)	3,672,337	1,910,783	1,035,267
Unallocated items	-	(9,190)	-	-	2,466,192	823,756	3,988
TOTAL	3,264,006	888,143	(205,973)	(165,945)	6,138,529	2,734,539	1,039,255

The segment information for the year ended 31 December 2005 is as follows:

	Revenue	EBITDA	Depreciation and amortisation	Income tax expense	Total assets	Total liabilities	Goodwill
Kenya Hotels	1,185,977	258,718	(70,041)	(48,537)	1,001,812	-	-
Kenya Lodges	783,793	147,158	(41,347)	(40,005)	423,572	-	-
Tanzania Units	1,089,707	313,420	(81,753)	(28,813)	2,246,953	1,910,783	733,218
TOTAL	3,059,477	719,296	(193,141)	(117,355)	3,672,337	1,910,783	733,218
Unallocated items	-	(6,502)	-	-	1,351,178	724,692	-
TOTAL	3,059,477	712,794	(193,141)	(117,355)	5,023,515	2,635,475	733,218

Notes (continued)

6 Expenses by nature

The following items have been (credited)/charged in arriving at operating profit:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Loss/(profit) on disposal of property, plant and equipment	166	(1,081)	(2,848)	(3,686)	(1,900)
Net foreign currency exchange losses/(gains) on trading balances	19,654	(90,444)	61,545	16,157	(40,521)
Prepaid operating lease rentals expensed (Note 19)	160	160	160	160	160
Inventories expensed	781,859	684,628	763,446	672,972	654,203
Receivables – provision for impairment losses	8,608	14,855	8,891	7,754	0
Auditors' remuneration	9,317	8,245	8,334	7,579	6,155

7 Employee benefits expense

The following items are included within employee benefits expense:

Retirement benefits costs:					
- Gratuity (credit)/charge (Note 16)	20,209	(6,475)	13,450	15,992	18,706
- Defined contribution scheme	24,036	24,151	21,769	20,022	11,414
- National Social Security Funds	22,614	20,390	16,284	13,390	16,456

Notes (continued)

8 Finance costs

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Interest expense:					
- bank borrowings	(117,543)	(115,048)	(145,787)	(160,274)	(174,769)
- related party loans	(1,192)	(5,020)	(96)	(473)	-
- commercial paper	-	-	-	(968)	(6,050)

Net foreign currency exchange losses on borrowings

	(118,735)	(120,068)	(145,883)	(161,715)	(180,819)
	(5,557)	(24,772)	-	(25,804)	(201,434)

Net finance costs

	(124,292)	(144,840)	(145,883)	(187,519)	(382,253)
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9 Income tax expense

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Current income tax	73,724	20,865	76,794	47,409	52,730
Deferred income tax (Note 15)	65,603	86,432	124,111	118,536	64,625
Income tax expense	139,327	107,297	200,905	165,945	117,355

Notes (continued)

9 Income tax expense (continued)

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Profit before income tax	520,002	330,014	617,380	498,605	140,300
Tax calculated at domestic rates applicable to profits in the respective countries - 30% (2008 – 30%)	156,001	99,004	185,214	149,582	42,090
Tax effect of:					
Income not subject to tax	(18,926)	(210)	(3,156)	(1,676)	(1,466)
Expenses not deductible for tax purposes	3,258	20,383	20,474	15,692	14,665
Under provision of deferred income tax in prior year	(1,006)	(11,880)	(1,627)	4,750	1,643
(Under) / over -provision of current income tax in prior year	-	-	-	(2,403)	-
Effects of changes in tax legislation	-	-	-	-	60,423
Income tax expense	139,327	107,297	200,905	165,945	117,355

Notes (continued)

10 Earnings per share

Basic earnings per share are calculated by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares in issue during the year.

	2009	2008	2007	2006	2005
Profit / (loss) attributable to equity holders of the Company (Shs 000s)	380,675	222,717	414,367	309,244	(21,731)
Number of ordinary shares in issue (thousands) – adjusted for bonus issue of 17,644,000 shares made in 2007	105,865	105,865	105,865	105,865	95,326
Basic earnings / (loss) per share (Shs)	3.60	2.10	3.91	2.92	(0.23)

There were no potentially dilutive shares outstanding at 31 December 2009, 2008, 2007, 2006 or 2005. Diluted earnings per share are therefore the same as basic earnings per share.

Notes (continued)

11 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at the annual general meeting.

	2009	2008	2007	2006	2005
Total dividends (Shs 000s)	132,331	132,331	132,331	110,276	31,020
Ordinary shares in issue (thousands)	105,865	105,865	105,865	88,221	77,682
Dividend per share (Shs)	1.25	1.25	1.25	1.25	0.4

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

Notes (continued)

12 Share capital

	Number of shares (Thousands)	Ordinary shares Shs'000	Share premium Shs'000
Balance at 1 January 2004	14	14	13,635
Bonus issue	31,380	31,380	(13,635)
Issue of shares			
-Allotment of shares	27,246	27,246	753,413
-Share swap for acquisition of subsidiaries	19,042	19,042	553,283
At 1 January 2005 & 2006	77,682	77,682	1,306,696
Share swap for acquisition of TPSL	10,539	10,539	599,980
At 1 January 2007	88,221	88,221	1,906,676
Issue of bonus shares	17,644	17,644	-
At 31 December 2007, 2008 and 2009	105,865	105,865	1,906,676

The total authorised number of ordinary shares is 106,000,000 with a par value of Shs 1.00 per share. As at 31 December 2009, 105,864,742 are issued at a par value of Shs 1.00 per share and are fully paid.

13 Revaluation reserve

The revaluation surplus represents solely the surplus on the revaluation of buildings net of deferred income tax and is non-distributable.

Notes (continued)

14 Borrowings

The borrowings are made up as follows:

	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Non-current					
Bank borrowings	1,206,809	1,052,754	1,079,358	1,433,539	1,564,292
Current					
Bank overdraft	103,187	74,868	150,459	13,751	39,495
Bank borrowings	223,551	161,852	243,434	14,194	98,657
Other loans	-	-	-	-	17,865
Commercial paper	-	-	-	-	94,523
	326,738	236,720	393,893	27,945	250,540
Total borrowings	1,533,547	1,289,474	1,473,251	1,461,484	1,814,832

The borrowings include secured liabilities (bank borrowings and overdraft) in a total amount of Shs 1,533,547,000 (2008: Shs 1,289,474,000, 2007: Shs 1,473,251,000, 2006: Shs 1,461,484,000, 2005: Shs 1,702,444,000). Bank loans and overdrafts are secured by legal charges over certain land, buildings and other assets of the group in addition to a floating debenture over all assets of Tourism Promotion Services (Kenya) Limited and a certificate of shares in the name of TPS Eastern Africa Limited.

Notes (continued)

14 Borrowings (continued)

The effective interest rates at the year-end were as follows:

	2009	2008	2007	2006	2005
Kenya					
- bank borrowings : Kenya Shillings	12.16%	10.04%	7.9%	7.9%	9.33%
Tanzania					
- bank overdrafts: US Dollars (3% above 3-month LIBOR)	5.82%	5.67%	7.5%	6.50%	-
- bank borrowings: US Dollars (2% above 3-month LIBOR)	4.82%	4.52%	-	-	8.37%
: Tanzania Shillings – Barclays Bank	-	-	-	14.96%	-
: Tanzania Shillings – National Bank of Commerce					
Tanzania Limited	13.50%	9.00%	13.50%	12.50%	-
Zanzibar					
- bank overdrafts and bank borrowings: Tanzania Shillings	12.50%	12.50%	12.50%	12.50%	11%

The carrying amounts of short-term borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the Group at the balance sheet date.

It is impracticable to assign fair values to the Group's long term liabilities due to inability to forecast interest rate and foreign exchange rate changes.

The Group does not have any undrawn facilities at the end of the year.

Notes (continued)

15 Deferred income tax

Deferred income tax is calculated using the enacted income tax rate of 30% (2008: 30%). The movement on the deferred income tax account is as follows:

Year ended 31 December 2005	Movement in deferred tax liability Shs'000	Movement in deferred tax asset Shs'000	Total Shs'000
At start of year	193,452	(342,861)	(149,409)
Income statement charge (Note 9)	35,813	28,812	64,625
Credit to equity	-	49,838	49,838
At end of year	229,265	(264,211)	(34,946)
Year ended 31 December 2006			
At start of year	229,265	(264,211)	(34,946)
Income statement charge (Note 9)	59,863	58,673	118,536
Credit to equity	237,372	8,724	246,096
At end of year	526,500	(196,814)	329,686

Notes (continued)

15 Deferred income tax (continued)

Year ended 31 December 2007	Movement in deferred tax liability Shs'000	Movement in deferred tax asset Shs'000	Total Shs'000
At start of year	526,500	(196,814)	329,686
Income statement charge (Note 9)	47,090	77,021	124,111
Credit to equity	-	(8,756)	(8,756)
At end of year	573,590	(128,549)	445,041
Year ended 31 December 2008			
At start of year	573,590	(128,549)	445,041
Income statement charge (Note 9)	17,357	69,075	86,432
Credit to equity	-	(7,718)	(7,718)
Currency translation differences	-	814	814
At end of year	590,947	(66,378)	524,569

Notes (continued)

15 Deferred income tax (continued)

Year ended 31 December 2009	Movement in deferred tax liability Shs'000	Movement in deferred tax asset Shs'000	Total Shs'000
At start of year	590,947	(66,378)	524,569
Income statement charge (Note 9)	36,841	28,762	65,603
Credit to equity	-	(8,211)	(8,211)
Currency translation differences	-	(3,643)	(3,643)
At end of year	627,788	(49,470)	578,318

Deferred income tax of Shs 7,334,000 (2008: Shs 8,222,000, 2007: Shs 7,577,000, 2006: Shs 7,730,000, 2005: Shs 1,291,000) was transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred income tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.

Notes (continued)

15 Deferred income tax (continued)	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities					
Property, plant & equipment:					
- on historical cost	259,391	221,841	211,489	159,115	90,752
- on revaluation surpluses	372,705	380,039	388,261	395,838	166,807
Unrealised exchange gains	30,405	20,937	12,506	9,112	8,123
	662,501	622,817	612,256	564,065	265,682
Deferred income tax assets					
Provisions	(34,713)	(31,870)	(38,666)	(37,565)	(36,417)
Net deferred income tax liability	627,788	590,947	573,590	526,500	229,265

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Notes (continued)

15 Deferred income tax (continued)	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities					
Property, plant & equipment - revaluation	226,136	240,384	246,198	245,534	232,298
	226,136	240,384	246,198	245,534	232,298
Deferred income tax assets					
Property, plant & equipment – historical cost	40,702	40,702	40,702	40,702	40,702
Tax losses	(157,090)	(210,196)	(302,010)	(404,040)	(491,441)
Others	(159,218)	(137,268)	(113,439)	(79,010)	(45,770)
	(275,606)	(306,762)	(374,747)	(442,348)	(496,509)
Net deferred income tax asset	(49,470)	(66,378)	(128,549)	(196,814)	(264,211)

Notes (continued)

16 Provisions for liabilities and charges (Non-current)

Provision for employees' entitlement to gratuity is based on the number of years worked by individual employees up to the balance sheet date.
The movement during the year is as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of year	95,013	121,701	117,493	106,332	91,729
Additional provisions Unused amounts reversed	20,209	17,357 (23,832)	13,450	15,992	18,706
Charge/(credit) to income statement	20,209	(6,475)	13,450	15,992	18,706
Utilised during year	(6,048)	(20,213)	(9,242)	(4,831)	(4,103)
	109,174	95,013	121,701	117,493	106,332

Notes (continued)

16 Provisions for liabilities and charges (Non-current) (continued)

The movement in the provision for employees' entitlement to gratuity over the year was as follows:

	2009	2008
	Shs'000	Shs'000
At start of year	95,013	121,701
Current service cost	7,948	7,550
Interest cost	9,453	8,527
Actuarial losses/(gains)	2,808	(22,552)
Benefits paid	<u>(6,048)</u>	<u>(20,213)</u>
At end of year	<u>109,174</u>	<u>95,013</u>

The amounts recognised in the consolidated income statement for the years are as follows:

	2009	2008
	Shs'000	Shs'000
Current service cost	7,948	7,550
Interest cost	9,453	8,527
Net actuarial losses/(gains) recognised in the year	<u>2,808</u>	<u>(22,552)</u>
Total, included in employee benefits expense (Note 7)	<u>20,209</u>	<u>(6,475)</u>

Notes (continued)

16 Provisions for liabilities and charges (Non-current) (continued)

The principal actuarial assumptions used were as follows:

	2009	2008
- discount rate	10%	10%
- future salary increases	8%	8%

In the opinion of the directors, the provision for gratuity entitlement for employees fairly reflects the Group's future obligation under the terms of the Collective Bargaining Agreement. The scheme has no dedicated assets.

The actuarial valuation method required for valuation of defined benefit obligations as per International Accounting Standards (IAS) 19 – Employee Benefits, is the 'Projected Unit Credit' method. This method was not used to estimate the liability as at 31 December 2005, 2006 and 2007. For these financial years a provision was made for the estimated liability for such entitlements as a result of services rendered by employees up to the balance sheet date.

In 2008 when an actuarial valuation was carried out an amount of Shs 24 million was reversed in that year (2008), to the profit and loss account. A portion of this adjustment related to prior periods. In the opinion of the directors this adjustment is not likely to have a material impact on the 2006 and 2007 reported results.

Notes (continued)

17 Available for sale financial asset

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of the year	55,051	31,418	-	-	-
Investment during the year	-	23,633	31,418	-	-
At end of year	55,051	55,051	31,418	-	-

On 14 November 2007, the company acquired 8% of the shares in Tourism Promotion Services (Rwanda) Limited, a company incorporated in Rwanda, for Shs 31,418,035. In 2008, Shs 23.6 million was invested by the company to maintain its 8% interest in the shareholding of Tourism Promotion Services (Rwanda) Limited. The directors have designated these investments as 'Available-for-sale financial assets' that are carried at fair value as the investment is to be held for the foreseeable future. In the opinion of the Directors, there has been no change in the fair value of the asset.

Notes (continued)

18 Property, plant and equipment

	Land & buildings	Plant & machinery	Vehicles & equipment	Capital work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2005					
At cost or revaluation	3,735,110	1,118,676	93,001	31,801	4,978,588
Accumulated depreciation	(715,569)	(844,598)	(69,326)	-	(1,629,493)
Net book amount	3,019,541	274,078	23,675	31,801	3,349,095
Year ended 31 December 2005					
Opening net book amount	3,019,541	274,078	23,675	31,801	3,349,095
Additions	132,285	100,603	14,187	11,779	258,854
Disposals	-	(3,517)	(7)	(855)	(4,379)
Transfers	26,650	664	-	(27,314)	-
Depreciation charge	(97,969)	(82,918)	(12,254)	-	(193,141)
Translation differences	(321,402)	(7,983)	(302)	(85)	(329,772)
Closing net book amount	2,759,105	280,927	25,299	15,326	3,080,657

Notes (continued)

18 Property, plant and equipment (continued)

	Land & buildings Shs'000	Plant & machinery Shs'000	Vehicles & equipment Shs'000	Capital work in progress Shs'000	Total Shs'000
At 31 December 2005					
At cost or revaluation	3,894,045	1,216,426	107,181	15,411	5,233,063
Accumulated depreciation	(813,538)	(927,516)	(81,580)	-	(1,822,634)
Translation differences	(321,402)	(7,983)	(302)	(85)	(329,772)
Net book amount	2,759,105	280,927	25,299	15,326	3,080,657
Year ended 31 December 2006					
Opening net book amount	2,759,105	280,927	25,299	15,326	3,080,657
Additions	236,924	87,677	64,581	(13,981)	375,201
Disposals	-	(2,190)	(93)	-	(2,283)
Depreciation charge	(109,969)	(68,877)	(27,127)	-	(205,973)
Revaluation	791,239	-	-	-	791,239
Translation differences	(161,901)	(31,173)	27,794	-	(165,280)
Closing net book amount	3,515,398	266,364	90,454	1,345	3,873,561

Notes (continued)

18 Property, plant and equipment (continued)

	Land & buildings Shs'000	Plant & machinery Shs'000	Vehicles & equipment Shs'000	Capital work in progress Shs'000	Total Shs'000
At 31 December 2006					
At cost or revaluation	4,922,208	1,301,914	171,669	1,430	6,397,221
Accumulated depreciation	(923,507)	(996,393)	(108,707)	-	(2,028,607)
Translation differences	(483,303)	(39,157)	27,492	(85)	(495,053)
Net book amount	3,515,398	266,364	90,454	1,345	3,873,561
Year ended 31 December 2007					
Opening net book amount	3,515,398	266,364	90,454	1,345	3,873,561
Additions	198,069	149,344	17,917	74,630	439,960
Disposals	-	(852)	-	-	(852)
Depreciation charge	(112,301)	(84,216)	(20,395)	-	(216,912)
Translation differences	7,424	51,097	(50,854)	6	7,673
Closing net book amount	3,608,590	381,737	37,122	75,981	4,103,430

Notes (continued)

18 Property, plant and equipment (continued)

	Land & buildings Shs'000	Plant & machinery Shs'000	Vehicles & equipment Shs'000	Capital work in progress Shs'000	Total Shs'000
At 31 December 2007					
At cost or revaluation	5,120,277	1,450,407	189,586	76,060	6,836,330
Accumulated depreciation	(1,035,809)	(1,080,609)	(129,102)	-	(2,245,520)
Translation differences	(475,879)	11,940	(23,362)	(79)	(487,380)
Net book amount	3,608,590	381,737	37,122	75,981	4,103,430

Year ended 31 December 2008

Opening net book amount	3,608,590	381,737	37,122	75,981	4,103,430
Additions	49,050	88,652	1,617	20,738	160,057
Disposals	-	(817)	(150)	-	(967)
Transfers	8,843	-	-	(8,843)	-
Depreciation charge	(117,106)	(83,663)	(15,233)	-	(216,002)
Translation differences	(29,113)	(1,387)	(293)	(437)	(31,230)
Closing net book amount	3,520,264	384,522	23,063	87,439	4,015,288

Notes (continued)

18 Property, plant and equipment (continued)

	Land & buildings	Plant & machinery	Vehicles & equipment	Capital work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 31 December 2008					
At cost or revaluation	5,178,170	1,538,240	191,053	87,955	6,995,418
Accumulated depreciation	(1,152,914)	(1,164,272)	(144,335)	-	(2,461,521)
Translation differences	(504,992)	10,554	(23,655)	(516)	(518,609)
Net book amount	3,520,264	384,522	23,063	87,439	4,015,288
Year ended 31 December 2009					
Opening net book amount	3,520,264	384,522	23,063	87,439	4,015,288
Additions	101,035	203,049	-	55,113	359,197
Disposals	(11)	(618)	-	-	(629)
Transfers	46,403	-	-	(46,403)	-
Depreciation charge	(118,471)	(83,496)	(12,198)	-	(214,165)
Translation differences	80,267	7,041	826	1,657	89,791
Closing net book amount	3,629,487	510,498	11,691	97,806	4,249,482

Notes (continued)

18 Property, plant and equipment (continued)

	Land & buildings Shs'000	Plant & machinery Shs'000	Vehicles & equipment Shs'000	Capital work in progress Shs'000	Total Shs'000
At 31 December 2009					
At cost or revaluation	5,325,597	1,740,671	191,053	96,665	7,353,986
Accumulated depreciation	(1,271,385)	(1,247,768)	(156,533)	-	(2,675,686)
Translation differences	(424,725)	17,595	(22,829)	1,141	(428,818)
Net book amount	3,629,487	510,498	11,691	97,806	4,249,482

In the opinion of the directors, there is no impairment of property, plant and equipment. Land and buildings for Tourism Promotion Services (Tanzania) Limited & Tourism Promotion Services (Zanzibar) Limited were last revalued on 31 December 2004 while those of Tourism Promotion Services (Kenya) Limited were revalued on 2 January 2006 by independent professional valuers. The valuations were carried out by Gimco Africa for Tanzania and Zanzibar, and C.P.Robertson-Dunn for Kenya. Both companies are independent professional valuers. Valuations were made on the basis of earnings for existing use. A revaluation will be carried out in 2010.

The book values of the properties were adjusted to the revaluations and the resultant surplus net of deferred income tax was credited to the revaluation surplus in shareholders' equity.

Capital work in progress is mainly in relation to capital projects being undertaken with respect to Kenyan hotels and Tanzanian lodges.

Notes (continued)

18 Property, plant and equipment (continued)

If the buildings and freehold land were stated on the historical cost basis (adjusted for translation differences), the amounts would be as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Cost	4,017,498	3,870,060	3,812,167	3,614,098	738,692
Accumulated depreciation	(1,647,926)	(1,100,680)	(1,010,189)	(956,419)	(129,326)
Net book amount	2,369,572	2,769,380	2,801,978	2,657,679	609,366

Notes (continued)

19 Prepaid operating lease rentals

	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of the year	12,573	12,733	12,893	13,053	13,213
Amortisation charge for year	(160)	(160)	(160)	(160)	(160)
At end of year	12,413	12,573	12,733	12,893	13,053
	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Cost of prepaid operating lease rentals	15,800	15,800	15,800	15,800	15,800
Accumulated amortisation	(3,387)	(3,227)	(3,067)	(2,907)	(2,747)
	12,413	12,573	12,733	12,893	13,053

Notes (continued)

20 Intangible asset

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Cost	1,077,869	1,077,869	1,039,255	733,218	733,218
Accumulated amortisation and impairment	-	-	38,614	306,037	-
	1,077,869	1,077,869	1,077,869	1,039,255	733,218

Impairment tests for goodwill

Goodwill is allocated to the group's operating segments identified according to the location of operation and business segment.

A segment-level summary of the goodwill allocation is presented below:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Tourism Promotion Services (Kenya) Limited	344,651	344,651	344,651	306,037	-
Tourism Promotion Services (Tanzania) Limited	576,345	576,345	576,345	576,345	576,345
Tourism Promotion Services (Zanzibar) Limited	154,671	154,671	154,671	154,671	154,671
Tourism Promotion Services (Mangapwani) Limited	2,202	2,202	2,202	2,202	2,202
	1,077,869	1,077,869	1,077,869	1,039,255	733,218

Notes (continued)

20 Intangible asset (continued)

A summary of the segment level goodwill allocation is presented in Note 5. Goodwill is substantially allocated to all operating segments.

The recoverable amount of an operating segment is determined based on value-in-use calculations. These calculations use cash flow projections based on financial projections approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using estimated growth rates. The growth rates do not exceed the long-term average growth rates for the respective businesses in which the operating segments operate.

Key assumptions used for value-in-use calculations as at 31 December 2009:

	Kenya	Tanzania	Zanzibar
EBITDA margin ¹	23%	37%	37%
Growth rate ²	2%	2%	2%
Discount rate ³	12.3%	12.5%	12.5%

¹ Budgeted EBITDA margin

² Weighted average growth rate used to extrapolate cash flows beyond the projected period.

³ Pre-tax discount rate applied to the cash flow projections.

These assumptions have been used for the analysis of each operating segment within the business segment. Management determined budgeted EBITDA margin based on past performance and its expectations for the market development. The weighted average growth rates used are consistent with the forecasts included in industry reports. The discount rates used are pre-tax and reflect specific risks relating to the relevant segments.

Notes (continued)

21 Investment in subsidiaries (at cost)

The company's interest in its subsidiaries (Tourism Promotion Services (Kenya) Limited – TPS(K), Tourism Promotion Services (Tanzania) Limited – TPS(T), Tourism Promotion Services (Zanzibar) Limited – TPS(Z), Tourism Promotion Services (Mangapwani) Limited – TPS(Mgp), Tourism Promotion Services (South Africa)(Pty) Limited – TPS(SA) and Tourism Promotion Services (Management) Limited – TPS(M)) none of which is listed on a stock exchange and all of which have the same year end as the company, were as follows:

The movement in investments in the years is as follows:

	TPS(K) Shs'000	TPS(T) Shs'000	TPS(Z) Shs'000	TPS(Mgp) Shs'000	TPS(SA) Shs'000	TPS(M) Shs'000	Total Shs'000
At 1 January 2004	63,176	-	-	-	-	-	63,176
Additional investment	-	1,045,470	268,015	45,795	-	-	1,359,280
At 31 December 2004 and 2005	63,176	1,045,470	268,015	45,795	-	-	1,422,456
At 1 January 2006	63,176	1,045,470	268,015	45,795	-	-	1,422,456
Additional investment	682,216	171,298	169,408	-	1	-	1,022,923
At 31 December 2006	745,392	1,216,768	437,423	45,795	1	-	2,445,379

Notes (continued)

21 Investment in subsidiaries (at cost) (continued)

	TPS(K) Shs'000	TPS(T) Shs'000	TPS(Z) Shs'000	TPS(Mgp) Shs'000	TPS(SA) Shs'000	TPS(M) Shs'000	Total Shs'000
At 1 January 2007	745,392	1,216,768	437,423	45,795	1	-	2,445,379
Additional investment	83,229 ¹	-	-	-	-	-	83,229
At 31 December 2007, 2008 and 2009	828,621	1,216,768	437,423	45,795	1	-	2,528,608

Country of Incorporation	Kenya	Tanzania	Tanzania	Tanzania	South Africa	Kenya
% interest held – 2005	76.67%	100%	100%	100%	-	75%
% interest held – 2006	97.34%	100%	100%	100%	100%	75%
% interest held – 2007, 2008 and 2009	100%	100%	100%	100%	100%	75%

¹ TPS(K) is an owner and operator of hotel and lodge facilities in Kenya, serving the business and tourist markets. On 28 February 2007, TPS Eastern Africa Limited acquired the 2.66% held by minority shareholders for a cash consideration.

In the opinion of the directors, there has been no impairment of any of the investments.

Notes (continued)

22 Investment in associates

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of the year	29,917	30,314	25,472	21,518	18,618
Share of associate results before tax	307	(171)	7,350	6,074	4,884
Share of tax	(594)	(226)	(2,508)	(2,120)	(1,984)
Net share of results after tax	(287)	(397)	4,842	3,954	2,900
At end of year	29,630	29,917	30,314	25,472	21,518

Notes (continued)

22 Investment in associates (continued)

The key financial data as at year end of Mountain Lodges Limited, whose principal business is to provide lodge facilities for tourists, and is incorporated in Kenya is follows:

	% interest held	Assets Shs'000	Liabilities Shs'000	Revenues Shs'000	Profit Shs'000
2005					
Mountain Lodges Limited	29.9	38,291	13,315	21,672	2,900
2006					
Mountain Lodges Limited	29.9	42,501	16,316	25,411	3,954
2007					
Mountain Lodges Limited	29.9	44,183	14,323	28,238	4,842
2008					
Mountain Lodges Limited	29.9	39,932	11,259	14,947	(397)
2009					
Mountain Lodges Limited	29.9	134,749	43,708	75,556	(959)

Notes (continued)

23 Receivables and prepayments

	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Trade receivables – third parties	596,450	687,087	891,226	505,356	465,975
Less: provision for impairment of receivables	(62,193)	(53,585)	(54,232)	(35,406)	(30,777)
Trade receivables – related companies (Note 27)	190	1,237	2,373	2,084	2,512
Net trade receivables	534,447	634,739	839,367	472,034	437,710
Prepayments	40,578	51,095	38,566	22,462	44,459
Advances to related companies (Note 27)	222,704	116,109	82,806	84,818	86,453
Other receivables	105,267	72,178	71,640	51,470	47,649
	902,996	874,121	1,032,379	630,784	616,271

Notes (continued)

23 Receivables and prepayments (continued)

Movements on the provision for impairment of trade receivables are as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of year	53,585	54,232	35,406	29,451	24,530
Provision in the year	8,608	14,855	26,429	13,108	6,522
Receivables written off during the year as uncollectible	-	(15,502)	(7,603)	(7,153)	(1,601)
At end of year	62,193	53,585	54,232	35,406	29,451

In the estimate of the directors, the carrying amounts of the receivables and prepayments approximate to their fair value. The carrying amounts of the Group's receivables and prepayments are denominated in the following currencies:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
US Dollar	335,250	417,553	291,260	181,842	153,177
Euro	5,670	4,276	12,738	11,534	11,413
Sterling Pound	13,914	12,113	34,406	34,319	35,824
Kenya Shillings	548,162	440,179	693,975	403,089	415,857
At end of year	902,996	874,121	1,032,379	630,784	616,271

Notes (continued)

24 Cash and cash equivalents

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Cash at bank and in hand	152,384	120,674	129,701	135,833	104,324
Short term bank deposits	200,000	11,592	31,297	43,725	14,330
	<u>352,384</u>	<u>132,266</u>	<u>160,998</u>	<u>179,558</u>	<u>118,654</u>

For the purposes of the cash flow statement, cash and cash equivalents comprise the following:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Cash and bank balances as above	152,384	120,674	129,701	135,833	104,324
Bank overdrafts (Note 14)	(103,187)	(74,868)	(150,459)	(13,751)	(39,495)
	<u>49,197</u>	<u>45,806</u>	<u>(20,758)</u>	<u>122,082</u>	<u>64,829</u>

Notes (continued)

25 Payables and accrued expenses

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Trade payables	336,878	469,917	618,598	455,856	293,228
Trade payables – related companies (Note 27)	5,041	4,068	3,069	3,459	5,128
Advances from related companies (Note 27)	18,613	63,600	18,177	10,084	7,609
Dividends payable	166	166	166	100	1,759
Accrued expenses and other payables	250,600	241,933	251,660	141,727	168,714
	611,298	779,684	891,670	611,226	476,438

The carrying amounts of the above payables and accrued expenses approximate to their fair values.

On 28 February 2007, the company acquired the remaining share in Tourism Promotion Services (Kenya) Limited from minority shareholders who did not take up the share swap offer made in 2006. Under the legal terms of the transaction, Tourism Promotion Services (Kenya) Limited received, on behalf of the minority shareholders, the full consideration from the company and held it for a period of three years pending claims by the former shareholders. The three year period ended August 2009 and the balance has been transferred to income after seeking appropriate legal advice.

Notes (continued)

25 Payables and accrued expenses (continued)

The movement in the amounts held pending claims by minority shareholders is as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of year	64,361	70,941	-	-	-
Additional liability	-	-	80,910	-	-
Payments made	(2,189)	(6,580)	(9,969)	-	-
Transfer to income	(62,172)	-	-	-	-
At end of year	-	64,361	70,941	-	-

Notes (continued)

26 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Profit before income tax	520,002	330,014	617,380	498,605	140,300
Adjustments for:					
Interest expense (Note 8)	118,735	120,068	145,883	161,715	180,819
Depreciation (Note 18)	214,165	216,002	216,912	205,973	193,141
Amortisation of prepaid operating lease rentals	160	160	160	160	160
Loss/(profit) on sale of property, plant and equipment	166	(1,081)	(2,848)	(3,593)	(1,901)
Share of (profit) / loss from associates (Note 22)	287	397	(4,842)	(3,954)	(2,900)
Effect of currency translation	(43,270)	6,159	1,873	36,360	41,775
Changes in working capital					
– receivables and prepayments	(28,875)	176,117	(401,595)	(14,513)	(130,351)
– inventories	(23,368)	(40,204)	(23,137)	(4,259)	14,458
– payables and accrued expenses	(168,386)	(111,986)	280,444	134,788	(22,744)
– provisions for liabilities and charges	14,161	(26,688)	4,208	11,161	14,603
Cash generated from operations	603,777	668,958	834,438	1,022,443	427,360

Notes (continued)

27 Related party transactions

The group is controlled by Aga Khan Fund for Economic Development SA, incorporated in Switzerland. There are various other companies which are related to the group through common shareholdings, common directorships or through management contracts.

The following transactions were carried out with related parties:

	Sale of goods and services to:				
	2009	2008	2007	2006	2005
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
i)					
Mountain Lodges Limited	7,735	7,941	14,276	5,660	13,038
Diamond Trust Bank Kenya Limited	2,625	156	1,555	1,402	1,374
Farmer's Choice Limited	5	6	26	270	-
Frigoken Limited	281	-	-	81	-
The Jubilee Insurance Company Limited	3,172	2,571	3,784	3,177	3,131
Directors & key management	4,353	1,357	1,155	1,621	1,176
Sweetwaters Tented Camp	-	-	-	-	5,503
TPS (Uganda) Limited	23,617	17,911	2,063	2,051	2,289
Tourism Promotion Services (Rwanda) Limited	25,975	12,453	6,827	-	-
Arusha Duluti Limited	32,798	27,478	1,321	1,314	1,598
Mbuzi Mawe Limited	29,501	25,728	2,764	2,749	3,344
Upekee Lodges Limited	56,623	-	-	-	-
ii)					
Purchase of goods and services from:					
Farmer's Choice Limited	35,553	25,649	32,621	32,261	36,984
Premier Food industries Limited	136	1,184	1,166	1,130	884
The Jubilee Insurance Company Limited	2,339	1,953	1,285	460	17,477
Serena Tourism Promotion Services, S.A.	108,672	110,879	120,840	102,551	57,810

Notes (continued)

27 Related party transactions (continued)

iii) Key management compensation

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Salaries and other short-term employment benefits	87,816	62,219	59,020	51,096	45,381
Post-employment benefits - gratuity	-	-	-	-	-

iv) Directors' remuneration

Fees for services as a director	1,261	791	1,035	1,035	360
Other emoluments (included in key management compensation above)	51,189	32,544	32,250	25,595	21,874
Total remuneration of directors of the Company	52,450	33,335	33,285	26,630	22,234

Notes (continued)

27 Related party transactions (continued)

v) Outstanding balances arising from sale and purchase of goods/services from other related parties

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Receivables from other related parties					
Diamond Trust Bank Kenya Limited	-	-	550	298	419
The Jubilee Insurance Company Limited	190	1,237	1,823	1,786	2,093
	190	1,237	2,373	2,084	2,512
Payables to other related parties					
Farmer's Choice Limited	4,883	3,291	2,816	2,985	3,740
Premier Food industries Limited	-	326	134	430	213
Diamond Trust Bank Kenya Limited	-	317	-	-	-
The Jubilee Insurance Company Limited	158	134	119	44	38
Serena Tourism Promotion Services S.A.	-	-	-	-	1,137
	5,041	4,068	3,069	3,459	5,128

Notes (continued)

27 Related party transactions (continued)

vi) Outstanding balances arising from sale and purchase of goods/services from related parties

Receivables from related parties

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Mountain Lodges Limited	169	-	1,008	-	4,130
TPS (Uganda) Limited	120	-	108	18,421	49,919
Hotel Polana, S.A.	19,207	133	64	-	-
Tourism Promotion Services (Rwanda) Limited	5,387	148	-	-	-
Arusha Duluti Mountain Village	81,590	65,148	51,610	42,493	29,337
Oi Pejeta Ranching Ltd - Hotel Division	93	1,049	-	3,574	-
Serena Tourism Promotion Services S.A.	206	-	-	-	-
Mbuzi Mawe Limited	56,961	49,631	30,016	20,330	3,067
Upekee Lodges Limited	58,971	-	-	-	-
	222,704	116,109	82,806	84,818	86,453

Notes (continued)

27 Related party transactions (continued)

Payables to related parties

Mountain Lodges Limited							
TPS (Uganda) Limited	1,386	11,140	13,676	8,797	-		
Serena Tourism Promotion Services S.A.	6,484	6,893	967	572	7,609		
Hotel Polana, S.A..	-	350	-	701	-		
Ol Pejeta Ranching Ltd - Hotel Division	-	43,891	-	14	-		
Tourism Promotion Services (Rwanda) Limited	-	-	3,534	-	-		
Arusha Duluti Limited	10,743	952	-	-	-		
	-	374	-	-	-		
	18,613	63,600	18,177	10,084	7,609		

Notes (continued)

27 Related party transactions (continued)

vii) Loans to directors of the Company

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
At start of year	2,272	2,796	2,486	920	1,651
Loans advanced	150	-	3,000	5,932	-
Loan repayments received	(726)	(524)	(2,690)	(4,366)	(731)
At end of year	1,696	2,272	2,796	2,486	920
Less: current portion	(669)	(669)	(524)	(2,486)	(920)
Non-current portion	1,027	1,603	2,272	-	-

The loans advanced to directors and key management have the following terms and conditions:

2005	Amount Shs'000	Term Years	Security Shs'000	Interest rate
Loan balance	920	5	4,392	5%
2006				
Loan balance	2,486	5	4,392	5%

Notes (continued)

27 Related party transactions (continued)

vii) Loans to directors of the Company (continued)

	Amount Shs'000	Term Years	Security Shs'000	Interest rate
2007				
Loan balance	2,796	5	4,392	8%
2008				
Loan balance	2,272	5	4,392	8%
2009				
Loan balance	1,696	5	4,392	8%

No provisions for impairment losses have been required in 2005, 2006, 2007, 2008 and 2009 for any related party receivables.

Notes (continued)

28 Contingent liabilities

At 31 December 2009, Tourism Promotion Services (Kenya) Limited had given guarantees amounting to Shs 4,560,000 (2008: Shs 4,560,000) to banks on behalf of third parties for supply of goods and services.

Tourism Promotion Services (Kenya) Limited is a defendant in various legal actions and claims made by third parties. In the opinion of the directors, after taking appropriate legal and other advice, no material liabilities are expected to crystallise from these claims. Consequently no provision has been set against the claims in the books of accounts.

As at 31 December 2009, Mountain Lodges Limited, an associate company of Tourism Promotion Services (Kenya) Limited [TPS(K)], was in dispute with the Kenya Revenue Authority in respect of tax, penalties and interest claim totalling Shs 118 million arising out of provision against debts incurred by the African Tours & Hotels Limited (AT&H) group which managed Mountain Lodge (owned by the company) and which owned 40% equity in the company. These debts were incurred by AT&H group of companies prior to TPS (K) taking over management of Mountain Lodge. TPS(K)'s share of this liability would amount to Shs 35 million. In the opinion of the directors, after taking appropriate advice from the company's tax advisors, no material liability is expected to crystallise from this claim. Consequently, no provision has been set against the claim in the books of accounts.

During the year 2008, National Bank of Commerce Tanzania Limited converted part of Tourism Promotion Services (Tanzania) Limited's [TPS(T)] outstanding Tanzania Shillings borrowings into United States Dollars without the approval of TPS(T). The Company has disputed the conversion and therefore not recognized an exchange loss of Shs 30 million arising from the unauthorized conversion as at 31 December 2009. After having obtained legal advice, the directors are of the opinion that the bank's position has no merit and no further amount is due to the bank.

Notes (continued)

29 Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Property, plant and equipment	-	-	-	73,700	-

Operating lease commitments

	2009 Shs'000	2008 Shs'000	2007 Shs'000	2006 Shs'000	2005 Shs'000
Not later than 1 year	2,699	2,263	998	998	998
Later than 1 year and not later than 5 years	5,555	6,711	3,993	3,993	3,993
Later than 5 years	51,111	52,110	53,111	54,109	55,105
	59,365	61,084	58,102	59,100	60,096

Appendix 2

In compiling the information in Appendix 1 above, we have effected a number of adjustments to the information presented in the audited financial statements. The extent of these adjustments is set out below; the adjustments are based on unaudited information provided to us by management.

- a) A statement of comprehensive income has been prepared for each of the financial year ended 31 December 2005 to 2007 in addition to 2008 and 2009, although IAS 1 revised only became effective on 1 January 2009.
- b) Disclosures on credit risk, liquidity risk and market risk, have been prepared for the financial year ended 31 December 2005 in addition to 2006, 2007, 2008 and 2009, although IFRS 7 only became effective on 1 January 2007.
- c) Disclosures on segment reporting have been modified for each of the financial year ended 31 December 2005, 2006 and 2007.
- d) Earnings per share computations for the year 2006 and 2005 have been adjusted for the bonus issue made in 2007.

Appendix 3 – Financial ratios for the five years ended 31 December 2009 and for the 2009 proforma financial information

		Audited					Proforma
		2005	2006	2007	2008	2009	2009 Adjusted
1	Earnings Before Interest and Taxes (EBIT) interest cover	1.8	4.1	5.2	3.8	5.4	6.8
2	Operating Cash flow to total debt percentage	23.5%	62.4%	56.9%	48.4%	42.8%	53.3%
3	Free cash flow to total debt percentage	3.2%	33.2%	15.8%	29.5%	15.6%	(58.9%)
4	Total free cash flow to total short term debt obligation	70.9%	2,586.5%	99.6%	227.9%	175.3%	(101.3%)
5	Net profit margin	0.8%	10.2%	11.4%	6.9%	9.3%	10.9%
6	Post tax return (before financing costs) on capital employed	5.6%	11.3%	11.7%	7.2%	9.9%	10.8%
7	Long-term debt capital employed ratio	55.6%	54.9%	35.7%	28.7%	28.9%	24.7%
8	Total debt to equity ratio	0.84	0.60	0.42	0.37	0.36	0.31

ANNEXURE II

LIST OF MATERIAL LITIGATION

TPS EASTERN AFRICA LIMITED - PENDING LEGAL CASES AS AT 26 APRIL, 2010				
	CASE NO AND PARTIES	NATURE OF CLAIM	ADVOCATES ON RECORD FOR TPS	STATUS
1	HCCC No. 1221 of 2005 Trans-Mara County Council Vs. TPSEA	Trans-Mara County Council (TMCC) filed suit challenging the validity of the Lease signed between themselves and TPSEA. TMCC has consequently declined to facilitate registration of the Lease as required under the Local Government's Act. TPSEA lawyers have advised Management that there is high probability that judgment will be in favour of TPSEA. However, if the Court rules against TPSEA, the damages that TPS will suffer in terms of projected business for remainder of the lease period is estimated at KES. 4 billion. TPSEA has counterclaimed for the loss of prospective business.	Daly & Figgis Advocates, and Oraro & Company Advocates, Kenya	Matter mentioned in Court on 2 November 2009 for directions. Pending hearing.
2	Arbitration cause between TPS and Isiolo County Council	This dispute is in regard of breach of contract arising from the Agreement to Lease signed between Isiolo County Council (ICC) and TPSEA. In the Agreement to Lease, TPSEA was granted a 12km exclusivity zone. Contrary to the terms of the Agreement, ICC allocated a third party a site within the exclusive zone without TPSEA's consent. ICC alleged that the terms and conditions of the Agreement to Lease were unfavourable to the Council and sought to renegotiate terms. Negotiations to settle the dispute out of Court were unsuccessful and consequently, TPSEA commenced arbitration in accordance with the Agreement to Lease. TPSEA lawyers have advised that chances of success are high. Loss of business is estimated to be over KES 5 million.	Oraro & Company Advocates, Kenya	Following the flood at SSSL, it was agreed to take out the matter from the Arbitration list of 18 March 2010. Discussions between parties ongoing.
3	HCCC No. 907 of 2009 Kenya Canvas Limited Vs. TPSEA	This is a debt collection matter. Kenya Canvas Limited has claimed KES. 6,006, 422,00 (plus costs for the suit and interest) from TPSEA for alleged goods sold, delivered and not paid for.	Walker Kontos Advocates	Application for summary judgment was argued on 26 April 2010. Ruling to be delivered on 2 July 2010.
4	TPS (T) Vs National Bank of Commerce (NBC)	TPS (T) has sought a declaration that conversion by NBC of part of TPS (T)'s Tanzania Shillings designated loan in equivalent of US \$ 4,000,000 loan to a dollar designated loan was unlawful and that TPS (T) would not be responsible of any	Rex Attorneys , Tanzania	Pleadings closed. Mediation scheduled for 9 th and 10 th June 2010.

	consequences arising therefrom. Exposure lies with the foreign exchange loss, costs of the suit and interest that could exceed an equivalent of KES. 30 million.		
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As at 31 December 2009, Mountain Lodges Limited, an associate company of TPS (K), was in dispute with the Kenya Revenue Authority in respect of tax, penalties and interest totalling KES 118 million arising out of provision against debts incurred by the African Tours & Hotels Limited (AT&H) group which managed Mountain Lodge (owned by the company) and which owned 40% equity in the company. These debts were incurred by AT&H group of companies prior to TPS (K) taking over management of Mountain lodge. TPS (K)'s share would amount to KES 35 million. In the opinion of the directors, after taking appropriate advice from the company's tax adviser, no material liability is expected to crystallise from this claim. Consequently, no provision has been set against the claim in the books of accounts.

ANNEXURE III

GLOBAL CREDIT RATING REPORT

TPS Eastern Africa Limited

Kenya Corporate Analysis

June 2010

Security class	Rating scale	Currency	Rating	Rating watch	Expiry date
Long term	National	KShs	A-	No	06/2011
Short term	National	KShs	A2		

Financial data:

(US\$m comparative)

	31/12/08	31/12/09
KShs/US\$ (avg.)	71.5	80.0
KShs/US\$ (close)	84.0	79.2
Total assets	63.8	74.1
Total debt	15.4	19.4
Total capital	31.8	37.7
Cash & equiv.	1.6	4.5
Turnover	45.4	51.0
EBITDA	9.7	10.7
NPAT	3.1	4.8
Op. cash flow	6.6	5.8

Market cap.* US\$67.9m

Market share n.a.

* As at 28/05/2010 at KShs76.4/US\$.

Fundamentals:

Incorporated in 1970 and listed on the NSE in 1997, TPS Eastern Africa ("TPSEA") Limited (formerly TPS Holdings Limited) is a tourism group which owns, manages and operates hotels, resorts & lodges in Kenya, Tanzania, Zanzibar, Uganda, Rwanda and Mozambique. Operating under the aegis of the Serena hotels brand, TPSEA is an associate of the Aga Khan Fund for Economic Development ("AKFED"), which holds a 44.7% stake. Other major shareholders at FYE09 included the International Finance Corporation (11.4%), Jubilee Insurance Company of Kenya Limited (6.4%) and Industrial Promotion Services (Kenya) Limited (5.2%).

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Rating rationale

The rating is based on the following key factors:

- The group's entrenched position in the East African tourism industry, supported by its strong brand and extensive hotel network. Moreover, AKFED's shareholding and implicit support were considered in support of the rating.
- TPSEA has maintained double-digit profit margins over the review period, albeit experiencing waning revenues and earnings in F08. Strong earnings are expected going forward on the back of resurgent tourism patterns in the region.
- Gearing levels have traditionally been impacted by significant capex requirements and have declined steadily as the group utilises additional capacity. Levels were below forecast at FYE09.
- The raising of about KShs1.2bn by way of a rights issue (along with internally generated funds) is expected to finance the bulk of the planned KShs2.2bn capex for F10, further improving credit protection factors. While the extension of the Nairobi Serena and the acquisition/construction of new premises saw TPSEA secure approval for a KShs1bn bond issue in 2009, gearing levels should remain moderate going forward, as the bond will be raised in periodic KShs200m tranches as the need arises.
- While cash generation improved steadily, save for a decline reported against weaker earnings in F08, operating cash flows were erratic over the review period.
- Although regional integration and improving tourism inflows bode positively for the group, the tourism industry remains highly susceptible to global economic fortunes and political stability. However, corporate business travel, which makes up about 70% of hotel revenues, is less volatile.

Funding profile

Shareholders interest rose by 12% to KShs3bn at FYE09, on the back of retained earnings. Total borrowings increased by 19% to KShs1.5bn at FYE09, with short term debt comprising a higher 21% of the total (FYE08: 18%). As such, net debt to equity improved to 40% at FYE09 (FYE08: 43%), while net debt to EBITDA was reported at 138% (FYE08: 167%), below forecasts of 150%. Cash holdings improved to KShs352m, from KShs132m previously, which saw cash coverage of short term debt rise to 1.1x (FYE08: 0.6x). The improved operating performance translated to improved debt serviceability, with net interest cover of 5.4x in F09 (F08: 4x), compared to the budgeted 6.1x. However, operating cash flow covered total interest bearing debt by a lower 30% (F08: 36%).

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Background & recent developments

Having commenced operations in 1970 as the Serena Group, TPSEA has evolved into a strong regional brand, comprising 18 luxury properties in Kenya, Tanzania and Zanzibar. As a part of its transition, the group was initially listed as Tourism Promotion Services Limited (“TPSL”) in 1996 and acquired additional properties in line with the group’s overall strategy to cover the entire Kenyan Safari Circuit. In order pursue geographical expansion and to achieve critical mass, the group was split into TPSEA, which was listed on the NSE in 2006, while TPSL was delisted and renamed Tourism Promotion Services (Kenya) Limited (“TPS (K)”), a TPSEA subsidiary.

TPSEA properties currently comprise 1,079rooms and are located in strategic tourist and urban locations in order to provide a holistic offering to the client. The group also owns/manages the Serena Beach Hotel & Spa in Mombasa and seven safari lodges in Kenya, in addition to the flagship, five-star Nairobi Serena Hotel. In Tanzania, TPSEA operates nine properties in total.

The majority shareholder remains the Aga Khan Fund for Economic Development (“AKFED”), with a 45% stake. AKFED is the for-profit arm of the Aga Khan Development Network (“AKDN”), an international development agency with interests in Africa and Asia. AKFED’s involvement in tourism development falls under Tourism Promotion Services (“TPS”). The TPS group operates under the *Serena* and *TPS* brands and owns and manages hotels and resorts in Eastern Africa and Asia. AKFED and its DFI partners, including IFC, PROPARCO, Norfund and DEG continue to expand the Serena footprint, leveraging off the success of key resorts and properties in sub Saharan Africa and Asia.

TPSEA properties	
Kenya	Tanzania/Zanzibar
Nairobi Serena Hotel	Kirawira Luxury Tented Camp
Serena Beach Hotel & Spa, Mombasa	Lake Manyara Serena Safari Lodge
Amboseli Serena Safari Lodge	Serengeti Serena Safari Lodge
Samburu Serena Safari Lodge	Ngorongoro Serena Safari Lodge
Mara Serena Safari Lodge	Serena Mountain Village*
Kilaguni Serena Safari Lodge	Mbuzi Mawe Tented Camp*
Serena Mountain Lodge*	Zanzibar Serena Inn
Sweetwaters Tented Camp*	Selous Wildlife Lodge*
Oi Pejeta House*	Mivumo River Lodge*
Lake Elmentaita Luxury Tented Camp**	Mangapwani Beach Resort
Enlarged Serena Group properties	
Africa	Pakistan
Kampala Serena Hotel - Uganda	Islamabad Serena Hotel
Lake Victoria Serena Resort-Uganda	Faisalabad Serena Hotel
Kigali Serena Hotel - Rwanda	Quetta Serena Hotel
Lake Kivu Serena Hotel - Rwanda	Swat Serena Hotel
Polana Serena Hotel - Mozambique	Gilgit Serena Hotel
	Hunza Baltit Inn
	Shigar Fort Residence
Afghanistan	Tajikistan
Kabul Serena Hotel	Khorog Serena Hotel
	Dushanbe Serena Hotel

* Managed by TPSEA.

**Under construction.

Properties in the rest of Africa will be incorporated into TPSEA in the medium term, when their performance and financial state is aligned with the Kenyan and Tanzanian operations. The group continues to operate under rigorous AKFED operating, quality, risk management and profitability standards. As an integrated single business unit, the group derives cost and management synergies in treasury and cost management and has centralised and streamlined administrative functions such as marketing and sales services for all its properties.

Recent developments: The group recently completed a 44 room extension of the Kigali Serena Hotel and the upgrade of the Polana Hotel in Maputo. Besides key additions to its portfolio (including Lake Victoria Serena Resort in November 2009), a number of developments are currently under way to increase the group’s regional presence. TPS Tanzania is concluding the acquisition of 51% of the issued shares of Upekee Lodges Limited (a company that owns two lodges in the Selous game reserve in Southern Tanzania), as well as the assets of Mountain Village and Mbuzi Mawe Tented Camp, two resorts in Arusha and the Serengeti. In addition, the group is set to carry out a major upgrade of its flagship Nairobi Serena Hotel in Kenya (pending planning approval), which will see the addition of conference facilities, 75 rooms and underground parking by FYE11.

Other upgrade/construction projects include:

- rebuilding of the recently flooded Samburu Safari Lodge;
- building of a luxury lodge near the gorilla viewing area in Rwanda;
- acquisition of Jaja Limited, an SPV by TPS (K), to facilitate the development of three properties in Nanyuki, Nakuru and Elementaita, thereby enhancing the western safari circuit (Kenya);
- construction of lodges and tented camps in southern Tanzania and
- an upgrade of Amboseli Serena and Kilaguni Serena safari lodges.

The majority of funding for the KShs2.2bn capex programme for F10 will be derived from a KShs1.2bn rights issue, which should see shareholders subscribe for one new share for every five shares currently held. The balance will be derived mainly from internal cash flows and a second tranche of KShs200m from the five year note programme. In addition, shareholders will benefit from a bonus issue. Formal approvals from CMA and NSE are awaited for the bonus and rights issues to proceed. While the note programme is still going to be drawn down as the need arises, it will be issued in tranches of KShs200m, thereby curbing liquidity strain and maintaining target gearing levels. The initial tranche, issued in F09, was fully subscribed.

Operations

Notwithstanding the impact of the global economic crisis, revenue from Kenyan operations rose by 31% in

F09. This was underpinned by increased arrivals registered by hotels, which reported 30% growth in turnover to KShs1.7bn. Business similarly picked up for lodges, with the division managing a 32% increase in revenue to KShs791m in F09. In contrast, arrivals stagnated in Tanzania, a factor which saw revenue decline by 3% to KShs1.3bn. Occupancy for Kenyan operations improved to average 70% in F09 (F08: 54%), while Tanzanian operations registered largely unchanged occupancy of about 75%. Overall occupancy translated to about 72% in F09, from 61% in F08.

Geographical diversification (KShs'm)		Kenya	Tanzania	Unallocated items	Total
Revenue	F08	1,899.8	1,343.4	--	3,243.2
	F09	2,486.1	1,302.7	288.9	4,077.7
Op. profit	F08	134.0	341.3	-	475.3
	F09	400.2	194.8	49.6	644.6
Op. margin (%)	F08	7.1	25.4	--	14.7
	F09	16.1	15.0	--	15.8
Total assets*	F08	2,578.6	2,024.3	1,904.1	6,507.0
	F09	2,675.6	2,319.5	2,001.1	6,996.2

*Including intangible and deferred tax assets.

The recession saw a decline in discretionary spend by consumers on a global scale. As such, tourists became highly price sensitive, negatively impacting branding initiatives. In addition, shorter lead times on bookings for hotel offers were prevalent (in order to take advantage of discounts), while customers significantly reduced the average length of stay. In order to preserve margins, the group implemented a number of initiatives that included:

- reviewing the *rate and response* strategy in order to respond timeously to fluctuations in demand;
- increasing focus on value perception, delivery and reducing reliance on discounting;
- improving relations with business suppliers, including partnering with online agents;
- implementing a new business mix, along with efficient yield management to capitalise on new growth opportunities.

This saw the operating margin for Kenyan operations improve by nine percentage points in F09, while the group margin rose marginally to 16%. Tanzanian operations, which had benefited from business diverted from Kenya in F08 saw margins decrease to more sustainable levels, considering rising staffing, utility and fuel costs. Despite these changes, the bulk of group revenue derived from tour operators and group bookings in F09. In addition, hotels continue to rely on corporate clientele, while about 80% of lodge arrivals are from foreign destinations.

Operating environment

Key economic indicators		2008	2009*	2010e
Real GDP growth (%)	Kenya	1.7	2.5	4.0
	Tanzania	7.4	5.0	5.6
Underlying inflation (%)	Kenya	13.1	12.0	7.8
	Tanzania	10.3	10.6	4.9
Real GDP per capita (US\$)	Kenya	838.3	842.0	944.1
	Tanzania	520.0	546.6	572.3
Avg. exchange rate (per US\$)	Kenya	71.5	80.0	n.a
	Tanzania	1,215.0	1,345.0	n.a

Estimates.

Source: IMF.

Kenya: Following a marked decline in real economic growth to just 1.7% in 2008 (2007: 7.1%), the economy recorded growth of 2.5% in 2009. The agriculture sector dampened economic performance, as a result of erratic rainfall patterns and lingering displacement of people due to post-electoral political unrest. While value add in manufacturing declined, wholesale, retail trade, transport and construction recorded positive growth owing to latent demand underpinned by a liquid market. Tourism contributed a sizeable 12% of GDP, driven by a 30.7% increase in arrivals in 2009, following a 30.5% decline in 2008. Recent improvements in rainfall patterns and the envisaged impact on food, energy and water supply bode positively for growth going forward.

With the withdrawal of capital from emerging markets owing to the financial crisis, the Shilling depreciated notably, breaching the KShs80.00/US\$ mark in 2H 2008. Thereafter, the currency strengthened to around KShs76/US\$ from November 2009, on the back of a largely stable economic environment, albeit remaining well below highs achieved prior to the December 2007 elections. While some volatility is still in evidence, with the Shilling having depreciated to KShs79/US\$ in 1Q 2009, the currency averaged KShs75/US\$ in April 2009. TPSEA's rates are hard currency denominated, resulting in a mismatch between hard currency-denominated receipts and a Shilling denominated costs. Positively, a depreciation of the Shilling makes Kenyan destinations more price competitive. The group manages foreign exchange risk by employing natural hedges, such as holding US\$ cash balances against hard currency denominated payables. In addition, prepayments are made for goods and services where possible, to lock in prices, while foreign exchange receipts are converted on an ongoing basis to cater for operating requirements. As such, management estimated that a 5% strengthening of the Shilling would have reduced NPBT by just KShs3m in F09.

Tanzania: The country has made significant progress over the past two decades to achieve macro-economic stability, becoming one of the fastest growing economies in Sub-Saharan Africa. Economic growth has been maintained around 7% since 2000, albeit registering at 5% in 2009 in the face of the global crisis. Sound macroeconomic policies, market-oriented reforms, and debt relief have provided an enabling environment for robust growth. Inflation however, accelerated due to high global oil and food prices, reaching 11% in June 2009. As drought and the food crisis ease, it is expected that year-on-year inflation will fall back to single digits by the end of 2010.

Tanzanian tourism has performed strongly in the last decade contributing a strong 16% of GDP and about 25% of export earnings. However, the sector was negatively impacted by the global recession, with arrivals plunging by 50% on the mainland and by 12% in Zanzibar. The impact on earnings was exacerbated by a power outage during Zanzibar's peak holiday season

in 2009. Positively, the government continues to promote the sector strongly, while its stance on curbing environmental degradation has seen domestic safari attract higher premium rates than Kenya. Coupled with rising FDI and recovering tourism statistics, this bodes positively for the sector going forward.

Strong economic growth sustained the value of the Tanzanian Shilling for last decade. From about TShs1,150/US\$ in 1H 2008, the currency evidenced a sharp depreciation to nearly TShs1,400/US\$ by year end due to the flight of capital from emerging markets and the rising cost of imports (Tanzania is a net importer). The currency has since stabilised above TSh1,350/US\$ since January 2009, despite the moderation in international commodity prices.

Competitive & regulatory environment

The high initial investment requirements and ongoing capital outlay typical of the business present significant barriers to entry to small players. Further hindrances derive from rigorous licencing and monitoring requirements in both countries, aimed at maintaining operating standards and preserving a fragile environment (particularly on the coast and safaris). However, the increased participation by larger players such as the Crowne Plaza, Radisson and Tribe branded hotels has somewhat impinged on TPSEA hotels' market share in the region. Competitive pressures are likely to remain a major consideration going forward as other hotel groups expand into the region, justifying the group's product value enhancement initiatives.

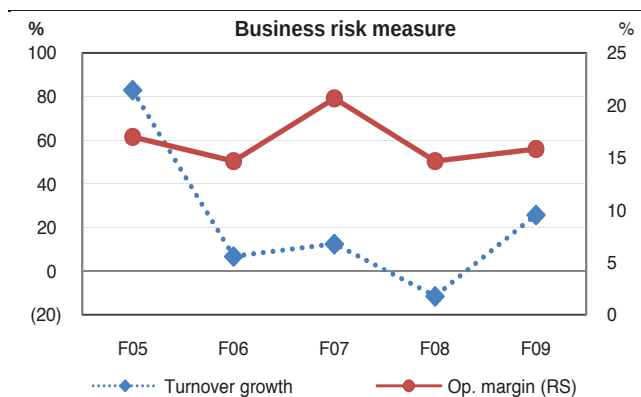
Financial performance

A five-year financial synopsis is reflected at the end of the report and brief comment follows hereafter.

Income statement (TShs'm)	F08	F09	F09	%
	Actual	Actual	Forecast	variance
Turnover	3,243.2	4,077.7	3,785.5	7.7
EBITDA	691.3	858.7	950.5	(9.7)
Depreciation	(216.0)	(214.2)	(214.2)	(0.0)
Operating income	475.3	644.6	736.3	(12.5)
Net finance charges	(120.1)	(118.7)	(120.3)	(1.3)
Forex losses & other	(24.8)	(5.6)	-	n.a
NPBT	330.4	520.3	613.2	(15.2)
Operating profit margin	14.7	15.8	19.5	--
Net interest cover	4.0	5.4	6.1	--

Revenue grew strongly on the back of increased capacity in F05, stabilising in F06-F07. However, following post electoral violence at the beginning of F08 and the economic crisis towards year end, revenues fell by 12% to KShs3.2bn. The extent of the decline was mitigated by the group's geographic diversification, with tourists substituting Kenyan vacations for other regional destinations, but staying within the group. Positively, the turnover improved by 26% to a review period high of KShs4bn in F09, exceeding expectations. This was achieved on the back of an 11% increase in arrivals to 376,813 guests. Earnings strengthened to KShs645m in F09 (F08: KShs475m), albeit falling behind budget. As such, the operating margin improved to 15.8%, up from 14.7% previously.

While borrowings increased and effective interest rates rose in F09, finance charges remained largely unchanged in F09 at KShs119m. This resulted from the late uptake of additional debt. As such, the interest implications of these borrowings are likely to impact earnings in F10. Following negligible exchange losses of KShs6m, NPBT rose by 57% to KShs520m in F09, albeit falling behind aggressive earnings projections.



Cash generated from operations was closely aligned to EBITDA in the years F06-F09 and improved by 21% to KShs810m on the back of stronger earnings in F09. Working capital requirements have fluctuated widely over the review period, largely due to varying cash management strategies employed to contain sizeable debtors and to garner business. While lower business activity in F08 saw the group register a negligible absorption (on the back of a sizeable debtors release and declining payables), a KShs207m absorption was reported in F09. This largely resulted from a continued decline in creditors as the debtors book evidenced little growth in F09. Following net finance charges of KShs119m (F08: KShs120m) and taxation of KShs25m (F08: KShs80m), cash flow from operations was reported at KShs460m in F09 (F08: KShs469m).

Capex

Over recent years TPSEA has directed the bulk of its capex to Kenyan operations (which account for nearly 40% of the group's asset base). Group capex typically falls into three categories, namely, *replacement*, *new and expenditure with a profit attachment*. The last category comprises expansionary capex and accounts for nearly 90% of the Kenyan operation's total F10 projected spend. Capex spend in recent years followed a five year cycle, over which major expansionary capex is undertaken in the initial year, followed by four years in which the group utilised the additional capacity. This notwithstanding, maintenance capex is generally sizeable, as the group has a policy of continuous replacement of upholstery & furnishings and a 3-5 year replacement cycle on property fixtures. In addition, deficient infrastructure in the region has seen TPSEA's lodges generate their own power, whilst hotels have back-up generators. In addition, the group recently installed complimentary WiFi services at the Nairobi Serena Hotel. A document management system was introduced in Tanzania in F09, while a data link between Tanzania and Kenya was completed. Despite

these improvements, the group limited total capex spend to KShs359m in F09, falling within budget and below the review period high reported in F06. Overall, a moderate increase in net debt of KShs24m was reported in F09, against a KShs155m decline previously.

Gearing & funding profile

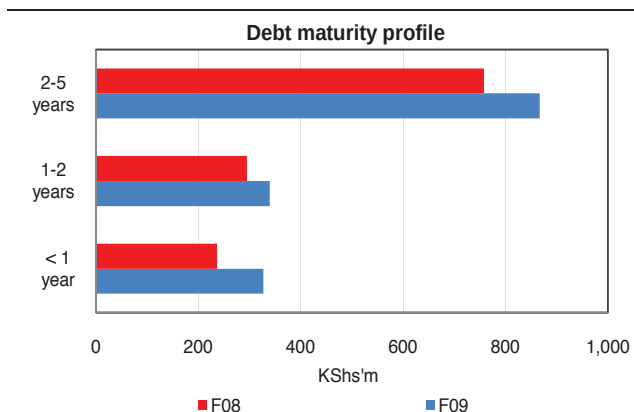
As at FYE09, 72% of TPSEA's asset base was vested in fixed assets (FYE08: 75%), while a further 20% comprised non-cash current assets, attesting to the capital intensive nature of the business. Receivables & prepayments accounted for 15% of the asset base at FYE09. A lower 55% of the debtors book was fully performing (FYE08: 61%), while the balance was past due but largely unimpaired. Positively, debtors days improved to 48 days, from 53 days previously. Debtors are generally accorded 30 days within which to settle their accounts, with 45 day terms extended to select clients after rigorous vetting procedures. Coupled with strong relationships with tour operators and travel agents, this has significantly limited the incidence of bad debts.

Funding profile (TShs'm)	F08	F09	F09
	Actual	Actual	Forecast
Shareholders' interest	2,673.1	2,986.5	3,027.4
Short term debt	236.7	326.7	231.9
Long term debt	1,052.8	1,206.8	1,211.6
Total interest-bearing debt	1,289.5	1,533.5	1,443.5
Interest-free liabilities	1,400.2	1,348.8	n.a
Total liabilities	5,362.7	5,868.9	n.a
Fixed assets	4,015.3	4,249.5	n.a
Investments and advances	97.5	97.1	n.a
Cash & cash equivalents	132.3	352.4	17.3
Other current assets	1,117.7	1,169.9	n.a
Total assets	5,362.7	5,868.9	n.a
Net gearing (%)	43.3	39.5	47.7
Net debt: EBITDA (%)	167.4	137.5	150.1
Op. CF: total debt (%)	36.3	30.0	n.a
Net interest cover (x)	4.0	5.4	6.1
Cash: ST debt (x)	0.6	1.1	0.1

Group assets at FYE09 were primarily funded by equity (51%) and debt (26%), with creditors accounting for a further 10% of the total. With the exception of FYE08 (where earnings were constrained) shareholders interest improved steadily over the review period. Specifically, shareholders equity rose by 12% to KShs3bn at FYE09, underpinned by retained earnings. Interest bearing debt increased by 19% to KShs1.5bn at FYE09, with short term debt comprising a higher 21% of the total (FYE08: 18%). Debt levels have evidenced little fluctuation over the period under review, resulting in a steady improvement in credit protection factors. While gross gearing was reported at a higher 51% at FYE09 (FYE08: 48%), net gearing improved to 40% (FYE08: 43%). Earnings based gearing ratios both improved at FYE09, with gross and net debt to EBITDA reported at 179% and 138% respectively (FYE08: 187%; 167%).

The stronger operating performance translated to enhanced debt serviceability, with net interest cover of 5.4x in F09 (F08: 4x). Cash holdings improved to a review period high of KShs352m, from KShs132m previously, translating to cash coverage of short term

debt of 1.1x (FYE08: 0.6x). However, operating cash flow covered total interest bearing debt by a lower 30% (F08: 36%). While all major facilities were utilised at FYE09, the group has access to facilities for day to day requirements.



At FYE09, 72% of the group's long term debt reflected a term to maturity of between 2 and 5 years. In addition, bank loans and overdrafts are secured by certain group assets. About 56% of the group's long term debt was domiciled in Tanzania at FYE09 and included a US\$2.9m secured loan with Barclays Bank Tanzania, repayable over the remaining 4 years. The remaining loans are denominated in the currency of the country where the debt originated and excepting the corporate bond, were extended by Barclays Bank Kenya Limited, Diamond Trust Bank Tanzania Limited and National Bank of Commerce Limited (Tanzania).

Future prospects

1H F10 is expected to have lower performance, coinciding with the traditional low season period for the East African tourism industry. However, improved arrival statistics and the impending traditional peak period point towards a stronger 2H F10.

The bulk of the group's significant capex spend is expected to be undertaken in 2H F10, with funds raised over the same period. In keeping with the group's net gearing target of 25-40% (before capital is adjusted for goodwill), equity raised through the rights issue is expected to finance a significant portion of assets, while debt levels remain largely unchanged.. Cognisance is, however, taken of warnings of a second possible recession on the back of the European debt crisis, erratic weather patterns and increased competitive pressures in the region, which are likely to impact profitability in the medium term.

TPS Eastern Africa Limited

(KShs in millions except as noted)

Income Statement	Year end : 31 December	2005	2006	2007	2008	2009
Turnover		3,059.5	3,264.0	3,667.7	3,243.2	4,077.7
EBITDA		712.8	897.4	975.3	691.3	858.7
Depreciation		(193.1)	(206.0)	(216.9)	(216.0)	(214.2)
Operating income		519.7	691.4	758.4	475.3	644.6
Net finance charges		(180.8)	(161.7)	(145.9)	(120.1)	(118.7)
Exchange loss/gain		(201.4)	(35.1)	0.0	(24.8)	(5.6)
Net profit before tax		137.4	494.7	612.5	330.4	520.3
Taxation charge		(117.4)	(165.9)	(200.9)	(107.3)	(139.3)
Net profit after tax		20.0	328.7	411.6	223.1	381.0
Attributable earnings		(21.7)	309.2	414.4	222.7	380.7

Cash Flow Statement

Cash generated by operations	551.4	886.0	974.5	671.7	810.2
Utilised to increase working capital	(124.0)	127.2	(140.1)	(2.8)	(206.5)
Net finance charges paid	(180.8)	(152.4)	(145.9)	(120.1)	(118.7)
Taxation paid	(115.8)	(38.2)	(52.2)	(80.2)	(24.7)
Cash flow from operations	130.7	822.5	636.3	468.7	460.4
Maintenance capex*	(193.1)	(206.0)	(216.9)	(160.1)	(214.2)
Discretionary cash flow from operations	(62.4)	616.6	419.4	308.7	246.2
Dividends paid	(37.2)	(54.5)	(110.3)	(132.3)	(132.3)
Retained cash flow	(99.7)	562.1	309.1	176.3	113.9
Net expansionary capex	(65.7)	(240.9)	(223.0)	0.0	(145.0)
Investments and project working capital	38.8	2.8	(114.6)	(23.3)	6.7
Proceeds on sale of assets/investments	6.3	5.9	3.7	2.0	0.5
Shares issued	0.0	0.0	0.0	0.0	0.0
Cash movement: (increase)/decrease	(85.2)	(60.9)	18.6	28.7	(220.1)
Borrowings: increase/(decrease)	205.4	(268.9)	6.2	(183.8)	244.1
Net increase/(decrease) in debt	120.3	(329.8)	24.8	(155.0)	24.0

Balance Sheet

Ordinary shareholders interest	1,365.3	2,322.2	2,600.5	2,673.1	2,986.5
Outside shareholders interest	289.5	42.5	0.0	0.0	0.0
Total shareholders' interest	1,654.8	2,364.7	2,600.5	2,673.1	2,986.5
Short term debt	250.5	27.9	393.9	236.7	326.7
Long term debt	1,564.3	1,433.5	1,079.4	1,052.8	1,206.8
Total interest-bearing debt	1,814.8	1,461.5	1,473.3	1,289.5	1,533.5
Interest-free liabilities	556.4	1,076.2	1,500.8	1,400.2	1,348.8
Total liabilities	4,026.1	4,902.5	5,574.6	5,362.7	5,868.9
Fixed assets	3,080.7	3,873.6	4,103.4	4,015.3	4,249.5
Investments and advances	34.6	38.4	74.5	97.5	97.1
Cash and cash equivalent	118.7	179.6	161.0	132.3	352.4
Other current assets	792.2	811.0	1,235.7	1,117.7	1,169.9
Total assets	4,026.1	4,902.5	5,574.6	5,362.7	5,868.9

Ratios

Cash flow:

Operating cash flow : total debt (%)	7.2	56.3	43.2	36.3	30.0
Discretionary cash flow : net debt (%)	neg	48.1	32.0	26.7	20.8

Profitability:

Turnover growth (%)	82.9	6.7	12.4	(11.6)	25.7
EBITDA : revenues (%)	23.3	27.5	26.6	21.3	21.1
Operating profit margin (%)	17.0	14.7	20.7	14.7	15.8
EBITDA : average total assets (%)	17.9	20.8	19.2	13.0	16.0
Return on equity (%)	neg	16.8	16.8	8.4	13.5

Coverage:

Operating income : gross interest (x)	2.8	4.3	5.2	4.0	5.4
Operating income : net interest (x)	2.9	4.3	5.2	4.0	5.4

Activity and liquidity:

Trading assets turnover (x)	37.0	27.7	29.4	26.0	28.3
Days receivable outstanding (days)	40.0	40.2	53.7	52.6	48.0
Current ratio (:1)	1.1	1.1	1.0	1.1	1.4

Capitalisation:

Net debt : equity (%)	102.5	54.2	50.5	43.3	39.5
Total debt : equity (%)	109.7	61.8	56.7	48.2	51.3
Net debt: EBITDA (%)	238.0	142.8	134.5	167.4	137.5
Total debt : EBITDA (%)	254.6	162.9	151.1	186.5	178.6

* Depreciation used as a proxy.

ANNEXURE IV

LIST OF AUTHORISED AGENTS Members of the Nairobi Stock Exchange

Licensed Investment Banks	
Kestrel Capital (East Africa) Ltd 5th Floor, ICEA Building, Kenyatta Avenue PO Box 40005, 00100, Nairobi. Tel: 2251758/2251893 info@kestrelcapital.com	Standard Investment Bank Ltd 16th floor, ICEA Building, Kenyatta Avenue PO Box 13714, 00800, Nairobi. Tel: 2228963/2228967. info@sib.co.ke
Afrika Investment Bank Ltd 9 th Floor, Finance House, Loita Street PO Box 11019, 00100, Nairobi. Tel: 2210178/2212989 info@afrikainvestmentbank.com	Apex Africa Capital Ltd 4th Floor, Rehani House, Koinange Street P.O. Box 43676, 00100, Nairobi. Tel: 242170/2220517 invest@apexafrica.com
CFC Stanbic Financial Services Ltd Stanbic Building, 1 st Floor Kenyatta Avenue PO Box 47198, 00100 Nairobi. Tel: 3638900, cfcfs@cfcgroup.co.ke	Drummond Investment Bank Ltd 2 nd Floor, Hughes Building, Kenyatta Avenue, PO Box 45465, 00100, Nairobi. Tel: 318690/318689 Info@drummond.com
Dyer & Blair Investment Bank Ltd 10th Floor, Loita House, Loita Street PO Box 45396, 00100, Nairobi. Tel: 3240000/2227803 shares@dyerandblair.com	Faida Investment Bank Ltd 1st Floor, Windsor House, University Way PO Box 45236, 00100, Nairobi. Tel: 243811-13 info@faidastocks.com
Renaissance Capital (Kenya) Ltd 6th Floor, Purshottam Place, Chiromo Road PO Box 40560-00100 Nairobi. Tel : 3682000/3754422	Sterling Investment Bank Ltd 11th Floor, Finance House, Loita Street P.O. Box 45080, 00100, Nairobi. Tel: 2213914/244077 info@sterlingstocks.com
Suntra Investment Bank Ltd 10 th Floor, Nation Centre, Kimathi Street PO Box 74016, 00200, Nairobi. Tel: 2870000 info@suntra.co.ke .	Genghis Capital Ltd 5th Floor, Prudential Building, Wabera Street P.O Box 1670-00100, Nairobi. Tel : 2337535/36 info@gencap.co.ke

Licensed Stockbrokers	
African Alliance Kenya Securities Ltd 1 st Floor, Trans-national Plaza Mama Ngina Street PO Box 27639, 00506 Nairobi Tel: 2762000/2762557 securities@africanalliance.co.ke	Kingdom Securities Limited 5 th Floor Co-operative House, Haile Selassie Avenue PO Box 48231- 00100, Nairobi. Tel : 3276000 info@kingdomsecurities.co.ke
ABC Capital Ltd 5th Floor, IPS Building, Kimathi Street PO Box 34137, 00100, Nairobi. Tel : 2246036/2245971 headoffice@abccapital.co.ke	Discount Securities Ltd (under statutory management) NHIF Building PO Box 42489, 00100, Nairobi Tel: 2219552/38, 2773000 discount@dsl.co.ke
NIC Capital Securities Ltd NIC House, Masaba Road PO Box 63046, 00200, Nairobi. Tel: 2016482/3 invest@nic-capital.com	Reliable Securities Ltd 6 th Floor, IPS Building, Kimathi Street PO Box 50338, 00200, Nairobi. Tel: 2241350/4/79 info@reliablesecurities.co.ke

DIAMOND TRUST BANK KENYA LIMITED

Bank Name/ Branch	Sort Code	Physical Address	Postal Address	Tel. No.	Business Hours From-To
Head Office	63-000	Nation Centre, 8th floor Kimathi Street	61711 - 00200 NAIROBI	(20) -2849000, 2210983/5/6/8	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Nation Centre Branch	63-001	Nation Centre, Ground Floor Kimathi Street	61711 - 00200 NAIROBI	(20) -2849000, 2210983/5/6/8	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Kisumu Branch	63-003	Diamond Trust House Oginga Odinga Road	1081 KISUMU- 40100	(057) - 2024382/3/4	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Parklands Branch	63-005	Aga Khan Hospital Parklands	39694 - 00623 NAIROBI	(20) ₦ 3753168/ 9	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Mombasa Branch	63-002	Diamond Trust Building	90564 MOMBASA- 80100	(041) - 2221494/ 5	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Mombasa Road Branch	63-008	Capital Centre Mombasa Road	27556 NAIROBI- 00506	(20) - 6976000,65241 2/3/8/9	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays 10.00a.m.- 1.00p.m. Sundays
Tom Mboya Branch	63-050	Tesco Supermarket Tom Mboya street	61711 - 00200 NAIROBI	(20) -2052460	8.00a.m.-8.00p.m. Mon. to Saturday 10.00a.m.- 4.00p.m. Sundays
Westgate Branch	63-006	Westgate Shopping Mall, Mwanzi Road	66213 - 00800 NAIROBI	(20) - 3756108/9	8.00a.m.-8.00p.m. Mon. to Saturday 10.00a.m.- 4.00p.m. Sundays
Kisii Branch	63-010	Moi Highway Kisii	1265-40200 KISII	(058) - 30869,30839,3 510424	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Industrial Area Branch	63-009	Likoni Road	78542-00507 NAIROBI	(20) - 551775/6,3510 422/3	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Malindi Branch	63-011	FN Centre - Lamu Road	5244-80200 MALINDI	(042) -21621/2	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays

Thika Branch	63-012	Tusky's Chania - Kenyatta Highway	327-01000 THIKA	(067) -22482/3, 3510425	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
OTC Branch	63-013	Gwasi Lane,Off Racecourse Road,OTC Buiding	7978-00300 NAIROBI	(020) - 317077/078, 2357980	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Eastleigh Branch	63-015	2nd Avenue ,Eastleigh	69001-00622 NAIROBI	(020) - 6768071/2, 2357981	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Nakuru Branch	63-018	S.D Shah Building Kenyatta Avenue ,Nakuru	1101-20100 NAKURU	(051) - 2211422/ 2211423	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Village Market Branch	63-019	Village Market Limuru Road, Nairobi	63473-00619 NAIROBI	(20) - 2849000,22109 83/5/6/8/9	8.00a.m.-8.00p.m. Mon. to Saturday 10.00a.m.- 4.00p.m. Sundays
Changamwe Branch	63-016	Airport Road Changamwe, Mombasa	93140-80102 MOMBASA	(041) -3432562	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Prestige Branch	63-023	Prestige Plaza Ngong Road,Nairobi	21053 - 00505 NAIROBI	(20) - 3861550/1	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Bungoma	63-021	Moi Avenue Bungoma	726 - 50200 BUNGOMA	(055) - 3050/8,30510	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Kitale branch	63-022	Kenyatta Street	3707 - 30200 KITALE	(054) - 31565,30926, 31456	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Buru Buru Branch	63-024	South Mumias Road, Nairobi	12125 - 00515 NAIROBI	(20) -780325/6	8.00a.m.-8.00p.m. Mon. to Saturday 10.00a.m.- 4.00p.m. Sundays
Jomo Kenyatta Branch	63-026	Majengo Bazaar Building Jomo Kenyatta Street	97888 - 80112 MOMBASA	(041) - 2490071, 2490085	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Diani Branch	63-020	South Coast Plaza,Diani Beach Road,Diani	5656- 80401 MOMBASA	0711-300006	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays

Kericho Branch	63-028	Tengecha Road,Kericho	1051-20200 KERICHO	(052) - 30006,30007 0713603191	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Kakamega Branch	63-027	Cannon Awori Road,Kakamega	2480-50100 KAKAMEGA	(056) - 31717/31701, (020)2526952,	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
Kitengela Branch	63-025	Millenium Building,Kajiado Road.	108-00241 KITENGELA	(254) 045 - 26512/26513	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Wabera Street Branch	63-030	Wabera Street,Jubilee Insurance Hse,Ground Floor.	49538-00100 NAIROBI	(254) 020 Đ 2210220	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Karen Branch	63-031	Petrocity Service Station,Ngong Road,Karen.	24827-00502 NAIROBI	(254) 020 - 882021/22	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Upper Hill Branch	63-029	1st Floor,Crown Plaza Hotel, Kilimanjaro Road, Upper Hill.	49627-00100 NAIROBI	(254) 020 - 2713730	9.00a.m.-5.00p.m. Mon. to Friday 9.00a.m.-3.00p.m. Saturdays
T-Mall Branch	63-017	1st Floor,T-Mall Plaza,Langata Road,Nairobi.	5060-00506 NAIROBI	(254) 020 - 8042802	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays
Voi Branch	63-032	Biashara Street, Noormohamed Adam & Sons Building, Ground Floor,	809-80300 VOI	(043)- 2030742, 2030743	9.00a.m.-4.00p.m. Mon. to Friday 9.00a.m.-1.00p.m. Saturdays

ANNEXURE V

FORM OF PROVISIONAL ALLOTMENT LETTER

TPS EASTERN AFRICA LIMITED
RIGHTS ISSUE AUGUST 2010 - PROVISIONAL ALLOTMENT LETTER

SERIAL NO :

AUTHORISED AGENT STAMP		AUTHORISED AGENT CODE		PAL NO.	
DETAILS OF ELIGIBLE SHAREHOLDER 		CDS / SHARES ACCOUNT NUMBER 		Ordinary Shares registered in your name as at Record Date 	
		This document is of value and is negotiable. Please consult your preferred adviser and read the Information Memorandum dated 21 July 2010 accompanying this PAL. Refer to the notes on the reverse of this page.		ENTITLEMENT Number of New Shares provisionally allotted to you 	
ACCEPTANCE IN FULL 21 July 2010					
I/We accept in full subject to the terms of the Information Memorandum, this PAL and the Memorandum and Articles of Association of TPS Eastern Africa Limited, the number of New Shares specified above and hereby make payment (see box on the right):				AMOUNT PAYABLE (KES) 	
ADDITIONAL NEW SHARES AND TOTAL NEW SHARES					
ADDITIONAL NEW SHARES Having accepted all of my original allotment of New Shares as set out above, I/we hereby accept in full, subject to the terms of the Information Memorandum, this PAL and the Memorandum and Articles of Association of TPS Eastern Africa Limited, apply for the number of Additional New Shares in the appropriate box on the right:		ADDITIONAL NEW SHARES (in multiples of 100)		AMOUNT PAYABLE (KES) 	
TOTAL NEW SHARES Having accepted all of my original allotment of New Shares as set out above and applied for the Additional New Shares as set out above, I/we have applied for this total New Shares and hereby make total payment (see box on the right)		TOTAL NEW SHARES full acceptance plus additional		TOTAL AMOUNT PAYABLE (KES) 	
PARTIAL ACCEPTANCE					
I/We hereby accept in part, subject to the terms of the Information Memorandum, this PAL and the Memorandum and Articles of Association of TPS Eastern Africa Limited, the number of New Shares as indicated in the box on the right:		PARTIAL ACCEPTANCE (in multiples of 100)		AMOUNT PAYABLE (KES) 	
PAYMENT DETAILS		WHERE PAYMENT IS FINANCED CDS PLEDGE FORM 5 SERIAL NO:			
☐ BANKERS CHEQUE ☐ RTGS Bank Name		☐ EFT (tick which) Branch Name		Branch Code Cheque/Account No.	
				GLOBAL PAYMENT VIA AUTHORISED AGENT (tick)	
REFUND DETAILS					
☐ Please tick if you approve that this information may be updated to your CDS Account for future dividend payments.					
Bank Name		Bank Code Branch Name		Branch Code Account No.	
				BY CHEQUE VIA AUTHORISED AGENT (tick) VIA ORDINARY MAIL (tick)	
POWER OF ATTORNEY		RENUNCIATION VIA PRIVATE TRANSFER			
Eligible Shareholders who wish to appoint an attorney to deal with the Rights Issue are required to fill Form A (Appointment of Attorney)		Eligible Shareholders who wish to renounce all or part of their Entitlement above to a close relative via private transfer are required to fill in CDS Form 7 (if immobilised shares) available from an Authorised Agent and Form R (Form of Renunciation)			
IMMOBILISATION FOR TRADING IN RIGHTS					
Having been provisionally allotted the New Shares in certificate form as set out in my/our PAL, I/we hereby accept, subject to the terms of the Information Memorandum and Articles of Association of TPS Eastern Africa Limited immobilise and sell my Entitlement on the NSE via my Authorised Agent and I enclose completed CDS Forms 1 and 2 for this purpose and hereby indicate as follows: (tick)					
SIGNATURE/S OF ELIGIBLE SHAREHOLDER OR AUTHORISED ATTORNEY					

(1) Signature & ID/Passport No. & Date

(2) Signature & ID/Passport No. & Date

(3) Signature & ID/Passport No. & Date or Company Seal/Stamp

TPS EASTERN AFRICA LIMITED - RIGHTS ISSUE AUGUST 2010 - PROVISIONAL ALLOTMENT LETTER

PAL No :

Authorised Agent Stamp

NOTES FOR THE ELIGIBLE SHAREHOLDER

1. If you have sold or transferred all your ordinary shares in TPS Eastern Africa Limited, please forward this Information Memorandum and the Provisional Allotment Letter to the purchaser or transferee, or to the stockbroker or agent through whom the sale or transfer was effected, for delivery to the purchaser or transferee.
2. Eligible Shareholders should read carefully the Information Memorandum that accompanies this Provisional Allotment Letter before deciding whether to take up their Rights and exercising the options available to them. Terms defined in the Information Memorandum shall apply herein.
3. Copies of this PAL and the Information Memorandum have been delivered to the Registrar of Companies in Nairobi for registration in accordance with Section 43 of the Companies Act (Cap.486).
4. Instructions for Completion (refer to Section VI of the Information Memorandum for detailed information)
 - a) To accept your Entitlement in full, use this PAL, make payment (including KES.30 if you have a CDS Account), sign at the bottom and deliver to your Authorised Agent on or before 3:00p.m. on 31st August 2010.
 - b) To accept your entitlement in full and apply for Additional New Shares (in multiples of 100), use this PAL, fill in the Number of Additional New Shares and the corresponding Amount Payable (by multiplying by KES.48 per Additional New Share); fill in the total number of Shares (add Entitlement and No. of Additional New Shares) and Total Amount Payable (add Amount Payable in Acceptance in Full and Amount Payable for Additional New Shares); make total payment (including KES.30 if you have a CDS Account); complete the Refund Details section; sign at the bottom and deliver to your Authorised Agent on or before 3:00 p.m. on 31st August 2010. If payment for the Additional New Shares is via an irrevocable bank guarantee/letter of undertaking for QII (see Annexure VI of the Information Memorandum), tick the appropriate box in Additional New Shares, make a copy of the guarantee/undertaking for QII for yourself and staple the guarantee/ undertaking to this PAL when handing over to the Authorised Agent. The last date and time for payment by RTGS for Additional New Shares using these guarantees is 3:00 p.m. on 27th September 2010.
 - c) To accept your Entitlement in part and do nothing with the balance, use this PAL, fill in the Number of Shares under Partial Acceptance (in multiples of 100) and the corresponding Amount Payable (by multiplying by KES.48 per New Share). Then make payment (including KES.30 if you have a CDS Account), sign at the bottom and deliver to your Authorised Agent on or before 3.00p.m on 31st August 2010.
 - d) To accept your Entitlement in part and renounce part to a close relative via private transfer (last date for renunciation by way of private transfer is 3.00 pm on 19th August 2010, use this PAL, Form R and ask your Authorised Agent for a CDS Form 7 (where applicable for CDS account holders only), fill in the required details and deliver to your Authorised Agent on or before 3:00 p.m. on 19th August 2010. Fill in the Number of Shares under Partial Acceptance on the PAL (in multiples of 100) and the corresponding Amount Payable (by multiplying by KES.48 per New Share), make payment (including KES.30 if you have a CDS Account), and sign at the bottom. Read the instructions on Form R and CDS Form 7 (where applicable) and fill in the required details. Then deliver all the documents to your Authorised Agent on or before 3:00 p.m. on 31st August 2010.
 - e) To accept your Entitlement in part and sell the balance (or portion of the balance) Rights on the NSE, use this PAL and fill in the Number of Shares under Partial Acceptance on the PAL (in multiples of 100) and the corresponding Amount Payable (by multiplying by KES.48 per New Share), make payment (including KES.30 if you have a CDS Account), and sign at the bottom. If you already have a CDS account, give a sale order to your Authorised Agent (last date for trading in Rights is 3.00 p.m. on 23rd August 2010) and hand over the PAL with the payment. If you do not have a CDS Account, place a tick in the box provided under Immobilisation for Trading in Rights on this PAL, obtain and complete the CDS Form 2 from your Authorised Agent in order to effect immobilisation (last date for immobilisation is 3:00 p.m. on 16th August 2010, give a sale order to your Authorised Agent (subject to the immobilisation having been successful) and hand over the PAL with the payment.
 - f) To accept your Entitlement in part and renounce part to a close relative via private transfer and sell the balance (or portion of the balance) Rights on the NSE, refer to both (d) and (e) above and act accordingly.
 - g) To sell all your Rights on the NSE where you already have a CDS account, give a sale order to your Authorised Agent (last date for trading in Rights is 3.00pm on 23rd August 2010) and handover the PAL. If you do not have a CDS account, place a tick in the box provided under Immobilisation for Trading in Rights in the PAL, obtain and complete the CDS Forms 1 and 2 from your Authorised Agent in order to effect immobilisation (last date for immobilisation is 3:00 p.m. on 16th August 2010), give a sale order to your Authorised Agent (subject to the immobilisation being successful) and hand over the PAL.
 - h) If a lender is financing the take-up of Rights, then indicate the CDS Form 5 Serial No in Payment Details section and staple the form to the PAL. Make a photocopy of the CDS Form 5 for your records.
 - i) If you take no action on or before 3:00 p.m. on 31st August 2010 the Rights will lapse.
 - j) In Refund Details section, an Eligible Shareholder has been given the option of approving the use of the refund data provided, to update your CDS Account for future dividend payments by electronic funds transfer.
 - k) Tear off and retain the counterfoil at the bottom for your records after the Authorised Agent has stamped it.
 - l) The public announcement of the Rights Issue results is 24th September 2010. Electronic crediting of CDS Accounts and/or dispatch of share certificates with New Shares and/or processing of refunds is 1st October 2010. Date of listing and commencement of trading of New Shares on the NSE is 9:00 a.m. 4th October 2010.
5. **Authorised Agents:** TPS Eastern Africa Limited has appointed specific Authorised Agents (including the Lead Transaction Advisors and Sponsoring Stockbrokers - Kestrel Capital (East Africa) Limited and Standard Investment Bank Limited) in connection with the Rights Issue. These Authorised Agents have signed agency agreements with TPS Eastern Africa Limited, which contain various terms and conditions that each Authorised Agent is required to comply with. The Authorised Agents are (a) Members of the NSE that are issued with annual licenses by the CMA, (b) Branches of Diamond Trust Bank Kenya Ltd and (c) TPS Eastern Africa Limited. These Authorised Agents are listed in Annexure IV of the Information Memorandum.

ANNEXURE VI

FORM OF IRREVOCABLE BANK GUARANTEE FOR ADDITIONAL NEW SHARES

[*Bank Letterhead*]

Ref: [●]

Date: [●]

TPS Eastern Africa Limited
Williamson House
4th Ngong Avenue
P.O. Box 48690-00100
Nairobi
Kenya

Dear Sirs

TPS EASTERN AFRICA LIMITED - RIGHTS ISSUE AUGUST 2010

IRREVOCABLE BANK GUARANTEE IN RESPECT OF PAYMENT FOR ALLOCATION OF ADDITIONAL NEW SHARES TO [*name of eligible shareholder or buyer of Rights*] (the 'Guarantee')

WHEREAS [*name of eligible shareholder or buyer of Rights*] (the 'Investor') has by an Entitlement and Acceptance Form No. [●] applied for [●] Additional New Shares in the Rights Issue of TPS Eastern Africa Limited as set out in the Information Memorandum dated 21 July 2010 (the 'TPSEAL RI IM 2010') (*capitalised terms used in this Guarantee shall have the meaning and interpretation given to such terms in the TPSEAL RI IM 2010*).

AND WHEREAS it has been stipulated in the TPSEAL RI IM 2010 that the Investor shall furnish you with an irrevocable on demand bank Guarantee for the full value of the Additional New Shares applied for at the Subscription Price.

AND WHEREAS we [*name of guarantor*] have agreed to give this irrevocable guarantee:

NOW, at the request of the Investor and in consideration of you allocating to the Investor the Additional New Shares or such lesser number as you shall in your absolute discretion determine, we hereby irrevocably undertake to pay you in Kenya Shillings, promptly upon your first written demand and without any delay or argument, such sums as may be demanded by you up to a maximum of Kenya Shillings [*amount in words*] (KES [*amount in figures*]) without your needing to prove or show grounds or reasons for your demand or the sum specified therein by way RTGS (where the money is in excess of Kenya Shillings one million (KES.1,000,000) or banker's cheque payable to TPS Eastern Africa Ltd - Rights Issue on or before 3.00 p.m. on 27th September 2010 as set out in the TPSEAL RI IM 2010.

This Guarantee will remain in force up to and including 3.00 p.m. on 1st October 2010 and any demand in respect thereof should reach our office not later than the above date and time.

This Guarantee shall be governed and construed in accordance with the Laws of Kenya.

IN WITNESS WHEREOF THIS LETTER OF IRREVOCABLE BANK GUARANTEE HAS BEEN EXECUTED BY US [on or before 3:00 p.m. on 31st August 2010].

[*signed as per bank mandate*]

NOTES

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NOTES

This image shows a full page of primary-ruled paper. It features approximately 20 horizontal dashed lines spaced evenly down the page, providing a guide for handwriting practice. The background is white, and there are no margins or other markings present.